2025 ANNUAL REPORT

Republic Bank (Grenada) Limited

Connect with us

We encourage and welcome feedback on our reporting from our stakeholders. Please send any comments or suggestions to: rbgdinfo@rfhl.com

About Our Report

THE FUTURE OF BANKING

As we continue to adapt to the changing landscape of banking, our customers' needs, perspectives, and desires, drive us to re-imagine how we best serve them.

In this connection, we continue to re-engineer our operations to facilitate an enhanced experience for all our stakeholders, both internal and external.

Through our digital transformation roadmap, we are introducing new technological tools that enable us to offer business solutions, for example our Group Digital Onboarding platform, that address our customers' unique needs.

With these new channels as well as the work being done to enhance the in-branch experience, we are confident in our ability to deliver quick, convenient, digital-first banking services to our customers, wherever they are in the world.

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DIRECTOR'S DISCUSSION
& ANALYSIS FROM
NAOMI E. DE ALLIE

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READ MORE ABOUT OUR
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CHECK OUT OUR INITIATIVES
FOR SUPPORTING OUR PEOPLE,
PLANET, PROGRESS AND
COMMUNITIES

Security is key

As technology advances, so does our commitment to protection. Through advanced encryption, we safeguard every transaction and connection—giving customers the confidence and control that define secure, modern banking.

Staying one step ahead

Through Republic*Online*, we're helping customers stay alert and secure in an ever-changing digital world. Real-time updates, smarter alerts, and built-in safeguards protect every transaction—empowering users to outsmart cyber threats and bank with confidence.

Wherever you are

From home to across the globe, your bank is always within reach. Powered by world-class technology and global security systems, we protect every transaction—delivering the confidence, connection, and peace of mind that come with truly borderless banking.

Protecting what connects us

Cybersecurity is a shared commitment that connects our people, systems, and customers across every market. By promoting awareness and safe information practices, we're helping customers outsmart threats before they arise.

Credit cards that count

More than a way to pay—our international credit cards protect every purchase. Built with cutting-edge technology and global security features, they make spending smarter, safer, and simpler. Wherever you go, confidence travels with you.

About Us

Republic Bank (Grenada) Limited is a visionary organisation. As a subsidiary of Republic Financial Holdings Limited (RFHL), the Bank is part of a history spanning over 180 years of stability, financial strength and vast experience in the areas of commercial, retail, merchant and corporate banking in the Eastern Caribbean.

The Bank was incorporated in October 1979; and is one of the leading commercial banks in Grenada, with a network of five branches, 17 Automated Teller Machines (ATMs) and an asset base of $2.39 billion.

Having faithfully served our nation for over four decades, the Bank built a solid reputation as both a comprehensive financial services provider and an outstanding socially responsible corporate citizen. The Bank won the Eastern Caribbean Central Bank (ECCB) title of Best Corporate Citizen, nine times in the award's 21-year history.

Our Enablers

- An improved execution mechanism featuring an enhanced operating model and a new strategic transformation office.
- A culture of innovation, collaboration and accountability, with a focus on talent management and the prioritisation of our staff's well-being.
- Consolidation of our technological infrastructure to manage costs, reduce redundancy, boost efficiency and enhance security.

Our Key Stakeholders

EMPLOYEES

CUSTOMERS

SHAREHOLDERS

REGULATORS

SUPPLIERS

COMMUNITIES

Our Vision

Republic Financial Holdings Limited, **the Caribbean Financial Institution of Choice** for our Staff, Customers and Shareholders.

We set the Standard of Excellence in Customer Satisfaction, Employee Engagement, Social Responsibility and Shareholder Value, while building successful societies.

Our Mission

Our mission is to provide **Personalised, Efficient and Competitively-priced Financial Services** and to implement **Sound Policies** which will redound to the benefit of our Customers, Staff, Shareholders and the Communities we serve.

Our Core Values

Customer Focus

Integrity

Respect for the Individual

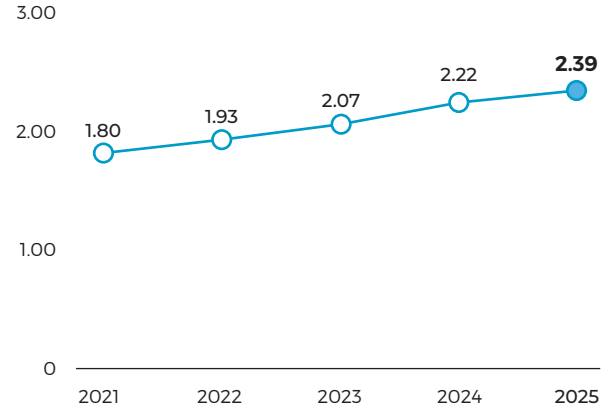
Professionalism

Results Orientation

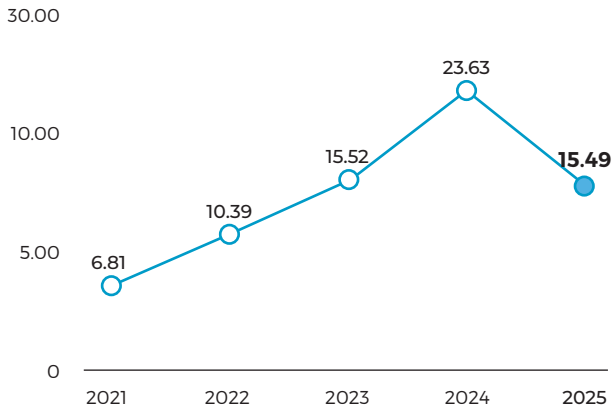
Our Declaration of Purpose

We value people, we serve with heart, we are deeply committed to your success... we care.

Total assets ($B)



Profit after tax ($M)

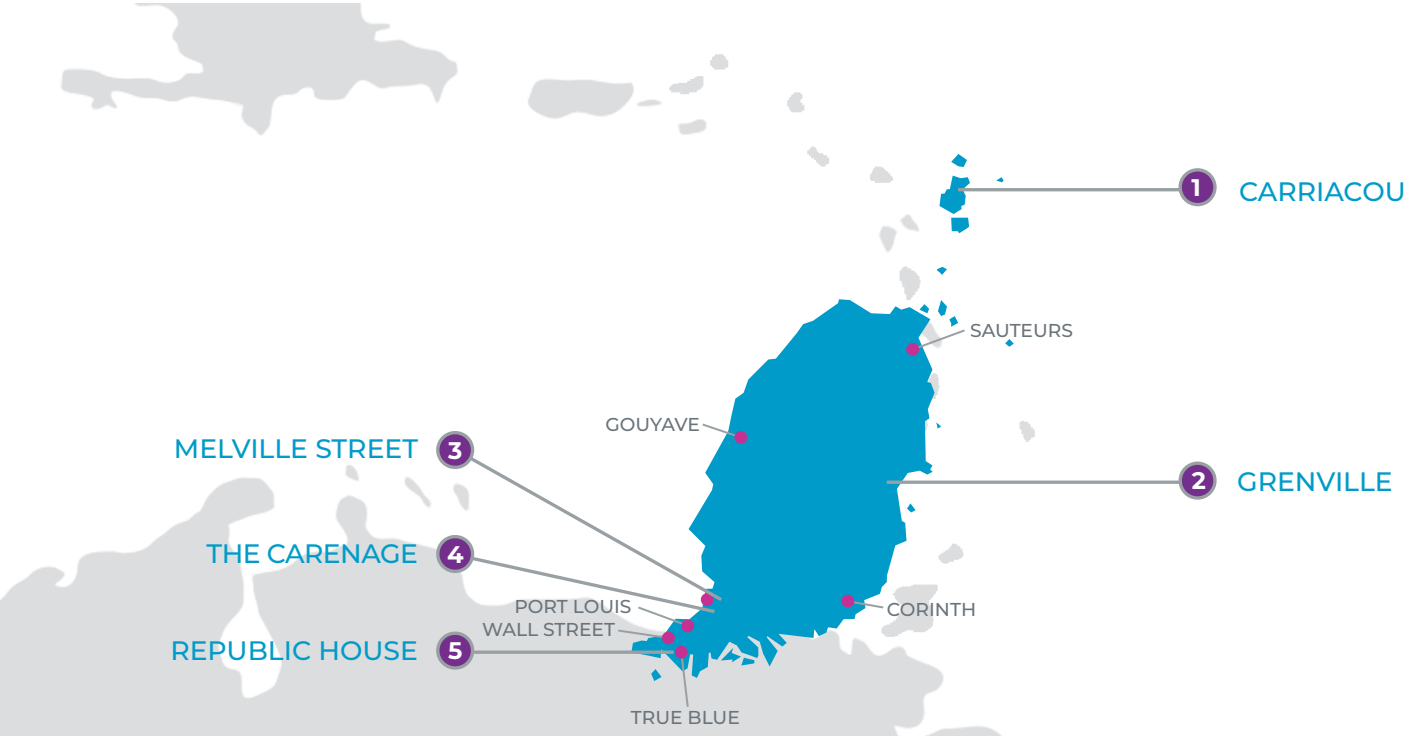


Sources of revenue %

- 52.90 ADVANCES
- 14.56 INVESTMENT SECURITIES
- 13.45 FEES & COMMISSIONS
- 8.46 EXCHANGE EARNINGS
- 7.10 LIQUID ASSETS
- 3.53 OTHER INCOME

4.10 EARNINGS PER SHARE

Where We Operate



Our Branches

1 CARRIACOU
TEAM MEMBERS 10
ATMs 1

2 GRENVILLE
TEAM MEMBERS 27
ATMs 2

3 MELVILLE STREET
TEAM MEMBERS 123
ATMs 3

4 THE CARENAGE
TEAM MEMBERS 27

5 REPUBLIC HOUSE
TEAM MEMBERS 81
ATMs 4

OFFSITE ATMs

TRUE BLUE	1
WALL STREET	1
GOUYAVE	1
SAUTEURS	1
PORT LOUIS	1
CORINTH	1
THE CARENAGE	1

268 TEAM MEMBERS

5 BRANCHES

17 ATMs

Gender %

70 WOMEN

30 MEN

Age Distribution %

28 <30 YEARS

54 31-50 YEARS

18 >50 YEARS

Building strong and sustainable communities

The Power to Make A Difference (PMAD) Programme reflects Republic Bank's commitment to ensuring that progress is shared. As the Bank accelerates its digital and operational innovation, PMAD strengthens the social foundation that supports this growth.

Through focused partnerships across education, inclusion, wellbeing, and community resilience, PMAD promotes new approaches to longstanding challenges. The programme encourages innovation at the community level—expanding access, improving systems of support, and enabling people to participate more fully in the opportunities of a modern, advancing society.

PMAD reinforces a core principle of our organisation: advancement is most meaningful when it improves lives. By aligning purpose with innovation, the programme helps build stronger, more sustainable communities across our region.

CORPORATE INFORMATION

the ease of **innovation**

Innovation continues to shape how our customers connect and grow with us. Republic*Onboard* stands at the heart of this transformation—our fully digital platform makes opening and managing accounts simpler, faster, and more secure. Across the region, it's redefining convenience and setting a new standard for accessible, technology-driven banking experiences built around our customers' lives.

Notice of Meeting

NOTICE is hereby given that the Forty-Second Annual Meeting of Republic Bank (Grenada) Limited will be held at the St. Andrew's Conference Room, Spice Island Beach Resort, Grand Anse, St. George on Thursday, December 18, 2025 at 9:00 a.m. for the following purposes:

1. To receive the Audited Financial Statements of the Company for the year ended September 30, 2025 and the Reports of the Directors and Auditors thereon.

2. To take note of the Dividends paid for the twelve-month period ended September 30, 2025.

3. To elect Directors.

4. To re-appoint Ernst & Young as the auditors, and to authorise the Directors to fix their remuneration.

5. Any other business.

By order of the Board,

ANDREA M. DE MATAS
CORPORATE SECRETARY

November 19, 2025

Notes

Persons entitled to notice

Pursuant to Sections 108 and 110 of the Companies Act 1994 as contained in Chapter 58A of the 2020 Continuous Revised Edition of the Laws of Grenada, the Directors of the Company have fixed November 19, 2025, as the Record Date for the determination of shareholders entitled to receive notice of the Annual Meeting. Only shareholders on record at the close of business on November 19, 2025, are therefore entitled to receive notice of the Annual Meeting.

Proxies

Shareholders of the Company entitled to attend and vote at the Meeting are entitled to appoint one or more proxies to attend, and in a poll, vote instead of them. A proxy need not be a shareholder. Shareholders who return completed proxy forms are not precluded; if subsequently they so wish, from attending the Meeting instead of their proxies and voting in person. In the event of a poll, their proxy vote lodged with the Registered Office will be excluded.

Dividend

A dividend of $1.20 per share (2024: $3.15), declared for the financial year ended September 30, 2025, will be paid on December 15, 2025, to shareholders on record at the close of business on November 19, 2025.

Documents available for inspection

The 2025 Audited Financial Statements are available online at www.republicgrenada.com/publications/annual-reports

No service contract was granted by the Company to any Director or proposed Director of the Company.

Corporate Information

Directors

CHAIRPERSON

KAREN T. YIP CHUCK, *BSc (Hons.) (Econ.), MBA, Dip. (Bus. Admin.), ACIB, CIA*

MANAGING DIRECTOR

NAOMI E. DE ALLIE, *BSc (Hons.) (Fin. Services), MSc (Fin. Services Mgmt.), ACIB, Acc. Dir.*

NON-EXECUTIVE DIRECTORS

JUAN BAILEY, *BSc (Comp. and Elec. Eng.), MBA (Fin.), Cert. (Proj. Mgmt.)*

BARRY J. deC. COLLYMORE, *BA (Comm.), MSc (Mgmt.), Acc. Dir.*

CHRISTOPHER C. HUSBANDS, *BSc (Hons.) (Civil and Env. Eng.), MSc (Proj. Mgmt.), MBA (Fin.), Acc. Dir.*

ETHELSTAN ANGUS FRIDAY, *MBA, MD*

MARSHA A. MC LEOD-MARSHALL, *MSc (Dist.) (Int'l. Fin.), FCCA, CA*

DAVID R. ROBINSON, *BA (Econ.), EMBA, CFA*

LESLIE-ANN V. SEON, *BA (Hons.), LLB (Hons.), LEC*

Corporate Management

CORPORATE SECRETARY

ANDREA M. DE MATAS, *LLB (Hons.), LEC*

Registered Office

P. O. Box 857
Republic House
Maurice Bishop Highway
Grand Anse, St. George
Grenada, West Indies
Tel: 1 (473) 444-BANK (2265)
Swift: NCBGGDGD
Email: rbgdinfo@rfhl.com
Website: www.republicgrenada.com

Registrar

EASTERN CARIBBEAN CENTRAL SECURITIES REGISTRY
P. O. Box 94
Bird Rock, Basseterre
St. Kitts and Nevis, West Indies

Attorneys-at-Law

RENWICK & PAYNE
Cnr. Church and Lucas Streets
St. George's
Grenada, West Indies

SEON & ASSOCIATES
Lucas Street
St. George's
Grenada, West Indies

Auditors

ERNST & YOUNG
Mardini Building
Rodney Bay, Gros Islet
Saint Lucia, West Indies

Bank Profile

Executive Management

MANAGING DIRECTOR

NAOMI E. DE ALLIE, *BSc (Hons.) (Fin. Services), MSc (Fin. Services Mgmt.), ACIB, Acc. Dir.*

GENERAL MANAGER, CREDIT

STACEY A. HEM LEE, *BSc (Mgmt.), CPA, CA*

GENERAL MANAGER, OPERATIONS

MAVIS H. MC BURNIE, *MBA, Exec. Dip. (Dist.) (Mgmt. Studies), CAMS-RM, AICB*

Head Office Departments

MANAGER, CORPORATE BANKING

DEVON M. THORNHILL, *BSc (Hons.) (Bkg. and Fin.), MBA*

MANAGER, FINANCE

ELIZABETH M. RICHARDS-DANIEL, *MBA (Fin. Services), FCCA*

MANAGER, COMMERCIAL BANKING

KURT D. MC FARLANE, *BSc (Hons.) (Bkg. and Fin.)*

MANAGER, END USER DELIVERY

SHERMAN L. DOUGLAS, *AAS (Comp. Sci.), A+, Security+, Dip. (Bus. Mgmt.)*

MANAGER, HUMAN RESOURCES

AESIA B. WORME, *BSc (Hons.) (Soc. Sci.), EMBA (Dist.), Dip. (Proj. Mgmt.), CAMS, SPHRi*

Branch Network

CARRIACOU

OFFICER-IN-CHARGE

MICHELLE A. NOEL, *BSc (Bkg. and Fin.)*

GRENVILLE

MANAGER, RETAIL SERVICES

KATHLEEN S. HARRIS-FORRESTER, *Dip. (Bus. Mgmt.)*

MELVILLE STREET

MANAGER, RETAIL SERVICES

DORIAN L. MC PHAIL

REPUBLIC HOUSE

MANAGER, RETAIL SERVICES

MC KIE J. GRIFFITH, *BSc (Mgmt.)*

Financial Summary

Expressed in Thousands of Eastern Caribbean Dollars ('000)

	2025	2024	2023	2022	2021
Total Assets	**2,385,237**	2,218,533	2,072,443	1,925,718	1,803,383
Customer Deposits	**1,822,301**	1,758,218	1,685,994	1,615,659	1,541,461
Advances	**1,181,369**	1,110,028	1,022,970	901,510	863,140
Stated Capital	**117,337**	117,337	117,337	117,337	117,337
Shareholders' Equity	**260,190**	252,487	234,885	230,729	228,807
Number of Shares	**3,774**	3,774	3,774	3,774	3,774
Profit after Taxation	**15,492**	23,634	15,530	10,391	6,811
Dividends based on results for the year	**4,529**	11,888	7,925	5,284	2,717
Dividends paid during the year	**7,360**	9,435	4,151	6,869	–
Earnings per share ($)	**4.10**	6.26	4.12	2.75	1.80

inspiring the future

At Republic Life Insurance Company, we protect what matters most. As the Caribbean's first fully digital life insurer, we make security simple, accessible and dependable. Our innovative solutions help you plan confidently, protect your legacy, and face life's changes knowing your loved ones and your future are always cared for.

The Board of Directors

KAREN T. YIP CHUCK

POSITION Chairperson

APPOINTMENT 2022

AGE 57

CREDENTIALS
- Bachelor of Science in Economics with Honours, University of the West Indies
- Master of Business Administration, Heriot Watt University of Edinburgh
- Graduate, Advanced Management Programme, Harvard Business School
- Certified Internal Auditor, Institute of Internal Auditors
- Associate, Chartered Institute of Banking

PROFESSIONAL SUMMARY
- Career banking professional with more than 30 years' experience including numerous senior management and executive leadership positions within the Group

SUBCOMMITTEES
- Governance, Nomination and Compensation
- Audit and Enterprise Risk

INTERNAL APPOINTMENTS
- Vice President, Republic Financial Holdings Limited
- Chairperson, Republic Investments Limited, Republic Bank (Barbados) Limited, Republic Bank Trinidad & Tobago (Barbados) Limited, Republic Bank (EC) Limited, Republic Bank (St. Maarten) N. V., Republic Bank (Anguilla) Limited, Republic Wealth Management Limited, Republic Life Insurance Company Limited, Republic Insurance Company (Cayman) Limited

EXTERNAL APPOINTMENTS
- Vice President, Trinidad and Tobago Chamber of Industry and Commerce
- Director, United Way, Trinidad and Tobago
- Chancellor's Nominee, University of the West Indies Campus Council

NAOMI E. DE ALLIE

POSITION Managing Director

APPOINTMENT 2021

AGE 60

CREDENTIALS
- Bachelor of Science with Honours in Financial Services, University of Manchester
- Master of Science in Financial Services Management, University of London
- Associate, Chartered Institute of Bankers
- Accredited Director, Caribbean Governance Training Institute

PROFESSIONAL SUMMARY
- Career banker with a wealth of experience in commercial credit, corporate credit, and risk management streams, gathered over 30 years with the Republic Group
- Former General Manager, Credit and Enterprise Risk, Republic Bank (Barbados) Limited
- Former General Manager, Credit, Republic Bank (Grenada) Limited

SUBCOMMITTEE
- Credit

JUAN BAILEY

POSITION Chief Executive Officer, Acado St. Lucia

APPOINTMENT 2024

AGE 54

CREDENTIALS

- Bachelor of Science in Electrical and Computer Engineering, University of the West Indies
- Master of Business Administration in Finance, University of Leicester
- Certified Project Management Professional

PROFESSIONAL SUMMARY

- Chief Executive Officer, Acado St. Lucia (formerly Peter & Company Distribution)
- Over 30 years' experience in the public and private sectors across the English-speaking Caribbean, focusing on information and communication technologies, tertiary education, telecommunications, and fast-moving consumer goods industries
- Former Chief Executive Officer, Independence Agencies Limited (now Acado Grenada)
- Former Regional Sales Director, Cable & Wireless Communications, overseeing business-to-business sales strategies in multiple Caribbean countries
- Former Information Systems Manager, Caribbean Knowledge and Learning Network

SUBCOMMITTEES

- Audit and Enterprise Risk
- Credit

BARRY J. deC. COLLYMORE

POSITION Chairman, Mount Cinnamon Beach Resort

APPOINTMENT 2023

AGE 52

CREDENTIALS

- Bachelor of Arts in Communications, University of the West Indies
- Master of Science in Management, Loughborough University
- Accredited Director, Chartered Governance Institute of Canada

PROFESSIONAL SUMMARY

- Owner and Chairman of Mount Cinnamon Beach Resort
- Former Press Secretary to the Prime Minister of Grenada
- Former Assistant to the Vice Chancellor of St. George's University and Assistant Professor, School of International Business
- Past Chairman/Director on several boards, including the Grenada Tourism Authority and Savvy Grenada Group
- Past Chief Executive Officer, Grenreal Property Corporation Limited

SUBCOMMITTEES

- Governance, Nomination and Compensation
- Credit

EXTERNAL APPOINTMENTS

- Director, Partner, West Indies Management Company
- Director, Co-founder, West Indies School of Hospitality

The Board of Directors

CHRISTOPHER C. HUSBANDS

POSITION Consultant and Programme Director, Caribbean Water Utility Insurance Collective

APPOINTMENT 2015

AGE 56

CREDENTIALS

- Bachelor of Science in Civil and Environmental Engineering with Honours, University of the West Indies
- Master of Business Administration in Finance, University of Toronto
- Master of Science in Project Management, Florida International University
- Accredited Director, Eastern Caribbean Securities Exchange Directors' Education and Accreditation Programme

PROFESSIONAL SUMMARY

- Former General Manager, National Water and Sewerage Authority
- Extensive experience in the planning, structuring, financing and implementation of engineering projects
- Diverse experiences in the governance of state-owned enterprises, having chaired and served on many public sector boards

SUBCOMMITTEES

- Governance, Nomination and Compensation
- Audit and Enterprise Risk, Chairman
- Credit

DR. ETHELSTAN ANGUS FRIDAY

POSITION Director, Strategic Partnerships, Waitt Institute, San Diego

APPOINTMENT 2023

AGE 60

CREDENTIALS

- Doctor of Medicine, St. George's University
- Master of Business Administration, Strathclyde Business School

PROFESSIONAL SUMMARY

- International Climate Policy Specialist, Environment Department, World Bank, with focus on Africa and Small Island Developing States
- Held various leadership positions in attracting investment for economic development and for technology development in both private and public sectors in the UK and Grenada
- Former Ambassador to the United Nations, the United States, Canada, Mexico and the Organisation of American States
- Former Chairman, Alliance of Small Island States

SUBCOMMITTEES

- Governance, Nomination and Compensation
- Credit

EXTERNAL APPOINTMENT

- Director, SarGas Limited, Atlantean Inc., Azuros Limited

MARSHA A. MC LEOD-MARSHALL

POSITION General Manager,
Planning and Financial Control, Republic Bank Limited
Chief Financial Officer, Republic Financial Holdings Limited

APPOINTMENT 2023

AGE 51

CREDENTIALS

- Master of Science in International Finance with Distinction, Arthur Lok Jack Global School of Business
- Fellow, Association of Chartered Certified Accountants
- Certified Chartered Accountant

PROFESSIONAL SUMMARY

- Over 30 years' experience within the financial sector, with a keen insight and understanding of the banking, mutual fund and insurance sectors
- Sound knowledge and experience in audit, accounting and finance

SUBCOMMITTEES

- Audit and Enterprise Risk
- Credit

DAVID R. ROBINSON

POSITION General Manager, Group Treasury,
Republic Bank Limited

APPOINTMENT 2024

AGE 54

CREDENTIALS

- Bachelor of Arts in Economics, University of Waterloo
- Executive Master of Business Administration with Distinction, Arthur Lok Jack Global School of Business
- Chartered Financial Analyst
- Advanced Management Programme, Columbia Business School

PROFESSIONAL SUMMARY

- Career banker with in-depth knowledge of domestic and international money markets and capital mergers; seasoned professional in portfolio management, pension fund administration and insurance products
- Former General Manager, Republic Wealth Management Limited

INTERNAL APPOINTMENTS

- Managing Director, Republic Bank (Guyana) Limited
- Director, Republic Wealth Management Limited, Republic Investments Limited, Republic Bank Trinidad and Tobago (Barbados) Limited, Republic Insurance Company (Cayman) Limited

EXTERNAL APPOINTMENTS

- Director, National Enterprises Limited, National Flour Mills, Trintrust Limited

The Board of Directors

LESLIE-ANN V. SEON

POSITION Principal, Seon & Associates

APPOINTMENT 2015

AGE 61

CREDENTIALS

- Bachelor of Arts with Honours, University of the West Indies
- Bachelor of Laws with Honours, University of the West Indies
- Legal Education Certificate, Hugh Wooding Law School

PROFESSIONAL SUMMARY

- Admitted to the Bars of Grenada, Barbados and the British Virgin Islands (1993)
- Extensive experience in the fields of corporate and commercial law, conveyancing and real property, labour law, insolvency and cross-border transactional advisory work

SUBCOMMITTEES

- Governance, Nomination and Compensation
- Credit

EXTERNAL APPOINTMENTS

- Honorary Consul, Republic of Chile
- Legal Representative, Windward Islands Research and Education, Grenada

Directors' Report

Your Directors have pleasure in submitting their Report for the year ended September 30, 2025.

Financial results and dividends

The Directors report that the Company has recorded a profit after taxation of 15.49 million for the year ended September 30, 2025.

The Directors have declared a dividend of $1.20 per share (2024: $3.15) to shareholders on record as at November 19, 2025.

Substantial interest in share capital as at September 30, 2025

	Ordinary Shares
Republic Financial Holdings Limited	3,204,236
National Insurance Scheme	190,704

A substantial interest is a holding of five percent or more of the issued share capital of the Company.

Directors

In accordance with By-law No.3 paragraph 4.3.1, Karen Yip Chuck, Leslie-Ann Seon, Ethelstan Angus Friday and David Robinson retire from the Board by rotation and, being eligible, offer themselves for re-election for a term expiring at the close of the third annual meeting following this appointment.

Isabelle Slinger retired from the Board of Directors, effective November 30, 2024, after fifteen years of service.

Graham Williams resigned from the Board of Directors, effective December 10, 2024.

Directors' Interest

Set out are the names of the Directors with an interest in the company at September 30, 2025, together with particulars of their holdings.

Director	Beneficial Interest	Non-Beneficial Interest
Karen T. Yip Chuck	Nil	50
Leslie-Ann V. Seon	50	Nil
Christopher C. Husbands	390	Nil
Ethelstan Angus Friday	Nil	50
David R. Robinson	Nil	50
Naomi E. De Allie	Nil	50
Marsha A. Mc Leod-Marshall	Nil	50
Barry J. deC. Collymore	Nil	50
Juan Bailey	Nil	50

Auditors

The retiring auditors, Ernst & Young have expressed their willingness to be re-appointed, and a resolution to that effect will be proposed at the Annual Meeting.

By order of the Board,

ANDREA M. DE MATAS

CORPORATE SECRETARY

empowering and excelling

Wherever business takes you, your Bank moves with you. At Republic Bank we're committed to making your digital banking experience easy, efficient and secure. Each upgrade across our Republic*Online* platform is built on real ingenuity and crafted by a deep understanding of how our customers work today. By combining smart technology with practical needs, we're raising the bar for convenience and trust in the digital space. With Republic Bank, the ease of innovation isn't a promise... it's your everyday experience.

Chairperson's Review

KAREN T. YIP CHUCK
Chairperson

Strength in strategy: driving growth amid change

Results

I am pleased to announce that the Bank recorded net profit after taxation of $15.49 million for the year ended September 30, 2025. This represents a decrease of $8.14 million below the 2024 reported profit of $23.63 million. Increased Income of $12.54 million and reduced operating expenses of $4.65 million assisted in cushioning some of the negative impact of increased loan loss expense of $29.26 million.

In 2025, total assets grew by 7.51 percent or $166.71 million and now stands at $2.39 billion. The increase in assets is reflected in investments and loans which increased by $109.87 million and $71.34 million, respectively. The Bank remains well capitalised with a Capital Adequacy Ratio of 12.51 percent, which is within regulatory requirements.

Based on the results for fiscal 2025, the Board of Directors has declared a dividend of $1.20 per share for the fiscal year. The dividend would be paid on December 15, 2025, to shareholders on record as at November 19, 2025.

The Bank's Strategic Plan with its central focus on digital transformation and customer-centric solutions to enhance customer experience, will contribute to positioning the Bank to maximise on emerging opportunities in the market, which will redound to the benefit of its stakeholders.

Grenada economy

In 2024, the economy expanded by 3.6 percent with tourism being the main driver of growth. Activity in the tourism sector remained encouraging, notwithstanding a generally slower rate of growth. Construction activity moderated due to delays in the execution of new public and private projects. For the first half of 2025, the fiscal performance was generally in line with targets. The primary and overall deficits were recorded at $14.8 million and $16.4 million respectively, and remained well within established targets.

For tourism dependent nations, the traditional seasonal slowdown in tourism from September through November may place a slight damper on growth but, activity is expected to accelerate as the normally busy winter season approaches.

Real Gross Domestic Product (GDP) is on track to expand in 2025; building on the growth recorded in 2024, despite the devastating impact of Hurricane Beryl. The tourism sector is expected to register weaker growth in 2025, although its performance is expected to improve in the second half of the year. Grenada continues to invest in renewable energy. In April 2025, the government announced plans to drill two exploration geothermal wells in 2026. If successful, this could be hugely transformative for the energy sector and the wider economy.

Regional economy

The Caribbean faced significant challenges in the second quarter of 2025, including elevated global uncertainty related to increased trade protectionism, geopolitical tensions and policy changes by governments and central banks.

The region is likely to experience moderate but uneven growth in the second half of 2025, with energy producing nations expected to outperform tourism dependent economies. For tourism dependent nations, the traditional seasonal slowdown in tourism from September through November may place a slight damper on growth but, activity is expected to accelerate as the normally busy winter season approaches. The level of growth experienced by the tourism economies during the period will partly hinge on the effectiveness of new airlift services in boosting winter arrivals.

The global economy

Global economic activity decelerated slightly in 2025, with the International Monetary Fund (IMF) projecting a fall in real GDP growth to 3 percent from 3.3 percent in 2024. This outturn was attained against a backdrop of significant global uncertainty, fueled in large part by a significant increase in trade protectionism and ongoing geopolitical tensions. The announcement of widespread tariffs by the United States (US) in April 2025, intensified uncertainty and shook global financial markets. In advanced economies, real GDP growth slowed to an estimated 1.5 percent in 2025, following an expansion of 1.8 percent in the previous year.

International price pressures eased further in 2025, with varying trends among individual nations. Global inflation is expected to fall to 4.2 percent from 5.7 percent a year earlier, due to subdued demand and weaker energy prices. The impact of tariffs is expected to gradually filter through the US economy, with countries dependent on imports from the US also likely to be affected.

The global economy's 3 percent expansion in 2025 is expected to continue in 2026, with real GDP projected to increase by 3.1 percent. Growth among advanced economies is expected to increase slightly to average 1.6 percent, while emerging and developing economies are predicted to expand by 4 percent.

Nevertheless, the global economy faces key downside risks, including the possible failure of the US and China to secure a trade agreement, which could constrain economic activity in the world's two largest economies. An acceleration of global inflation could negatively affect growth.

15.49 NET PROFIT ($M)

1.20 DIVIDEND ($)

4.10 EARNINGS PER SHARE ($)

Chairperson's Review

Outlook

Grenada's macroeconomic context and medium-term prospects are broadly positive; barring risks to the economic outlook such as Grenada's susceptibility to natural hazards and external economic shocks, given a tenuous global economic outlook.

Growth is projected at 3.8 percent in 2025, with an average of 3.0 percent over 2026-2027, driven by tourism and re-construction efforts. The agriculture sector is expected to recover gradually, following the devastation caused by Hurricane Beryl. Inflation is projected to pick up marginally to 1.5 percent in 2025 and converge to 2.0 percent thereafter. Grenada's current account is projected to have a negative balance of 17.4 percent of GDP in 2025, as reconstruction efforts and reduced exports of fish and fishery products is expected to continue, despite the expansion of tourism receipts.

The Bank's strategic plan with its central focus on digital transformation and customer-centric solutions to enhance customer experience, will contribute to positioning the Bank to maximise on emerging opportunities in the market; which will redound to the benefit of its stakeholders.

Appreciation

I extend sincere appreciation to our staff for their unwavering commitment and dedication to the growth and success of our business. Special recognition to our valued customers, shareholders and all other stakeholders for their loyalty. To my fellow directors, I express gratitude for your continued support.

KAREN T. YIP CHUCK
CHAIRPERSON

ACTIF: Connecting innovation across continents

The Afri-Caribbean Trade and Investment Forum (ACTIF) brought together visionaries from Africa and the Caribbean to exchange ideas, investments, and culture. Through our participation, Republic Bank stood alongside global leaders, driving innovation and sustainable growth. We continue to champion creative thinking and forward-looking partnerships—strengthening our role as a thought leader in the Caribbean, and finding innovative ways to uplift communities and economies alike.

Managing Director's Discussion and Analysis

NAOMI E. DE ALLIE
Managing Director

Fueling progress through resilience and innovation

Introduction

Republic Bank (Grenada) Limited was incorporated on October 12, 1979, and is a subsidiary of Republic Financial Holdings Limited (RFHL). The Company is well represented in Grenada and provides banking and financial services through five branches dispersed across the tri-island state. Our improved suite of technology platforms continues to enhance delivery of service to customers and efficiency in our operations. The improved products and services offered have inherent flexibility and are specifically structured to satisfy the banking requirements of our many valued customers. Serving with excellence is the focus.

Operating environment

According to the 2025 budget statement, Grenada recorded strong economic performance in 2024, despite the devastating impact of Hurricane Beryl in July 2024, which highlights Grenada's growing resilience. Tourism remains the main driver of economic growth. Activity in this sector remained encouraging, notwithstanding a generally slower rate of growth. The slowdown was the consequence of tourist arrivals in most destinations having previously returned to (or close to), pre-pandemic levels and heightened global economic uncertainty. The sector benefitted from new and ongoing investments in accommodations and other tourism-related infrastructure.

Consumer prices declined in 2024 from the high levels experienced in 2023, assisted by Government policies, including the removal of the Value Added Tax on basic food and other essential items. A primary surplus of $432.9 million or 11.3 percent of Gross Domestic Product (GDP), was realised, despite extraordinary spending due to Hurricane Beryl. To support the continued resilient recovery of the Grenadian economy, the fiscal rules and targets of the Fiscal Resilience Act were further suspended in 2025 to allow for increased rehabilitation and reconstruction spending.

Citizenship By Investment (CBI) revenue declined in the first half of 2025 to EC$10.5 million, which represented a 74 percent reduction for the same period of 2024. Government revenue also declined by 15.2 percent in the first half of 2025 to EC$627.7 million from EC$740.3 million in the same period of 2024. The financial sector remained stable, and external stability was well anchored in 2024. The financial sector conditions and the external account are expected to improve, further reinforcing macroeconomic stability and growth.

Globally, economic growth is projected to remain stable at 3.3 percent in 2025 based on the most recent world economic outlook by the International Monetary Fund (IMF). However, despite the positive outlook, uncertainties exist; fueled largely by ongoing geopolitical tensions and, more recently, protectionist policies in the United States.

The following is a discussion and analysis of the financial performance and position of the Bank for the year ended September 30, 2025. This discussion should be read in conjunction with the Audited Financial Statements contained on pages 77 to 146 of this report. All amounts are stated in Eastern Caribbean (EC) currency.

Foreign currency balances have been converted to EC dollars at the prevailing mid-rate on September 30, for each financial year.

The following are the mid-rates for the major currencies as at September 30:

Our improved suite of technology platforms continues to enhance delivery of service to customers and efficiency in our operations. The improved products and services offered have inherent flexibility and are specifically structured to satisfy the banking requirements of our many valued customers. Serving with excellence is the focus.

	2025	2024
United States dollars	**2.7000**	2.7000
Canadian dollars	**1.9408**	1.9976
Pounds Sterling	**3.6295**	3.6200
Euro	**3.1790**	3.0341
TT dollars	**0.4067**	0.4067

Summary of Republic Bank (Grenada) Limited operations

All figures in EC$M

	2025	2024	Change	% Change
Profitability				
Core profit before taxation and provisioning	**46.63**	29.44	17.19	58.39
Credit loss (expense)/recovery on financial assets	**(26.18)**	3.08	(29.26)	(950.00)
Profit before taxation	**20.45**	32.52	(12.07)	(37.12)
Profit after taxation	**15.49**	23.63	(8.14)	(34.45)
Balance Sheet				
Total assets	**2,385.24**	2,218.53	166.71	7.51
Total advances	**1,181.37**	1,110.03	71.34	6.43
Investments	**484.06**	374.19	109.87	29.36
Total customer deposits	**1,822.30**	1,758.22	64.08	3.64
Shareholders' equity	**260.19**	252.49	7.70	3.05

Statement of income review

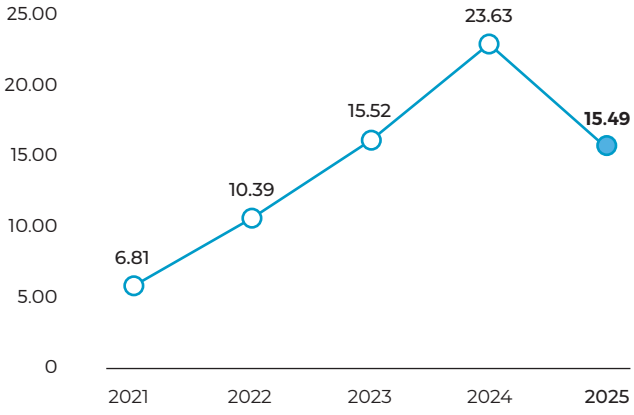
For the year ended September 30, 2025, the Bank recorded net profit after tax of $15.49 million, a decrease of $8.14 million or 34.45 percent from the $23.63 million recorded in 2024. The Bank's operating income showed strong performance; increasing by $17.19 million or 58.39 percent, mainly due to increased income of $12.54 million and reduced operating expenses of $4.65 million. However, these were offset by a $29.26 million increase in credit loss expense on financial assets, attributed mainly to two corporate facilities.

2.39 TOTAL ASSETS ($B)

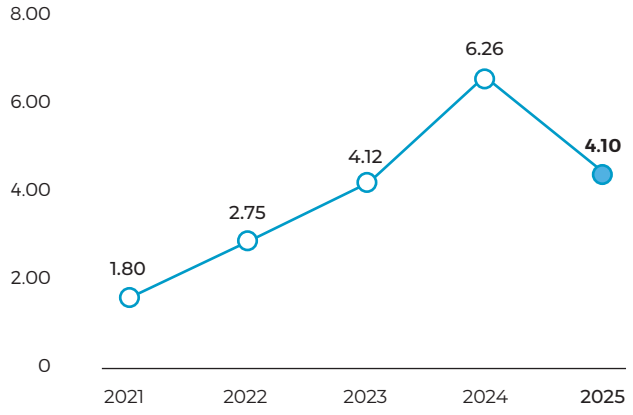
0.66 RETURN ON ASSETS (%)

Managing Director's Discussion and Analysis

Profit after taxation ($M)



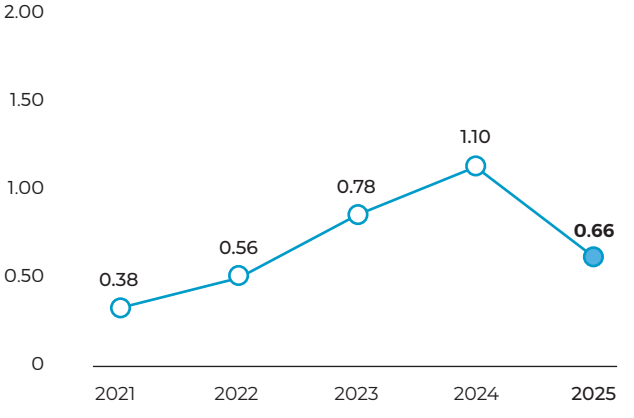
Earnings per share ($)



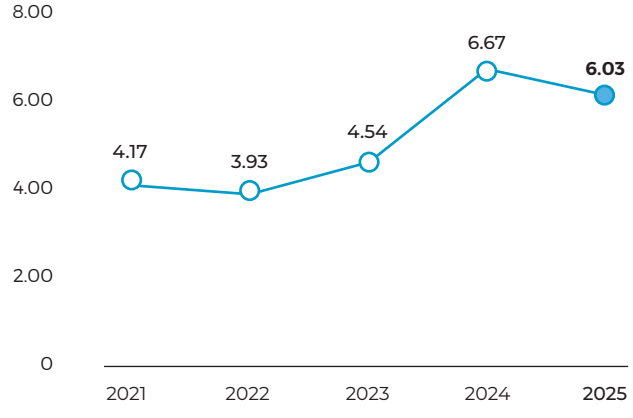
The reduced profit resulted in Earnings per share decreasing to $4.10 from $6.26 in 2024.

The Bank's principal performance indicators decreased in line with the reduction in profits. Return On Average Assets (ROA) decreased to 0.66 percent from 1.10 percent and Return On Average Equity (ROE) to 6.03 percent from 6.67 percent.

Return on average assets (%)



Return on average equity (%)



Interest income

The Bank continues to utilise excess liquidity within its risk appetite as a means of increasing Interest income. During fiscal 2025, all categories of interest earning assets recorded increased Interest income.

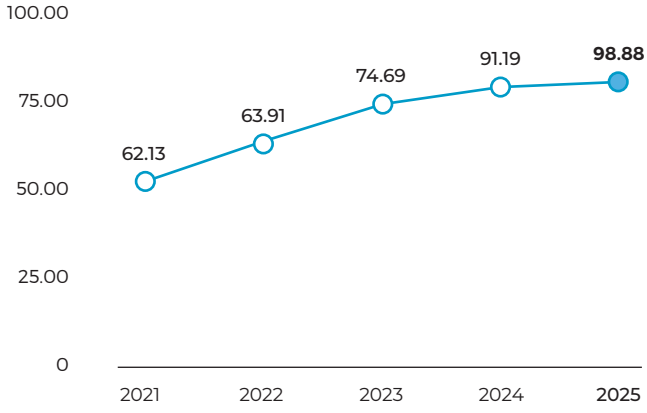
Total Interest income increased by $7.68 million of which interest on investments accounted for $4.76 million or 61.91 percent. Loans and Liquid assets accounted for $1.49 million or 19.35 percent and $1.44 million or 18.74 percent respectively.

All investments maturing during the year were reinvested. Maturity proceeds from some short-term instruments and excess liquidity were utilised during the year to fund new long-term instruments. This was instrumental in achieving the $109.87 million or 29.36 percent increase in the gross portfolio positively impacting Interest income.

Interest income on Liquid assets increased by $1.44 million or 18.04 percent as strategies were employed to intentionally maximise income from excess funds.

Interest income on Loans and Advances increased by $1.49 million or 2.17 percent. While the performing portfolio increased by $59.93 million or 5.56 percent, the non-performing portfolio increased by $38.01 million or 77.57 percent, negatively impacting income. Average yield on the portfolio decreased to 6.36 percent from 6.58 percent last fiscal, undermining growth in Interest income.

Interest income ($M)

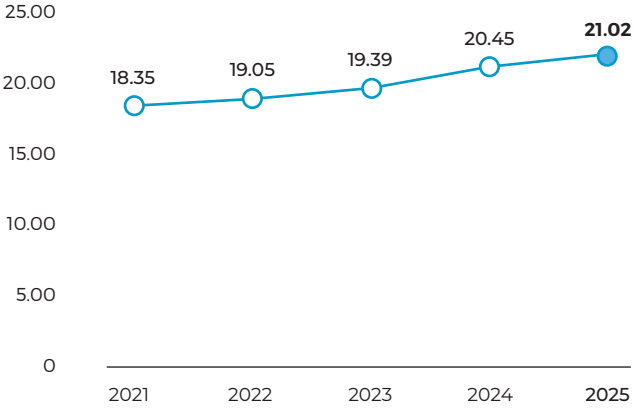


Interest expense

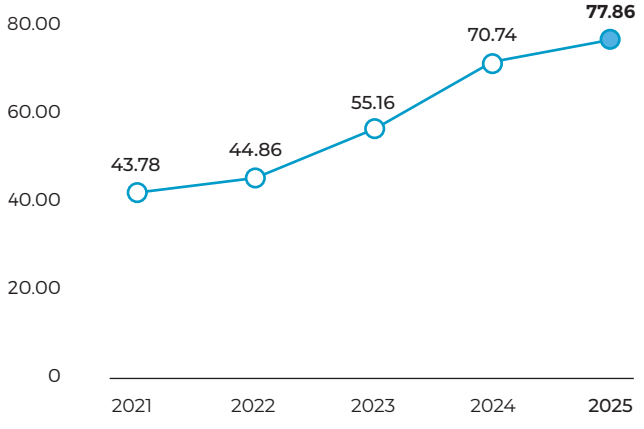
Interest expense increased by $0.56 million or 2.75 percent, mainly due to the $64.08 million or 3.64 percent increase in customer deposits. Growth was concentrated mainly in demand deposits assisting with containing Interest expense.

Net interest income increased by $7.12 million to $77.86 million during the fiscal. This was mainly due to the $7.68 million increase in Interest income, which far surpassed the $0.56 million increase in Interest expense.

Interest expense ($M)



Net interest income ($M)



4.96 TOTAL TAXATION ($M)

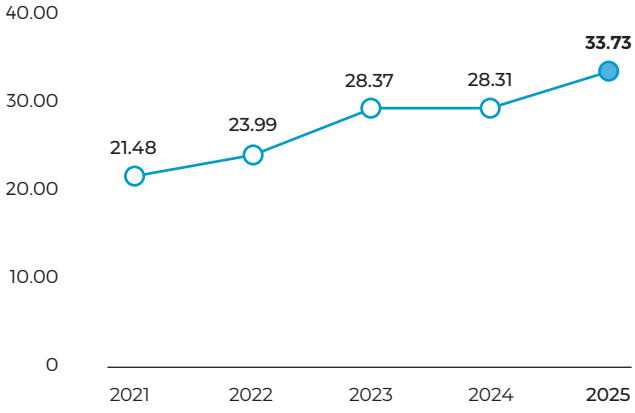
260.19 TOTAL EQUITY ($M)

Managing Director's Discussion and Analysis

Non-interest income

After declining slightly in 2024, Non-interest income increased by $5.42 million or 19.15 percent to $33.73 million, in 2025. The main contributor to this increase is Other operating income, which increased by $2.86 million, mainly due to $2.20 million in one-off income achieved during the year. Credit card fees and commissions increased by $1.37 million or 17.28 percent respectively, mainly due to new strategies implemented during the year. Fees and commissions and Exchange earnings increased by $0.67 million or 8.57 percent and $0.58 million or 5.49 percent respectively.

Non-interest income ($M)



Sources of revenue

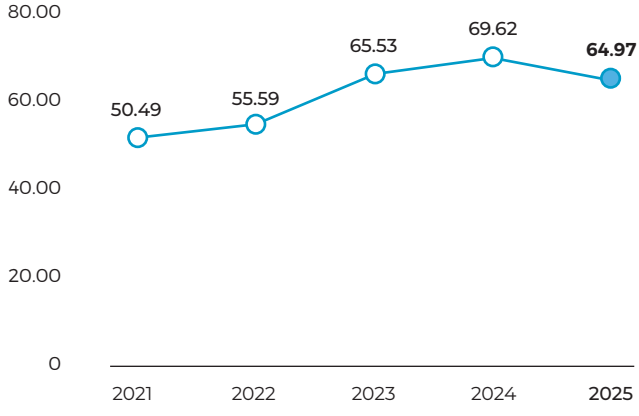
	2025 %	2024 %	Change
Advances	**52.90**	57.46	-4.56
Investment securities	**14.56**	12.18	2.38
Liquid assets	**7.10**	6.68	0.42
Exchange earnings	**8.46**	8.90	-0.44
Fees and commissions	**13.45**	13.21	0.24
Other income	**3.53**	1.57	1.96

The major shift in sources of revenue as a percentage of total revenue in 2025 is reflected in Investments and Other income which increased by 2.38 percent and 1.95 percent respectively, while advances decreased by 4.56 percent. The shift in investments was mainly due to robust liquidity management, while advances declined due to the increase in the non-performing portfolio and declining yields.

Operating expenses

After increasing consecutively since 2021, the Bank recorded a decrease in operating expenses this fiscal; decreasing by $4.65 million or 6.68 percent to $64.97 million from $69.62 million in 2024. All major areas of operating expenses recorded reduction mainly due to strategies employed to manage expenses.

Operating expense ($M)



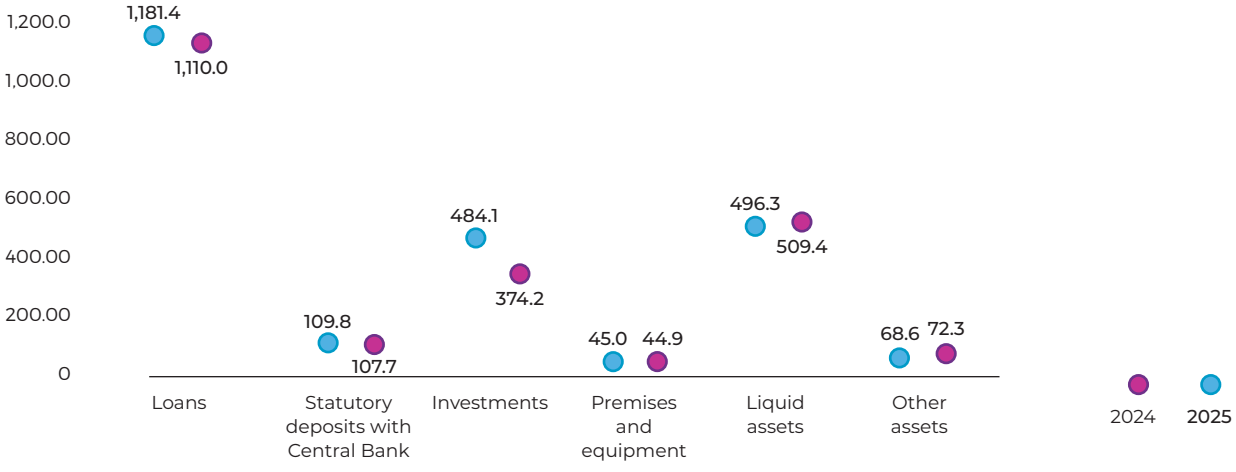
Credit loss expense on financial assets

Fiscal 2025 recorded a significant increase in credit loss expense on financial assets, negatively impacting the Bank's overall performance. An increase of $29.26 million was recorded, mainly due to credit loss expense on two corporate facilities.

Statement of financial position review

As at September 30, 2025, total assets increased by $166.71 million to $2.39 billion from $2.22 billion in 2024. The increase in total assets is primarily reflected in investments and loans, which increased by $109.87 million and $71.34 million, respectively.

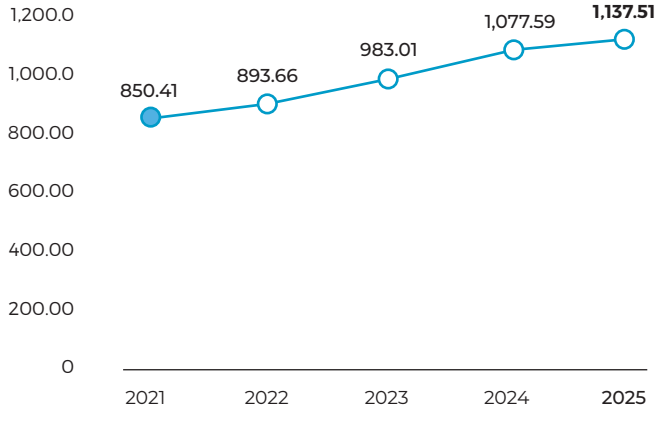
Composition of assets ($M)



Loans

During the fiscal, the performing loans portfolio increased by $59.93 million or 5.56 percent, to end the year at $1,137.51 million from $1,077.59 million in 2024. Mortgages accounted for $49.89 million or 83.26 percent of the increase, while the retail and corporate/commercial portfolios increased by $9.46 and $3.32 million, respectively.

Performing loans and advances ($M)



77.86 NET INTEREST INCOME ($M)

33.73 OTHER INCOME ($M)

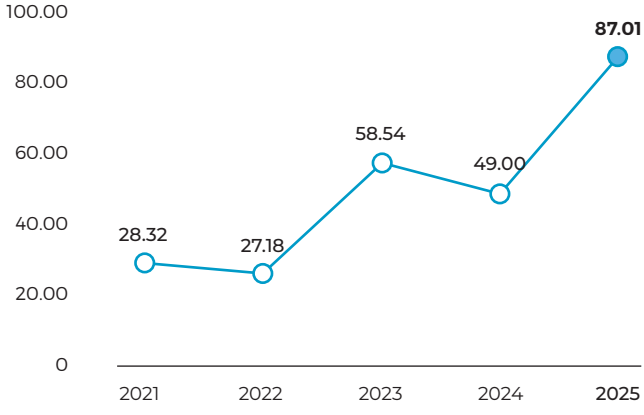
Managing Director's Discussion and Analysis

Non-performing loans

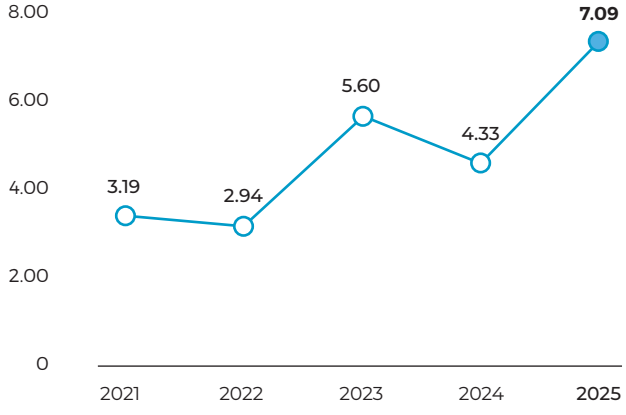
After declining last fiscal and falling within the Eastern Caribbean Central Bank (ECCB)'s benchmark, the non-performing portfolio increased by $38.01 million to end the year at $87.01 million from $49.00 million in 2024. The increase was mainly due to two corporate facilities.

As a result of the significant increase in the non-performing loans portfolio, the non-performing to gross loans ratio increased to 7.09 percent from 4.33 percent in 2024, exceeding the ECCB's benchmark of 5 percent.

Non-performing loans and advances ($M)

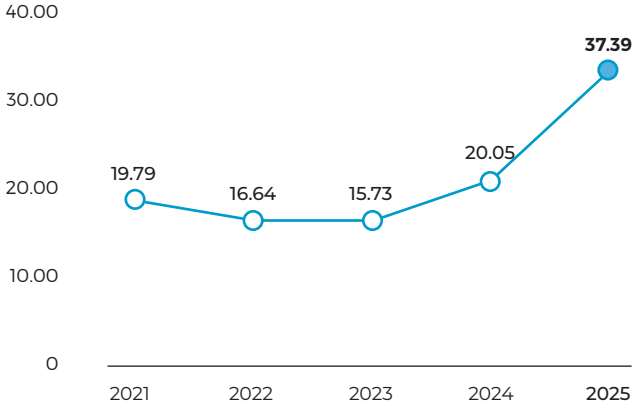


Non-performing to gross loans (%)



The ratio of Stage 3 Expected Credit Loss (ECL) to non-performing loans increased to 37.39 percent from 20.05 percent in 2024. While an increase was recorded, it is still reflecting the strong quality of the Bank's collateral.

Stage 3 Provision to non-performing loans (%)



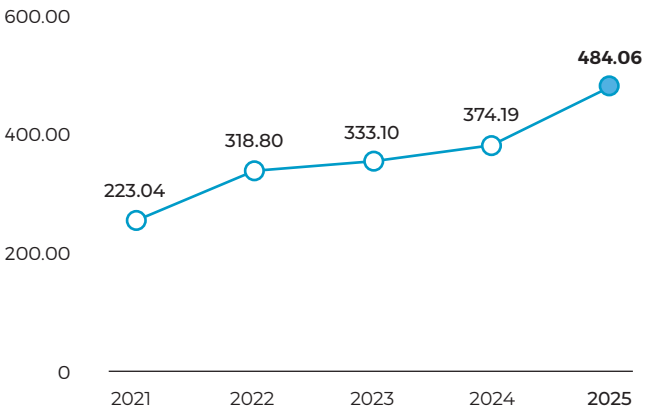
Investments

It was another remarkable year for the investment portfolio. All maturing investments were reinvested, and maturity proceeds from some short-term instruments and excess liquidity were used to fund additional investments. This assisted with the $109.87 million or 29.36% growth in the portfolio to end the fiscal at $484.06 million. The Bank continues to source new investments, mainly from the international market, well diversifying them in various regions and sectors.

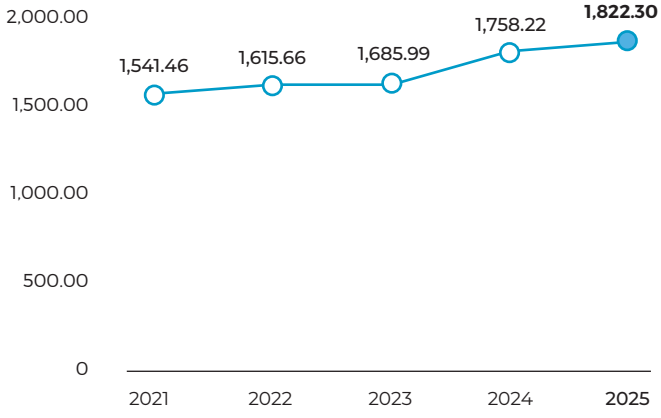
Deposits

Customer deposits increased by $64.08 million or 3.64 percent during fiscal 2025. The increase was primarily in demand deposits.

Investments ($M)



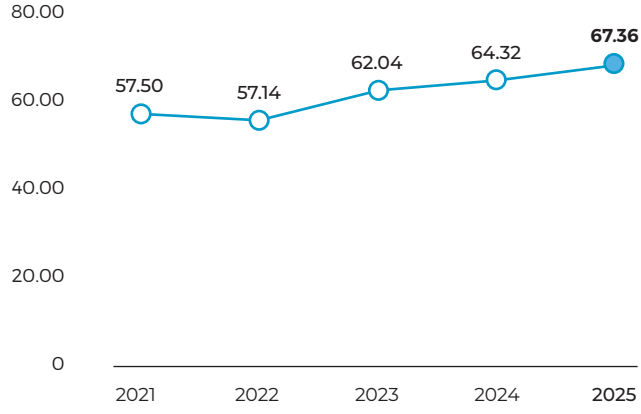
Customer deposits ($M)



Gross loans to customer deposits

During the fiscal, the growth in loans outpaced the growth in deposits, resulting in the gross loans to deposits ratio increasing to 67.36 percent, from 64.32 percent in 2024.

Gross loans to customer deposits (%)

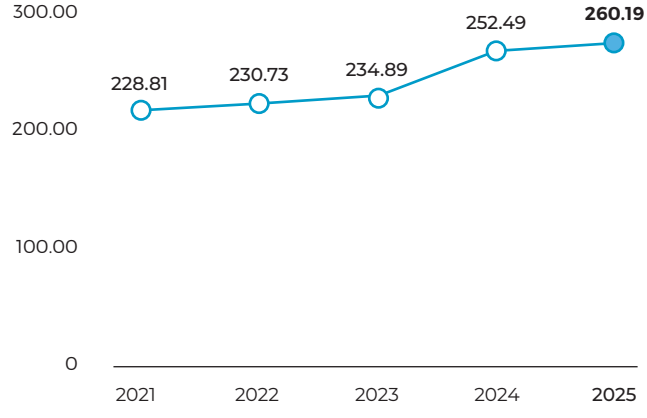


Management of risk

Overview

The Company's prudent banking practices are based on solid risk management. Utilising the resources of Republic Financial Holdings Limited, our parent company, we keep abreast of our dynamic environment and manage continually evolving risks as our business activities change in response to market, credit conditions, product, and other developments. The Bank manages a variety of risks in the ordinary course of business. Our approach to each of the major specific risks is listed in the Notes to the financial statements.

Shareholder equity ($M)



Capital structure

The Company's policy is to maintain a prudent relationship between capital resources and the risks of its underlying business. Shareholders' equity stood at $260.19 million as at September 30, 2025, an increase of $7.70 million during the fiscal. This was mainly due to Profit after tax of $15.49 million for fiscal 2025, a decrease of $0.43 million in defined benefit reserve, and dividend payment of $7.36 million.

Managing Director's Discussion and Analysis

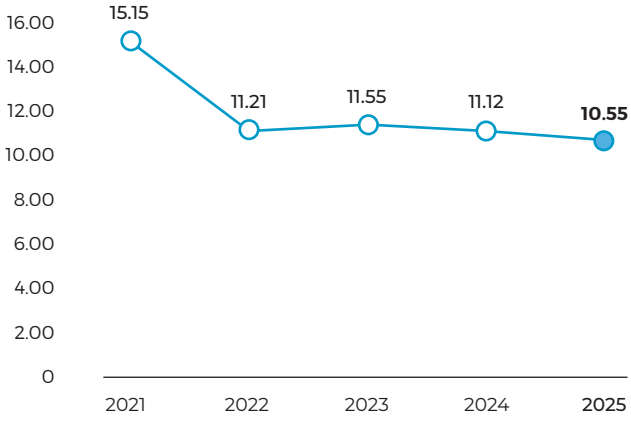
Regulatory capital

Capital adequacy is monitored by employing techniques based on the guidelines developed by the Basel Committee on Banking Regulations and Supervisory Practice (the Basel Committee), as implemented by the Eastern Caribbean Central Bank for supervisory purposes. The risk-based capital guidelines require a minimum of core capital (Tier 1) to risk-weighted assets of 4 percent, with a minimum total qualifying capital (Tier 2) to risk-weighted assets of 8 percent.

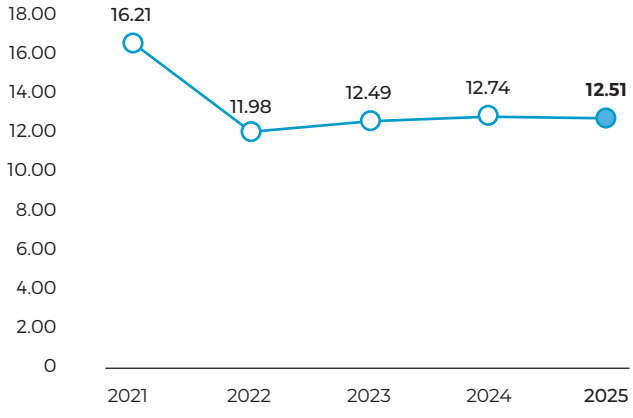
As at September 30, 2025, the Company exceeded the minimum levels required, with Tier 1 capital to risk-weighted assets of 10.55 percent and total qualifying capital to risk-weighted assets of 12.51 percent.

Based on the results for fiscal 2025, the Board of Directors has declared a dividend of $1.20 per share. This represents a cost of $4.53 million and a payout ratio of 29.23 percent.

Capital adequacy tier 1 (%)



Capital adequacy tier 2 (%)



Customer service

This fiscal, we continued to enhance our customer service delivery through the introduction of innovative digital solutions, service initiatives, and infrastructure improvements. A major milestone was the launch of Republic*Onboard*, a cutting-edge platform that allows customers to open accounts online. Initially available to open E-Free accounts, the platform will be expanded to accommodate additional account types in the future. Republic*Onboard* facilitates account opening for both new and existing customers.

The Business Centre formerly located on Halifax Street, was temporarily relocated to the Carenage, St. George's.

To promote greater adoption of our digital services, Republic*Online* and Republic*Mobile*, we piloted the What's On at Republic initiative across our mainland branches. This in-branch programme featured live presentations designed to educate customers on the benefits of internet banking, while also offering real-time troubleshooting support.

Our annual Customer Experience Survey, conducted between June and July, showed an improvement in overall service delivery, with the score increasing from 4.67 to 4.91. The highest-rated service elements were Accuracy, Courtesy, Professionalism, and Knowledge, reaffirming our continued focus on quality customer interactions.

We also enhanced our Premium Banking service to offer more modern, comfortable amenities along with a premium membership card and extended service hours. In alignment with the Eastern Caribbean Central Bank's financial inclusion efforts, we introduced the First Step Account, designed to provide basic, affordable and convenient banking services to underserved populations across the region.

Beyond product and digital enhancements, we also implemented key physical upgrades to improve the in-branch experience. The Republic House parking lot was expanded to increase capacity, ensuring greater convenience for customers conducting business at the branch.

At Republic Bank, we remain committed to engaging our staff and providing opportunities for them to connect, innovate, excel and grow. Our continued investment in staff development and training programmes across all levels of the Bank, is illustrative of this, as we deliver on being the employer of choice in Grenada.

We remain committed to strengthening all seven pillars of excellent service – Courtesy, Care and Consideration, Knowledge, Accuracy, Professionalism, Speed, and Follow-up, as we continue to evolve and respond to the changing needs of our customers.

Staff training and development

At Republic Bank, we remain committed to engaging our staff and providing opportunities for them to connect, innovate, excel and grow. Our continued investment in staff development and training programmes across all levels of the Bank, is illustrative of this as we deliver on being the employer of choice in Grenada.

Our programmes this year focused on strengthening technical competence, enhancing cybersecurity, deepening awareness of anti-money laundering and compliance, improving customer service and refining other soft skills.

The Leadership Team participated in a dynamic programme designed to elevate leadership performance. The training emphasised building the habits, mindset and accountability to transform teams. Supervisors also completed leadership development training with emphasis on building high-performing teams through effective coaching, performance management and employee engagement.

Staff across the Bank engaged in both Python and AI awareness sessions to gain practical insight into artificial intelligence and to learn how AI can streamline processes, improve efficiency and support smarter decision-making to simplify and enhance daily work. Python training focused on building skills in problem-solving, automation of repetitive tasks and data analysis for improving efficiency through teamwork and collaboration.

Additionally, all staff participated in cybersecurity awareness training to strengthen resilience against cyber threats and reinforce best practices in data protection. Complementing this was corporate security awareness sessions which highlighted the impact of fraudulent activities, while reinforcing the importance of vigilance, accountability and safeguarding the integrity of the Bank.

Specialised programmes were also delivered across specific functions. Credit staff benefited from advanced training to further develop analytical skills and support prudent credit assessment, while operations staff completed targeted compliance training focused on strengthening practical application of regulatory requirements.

Finally, recognising that delivering exceptional service at every touchpoint remains a core priority, a series of customer service training programmes were held across the network to elevate service delivery and enhance the overall customer experience.

Managing Director's Discussion and Analysis

Collectively, these training initiatives underscore our ongoing commitment to strengthening key skills, upholding regulatory compliance and maintaining excellence in service delivery across all levels of the organisation.

Information technology

In fiscal 2025, we continued to replace our aging Automated Teller Machine fleet with newer models containing exciting features and services, including contactless transaction. We anticipate this exercise will be completed by June 2026. To adequately meet the demands of our business customers for e-commerce and integrated payment systems, we have upgraded our Point-of-Sale infrastructure, with the roll-out of new terminals.

The Bank remains poised to leverage on opportunities in the market, by utilising its strengths to continue to add value to its shareholders, while assisting with the growth and development of the communities within which we operate.

Outlook

The near-term outlook is positive. Real GDP is forecasted to grow by 4.1 percent in 2025, driven by continued growth in tourism and post-Hurricane Beryl reconstruction activities. Period average overall inflation is forecasted to remain low and stable at around 0.9 percent over the medium term. The tourism sector is expected to register weaker growth in 2025, although its performance is expected to improve in the second half of the year.

Although the economic outlook is positive, slow economic growth in some of Grenada's primary tourism and investment source markets could dampen the expected growth. Additionally, extreme weather events present significant risks, redirecting capital resources away from economic development and resilience building.

The Bank remains poised to leverage on opportunities in the market, by utilising its strengths to continue to add value to its shareholders, while assisting with the growth and development of the communities within which we operate.

Appreciation

I wish to acknowledge and thank our staff for their continued support, dedication, and commitment to the organisation's success. To our valued customers and key stakeholders, I am grateful for your loyal patronage. My sincere appreciation to the Chairperson and Board of Directors for your ongoing guidance and direction.

NAOMI E. DE ALLIE
MANAGING DIRECTOR

Empowering MSMEs through innovation

Progress begins with knowledge. Our Micro, Small and Medium Enterprises (MSME) initiative brought business owners together to explore new ways to grow—combining practical insights with digital tools that make business smarter, faster, and more resilient. By merging innovation with entrepreneurship, we're helping small businesses transform challenges into opportunities and drive growth across the region.

smart access

By understanding your needs we have geared our digital touchpoints, including our new smart ATMs, to prioritise your individual requirements. We are ensuring that all our retail and commercial customers benefit from our expertise as we strategise to help them access the lifestyle they dream of through loans, tactical credit card use, leveraging technological services and sound investment of funds.

Senior Management

STACEY A. HEM LEE

GENERAL MANAGER, CREDIT

BSc (Hons.) (Mgmt.), CPA, CA

JOINED April 11, 2005

MAVIS H. MC BURNIE

GENERAL MANAGER, OPERATIONS

MBA, Exec. Dip. (Dist.) (Mgmt. Studies), CAMS-RM, AICB

JOINED October 23, 2002

Management

SHERMAN L. DOUGLAS

MANAGER,
END USER DELIVERY

AAS (Computer Science), A+, Security+, Dip. (Bus. Mgmt.)

JOINED July 14, 1989

MC KIE J. GRIFFITH

MANAGER, RETAIL SERVICES,
REPUBLIC HOUSE

BSc (Mgmt.)

JOINED October 6, 1997

KATHLEEN S. HARRIS-FORRESTER

MANAGER, RETAIL SERVICES,
GRENVILLE CLUSTER

Dip. (Bus. Mgmt.)

JOINED November 16, 1990

KURT D. MC FARLANE

MANAGER,
COMMERCIAL BANKING

BSc (Hons.) (Bkg. and Fin.)

JOINED October 15, 1996

DORIAN L. MC PHAIL

MANAGER, RETAIL SERVICES,
MELVILLE STREET BRANCH

JOINED September 9, 1987

ELIZABETH M. RICHARDS-DANIEL

MANAGER, FINANCE

MBA (Fin. Services), FCCA

JOINED August 13, 1996

DEVON M. THORNHILL

MANAGER,
CORPORATE BANKING

BSc (Hons.) (Bkg. and Fin.), MBA

JOINED December 6, 1993

AESIA B. WORME

MANAGER,
HUMAN RESOURCES

BSc (Hons.) (Soc. Sci.), EMBA (Dist.), Dip. (Proj. Mgmt.), CAMS, SPHRi

JOINED December 15, 1999

limitless collaborations

We're unlocking the power of ideas. The Republic Bank Digital and Innovation Centre is where creativity meets technology, and collaboration fuels transformation. It's a space designed to inspire bold thinking, connect teams across the region, and turn imagination into impact. Together, we're creating a culture of continuous growth—where ideas spark progress and innovation shapes our future.

Statement of Corporate Governance Practices

Introduction

Republic Bank (Grenada) Limited, a subsidiary of Republic Financial Holdings Limited, continues to support the Group's strategic objectives and plays a key role in the Group's regional operations and commitment to responsible banking. Its corporate governance framework is integral to maintaining stakeholder trust and ensuring long-term sustainability.

Objectives

Republic Bank (Grenada) Limited (the Company) is committed to maintaining the highest standards of corporate governance so that short-term objectives are balanced carefully against the necessity of achieving long-term value. To this end, the Company continues to monitor and update its internal systems as necessary to ensure that our standards reflect best international practices, while still being tailored to the specific needs of the Bank.

The Board of Directors of the Company (the Board) continues to provide entrepreneurial leadership, enterprise, integrity, and good judgment in directing the Company to achieve sustainable growth and enduring prosperity. The Board's ultimate role is to act in the best interests of the Company, guided by a philosophy that is based on good governance, transparency, accountability, and responsibility. The Group's Core Values of Customer Focus, Integrity, Respect for the Individual, Professionalism, and Results Orientation are set by the Board to ensure that the Company's obligations to its shareholders, employees, customers, and the societies it serves, are met. Integrity and trust are the cornerstones of the business of banking and finance, and the Board manages and makes decisions that uphold these ideals at all times.

The Board also provides entrepreneurial leadership to the Company within a framework of prudent and effective controls that enable risk to be assessed and managed. This allows the Board to set the Company's strategic objectives and ensure that the necessary financial and human resources are in place to make certain that those objectives are met, and that a review of management's performance is completed. The Company's values and standards are developed to ensure that its obligations to its shareholders and other stakeholders are met.

The Board is responsible for:

- oversight of the Bank, including its control and accountability systems;
- appointing and removing Directors and members of senior management;
- formulation of policy;
- input into, and final approval of management's development of corporate strategy and performance objectives;
- reviewing and ratifying systems of risk management and internal compliance and control, codes of conduct and legal compliance;
- monitoring senior management's performance, implementing strategy, and ensuring appropriate resources are available;
- approving and monitoring the progress of major capital expenditure, capital management and acquisitions and divestitures;
- approving and monitoring financial and other reporting; and approving credit facilities in excess of a defined amount.

The Board is currently made up of eight Non-Executive Directors and a Managing Director. The Board exercises independent judgment with management information to enable proper and objective assessment of corporate affairs. The Non-Executive Directors, reflect a diverse cross-section of the professional business community and are all highly respected, independent individuals with a wealth of experience in their respective fields.

The Managing Director and related company representatives on the Board ensure that, at Board meetings, Directors have access to the best possible banking, management, and financial advice during their deliberations and this ensures that the Board has a clear perspective on all matters on which decisions are required.

The Board of Directors meets formally in the first month of each quarter and also in December, while a subcommittee of the Board meets in each of the seven months the Board does not meet. The Managing Director has explicit authorities and responsibilities that are documented and approved by the Board of Directors and are reviewed as and when necessary.

The Company's strategies, policies, agreed management performance criteria and business plans are defined and measurable in a manner which is precise and tangible, both to the Board and management. The Bank's affairs are subject to comprehensive assessment against accurate and relevant

information, both financial and non-financial as appropriate, obtainable from the Company's internal reporting systems as well as external sources, so that informed assessment can be made of issues facing the Board.

Responsibilities

The Republic Financial Holdings Limited Group has 10 principles of corporate governance that summarise the objectives of the Board and provide a framework for the manner in which it functions and discharges its responsibilities:

Principles:

1 Lay solid foundation for management and oversight
2 Structure the Board to add value
3 Promote ethical and responsible decision-making
4 Safeguard integrity in financial reporting
5 Make timely and balanced disclosure
6 Respect the rights of shareholders
7 Recognise and manage risk
8 Encourage enhanced performance
9 Remunerate fairly and responsibly
10 Recognise the legitimate interests of stakeholders

Diversity, Equity, Inclusion

As an equal opportunity employer, committed to Diversity, Equity, and Inclusion, we are focused on ensuring that our systems, policies, and procedures represent and promote every group of individuals within the communities we serve. We continue to transition our model to reflect this commitment throughout the Group, educating and raising awareness in our subsidiaries, with the goal of nurturing and sustaining an environment of inclusivity and acceptance.

Director Independence

The majority of the Directors are independent. The Board reviews the criteria to be considered in determining whether a Director is independent, both in character and judgment, and in line with principles of governing legislation and corporate governance. In addition, the Board considers independence within its Conflict-of-Interest policy and, in this regard, may consider any direct or indirect relationship that a Director has within the Group that may be likely to interfere with the exercise of independent, unbiased judgment.

Blue Diamond Awards where our people shine

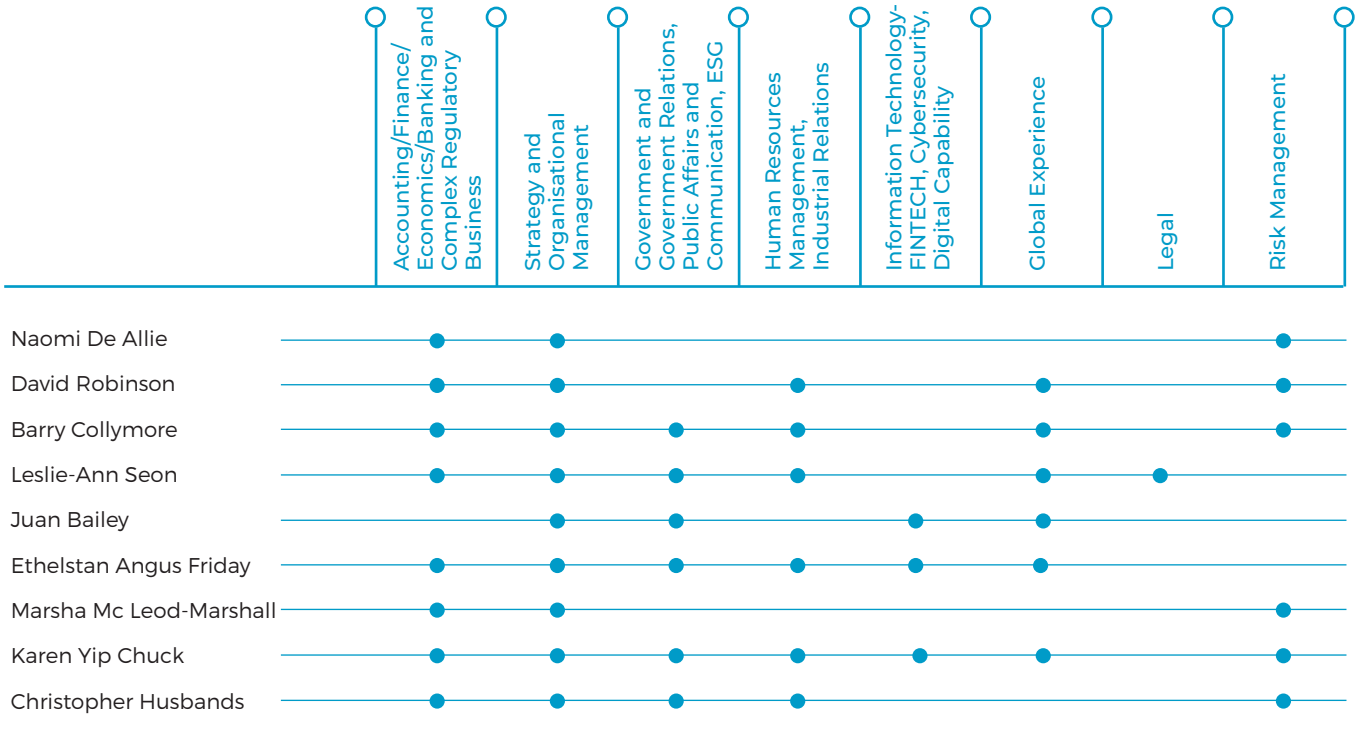
More than a celebration, the Blue Diamond Awards shine a light on the people shaping our future. Honouring long-service, achievement, and innovative thinking, the event recognises those who push boundaries, inspire others, and live our shared values. Together, we celebrate progress built on purpose.

Statement of Corporate Governance Practices

Director Induction

Directors appointed to the Board of Republic Bank (Grenada) Limited enjoy an extensive orientation and induction programme to ensure they become well acquainted with the organisation. The objective of induction is to provide a new Director with the information that he or she will need to become as effective as possible in their role within the shortest practicable time. From the induction process, information is received on any particular interest that the new Director holds, which enhances the Director life cycle and aids in providing further training or other opportunities for the Director. Board mentors have also been introduced for new members. This particular function is managed by the Corporate Secretary.

Directors of the Board – Skills, Expertise and Experience



Director Remuneration

Members of the Board of Directors do not participate in performance-based incentive plans; they are remunerated by money payment only. Committee Chairpersons and members are paid an additional fee for each committee on which they serve.

Independent Advice

The Board has access to the best possible banking, management, and financial advice during its deliberations and in that regard the Board has access to the advice of the Corporate Secretary, as well as external counsel. In addition, the Board of Directors may appoint or retain any other professional advisors it considers appropriate.

Delegated Authority

The Board is the principal decision-making forum for decisions that impact the Company. The Board of Directors has delegated the responsibility for the operational and day-to-day activities in relation to the Company's business, to the Managing Director. Explicit authorities and responsibilities of the Managing Director are documented and approved by the Board of Directors. Matters not specifically delegated are reserved to the Board.

Director Tenure

Non-Executive Directors retire from the Board after serving for a maximum of 15 years or on becoming 70 years of age, whichever first occurs. However, the Board may, in its discretion, consider the exigencies of a particular situation. Executive Directors retire in accordance with the Bank's usual retirement policy.

The Company scheduled 8 meetings within the period October 1, 2024 to September 30, 2025, and the attendance record of each Director is detailed in the table below:

Directors Board: 5
Special Board: 3

	Attendance	Eligible to Attend
Karen Yip Chuck, *Chairperson*	7	8
Christopher Husbands	8	8
Leslie-Ann Seon	6	8
Marsha Mc Leod-Marshall	7	8
Juan Bailey	5	8
Ethelstan Angus Friday	8	8
Barry Collymore	8	8
Naomi De Allie	8	8
David Robinson	6	8

Focus Areas of the Board for Fiscal Year 2025-2026

The Board's focus for the fiscal year 2025-2026 is embodied within its Declaration of Purpose: We Value People, We Serve with Heart; We are deeply Committed to Your Success. We Care.

The Board's strategic vision is aligned to Connect, Innovate, Excel, and Grow. Experiences of the global pandemic for approximately two years have undoubtedly influenced the focus of the Group to design a robust plan to navigate uncertainties in a dynamic and resilient way. The Board's focus has been to maintain the growth, strength and success of the organisation with its Declaration of Purpose always guiding at the fore.

Enriching our Stakeholder Relationships

The Company recognises its responsibilities to its stakeholders as a corporate citizen, and keeps the interest of its employees, customers, shareholders, and the communities it serves at the forefront. In placing the highest value on its stakeholder relationships, the Company's parent company promotes the safety of these groups as its top priority and has been actively soliciting feedback and communication via formal and informal channels throughout the Group on its stakeholders' evolving needs and concerns, to which the Board has been receptive and responsive.

Audit and Enterprise Risk Committee

This Committee meets quarterly to review the financial reporting process, the system of internal control, management of enterprise risks, including financial risks, the audit process, the Company's process for monitoring compliance with laws and regulations, and its own code of business. The Committee's composition and attendance record are detailed in the table below:

	Attendance	Eligible to Attend
Christopher Husbands, *Chairperson*	5	5
Karen Yip Chuck	5	5
Marsha Mc Leod-Marshall	4	5
Juan Bailey	3	5
Barry Collymore	1	1
Leslie-Ann Seon	1	1

Governance, Nomination and Compensation Committee

This Committee meets at least once a year to review, update and recommend changes in governance policies, make recommendations on nomination of new Directors or new

Statement of Corporate Governance Practices

members of senior management at the Executive Leadership level, ensure ongoing professional development of all Directors to enhance skills required for an efficient Board, review compensation package for all Board-appointed Officials and the Bank's Compensation Policy for all staff. The Committee's composition and attendance record are detailed in the table below:

	Attendance	Eligible to Attend
Leslie-Ann Seon, *Chairperson*	2	2
Karen Yip Chuck	2	2
Barry Collymore	2	2
Christopher Husbands	2	2
Ethelstan Angus Friday	2	2

Credit Committee

This Committee meets at least once monthly to review and approve credit proposals for borrowers or borrower groups in excess of the delegated authority of the Managing Director, approve credit policy, guidelines, exceptions and other matters related to credit risk management. This Committee comprises:

Marsha McLeod-Marshall, *Chairperson*
The Managing Director
Two Independent Directors, by rotation

All Committee members attended these meetings when required to do so.

Director Training and Evaluation

The international environment and legislative and regulatory demands remain increasingly complex and challenging, causing us to constantly review our systems and make use of technology to ensure that compliance is robust, with minimal negative impact on our legitimate customers. In this context, the Group recognises its responsibility to continue to source training programmes for Directors that will enhance Directors' knowledge and improve effectiveness.

Regarding Board Training for this fiscal, as customary, the Directors participated in the Anti-money Laundering (AML) training. Additionally, Board training was arranged on Artificial Intelligence in Board governance.

Individual Director evaluations were conducted by Ethics and Boards, in alignment with our good Corporate Governance practices.

The Group's Governance

All efforts are made to ensure that governance standards and controls are being uniformly applied and strengthened as needed. Key areas of governance which have been augmented include Parent-subsidiary relations and engagement, strengthening the Board's focus on the Group's strategic vision and ensuring adherence of the Group's culture throughout its geographic footprint.

Signed on behalf of the Board,

KAREN T. YIP CHUCK
CHAIRPERSON

September 30, 2025

International marketing conference

Our international marketing team came together in Grenada to reimagine the future of marketing in a world driven by change. Through bold discussions, creative collaboration, and shared insights, we explored new ways to connect, communicate, and innovate. The conference reinforced our shared vision—progress through creativity, unity, and the power of fresh thinking.

Pioneering Progress

RFHL's Path to Regional and Global Impact

Republic Financial Holdings Limited (RFHL) has made significant strides in embedding sustainability into the core of our business strategy over the last fiscal year. In the last three years, we have transitioned from establishing the foundational Environmental, Social and Governance (ESG) framework to executing high-impact initiatives that are shaping a more sustainable future for the region. This new era of sustainable governance and accountability has culminated in RFHL's publication of the first dedicated Sustainability Report. The document immediately cemented a regional leadership position and established a standard for transparent disclosure across all 16 subsidiaries. By anchoring the comprehensive framework to global standards, including the United Nations Environment Programme Finance Initiative (UNEP FI) Principles for Responsible Banking (PRB) and the Net-Zero Banking Alliance (NZBA), and establishing Board-level oversight, sustainability is now firmly embedded into the core of the Group's strategic decision-making and risk management architecture.

Sustainability is now firmly embedded into the core of the Group's strategic decision-making and risk management architecture.

The Group successfully generated tangible financial and economic value through the execution of our climate finance mandate. Our transition financing strategy saw the catalytic completion of 93 percent of the USD 200 million Climate Finance Fund target as at end of September 2025, actively building regional climate resilience. In parallel, the Group's Micro, Small and Medium Enterprise (MSME) Loan Facility continued to advance financial inclusion and entrepreneurial growth, disbursing TTD 118.28 million to 1,566 MSMEs, with 46 percent of financing reaching women-led enterprises. Beyond

US$200M
93% COMPLETION OF THE CLIMATE FINANCE FUND TARGET

TT$118M
MSME FINANCING WITH 46% DIRECTED TO WOMEN-LED ENTERPRISES

18
SUSTAINABILITY TRAINING SESSIONS ON SCOPE 1 AND 2 EMISSIONS BASELINE

financing, the programme also provides targeted capacity-building support to strengthen the business resilience and long-term success of MSME clients.

Furthermore, efforts to stimulate sustainable markets resulted in the successful launch of the Caribbean's first Sustainability Expo, which mobilised over 3,000 attendees daily and ignited growth and visibility for 126 sustainable businesses. These actions confirm that responsible growth is the most powerful driver of profitability and shared prosperity. The report also showcases subsidiary-level initiatives from renewable energy investments in Grenada and Ghana to coral reef restoration in Barbados, food security financing in Trinidad and Tobago and Guyana, and youth empowerment projects across Suriname and the Eastern Caribbean.

RFHL's institutional capacity was critically enhanced, establishing the necessary infrastructure to future-proof the organisation. The Group advanced its environmental performance by establishing its Scope 1 and 2 emissions baseline and strengthening emissions measurement across all subsidiaries. Internal expertise was fortified through the deployment of 18 high-impact sustainability training sessions for Board and branch leadership. Governance was reinforced through a formal Sustainability policy framework and enhanced Board oversight to embed sustainability into core strategic decision-making. Externally, global influence was extended through leadership in the Glasgow Financial Alliance for Net-Zero (GFANZ) Caribbean Chapter and the successful delivery of mission-critical technical assistance to our subsidiary in Grenada, advancing its application to Stage 2 of the accreditation process to access transformative capital from the Green Climate Fund (GCF).

Furthermore, efforts to stimulate sustainable markets resulted in the successful launch of the Caribbean's first Sustainability Expo, which mobilised over 3,000 attendees daily and ignited growth and visibility for 126 sustainable businesses

Bolstered by the successful integration of our sustainability initiatives across the entire Group, this inaugural, globally aligned report decisively reinforces RFHL's status as the regional pioneer in sustainable finance and serves as the definitive statement of our commitment to a resilient and inclusive future.

Read the full report at rfhl.com/sr2025/

Engaging young minds as they grow and learn, Republic Bank sets sights on supporting programmes that foster youth development, promote healthy lifestyles, and create inclusive opportunities across the nation.

For the second year, teamwork continued with Cricket West Indies Inc., with support from the Grenada Cricket Association, to host the Republic Bank "Five for Fun" Cricket programme, a unique 5-over, 5-player format designed to create awareness and appreciation for the sport by reaching out to more than 200 children from 30 schools across the tri-island state. In 2025, the programme became a touch point for financial literacy and responsibility as the Bank presented participants with RightStart account gift certificates to complement the young achievers' development as part of the programme.

200+

CHILDREN PARTICIPATED IN 'FIVE FOR FUN' CRICKET PROGRAMME

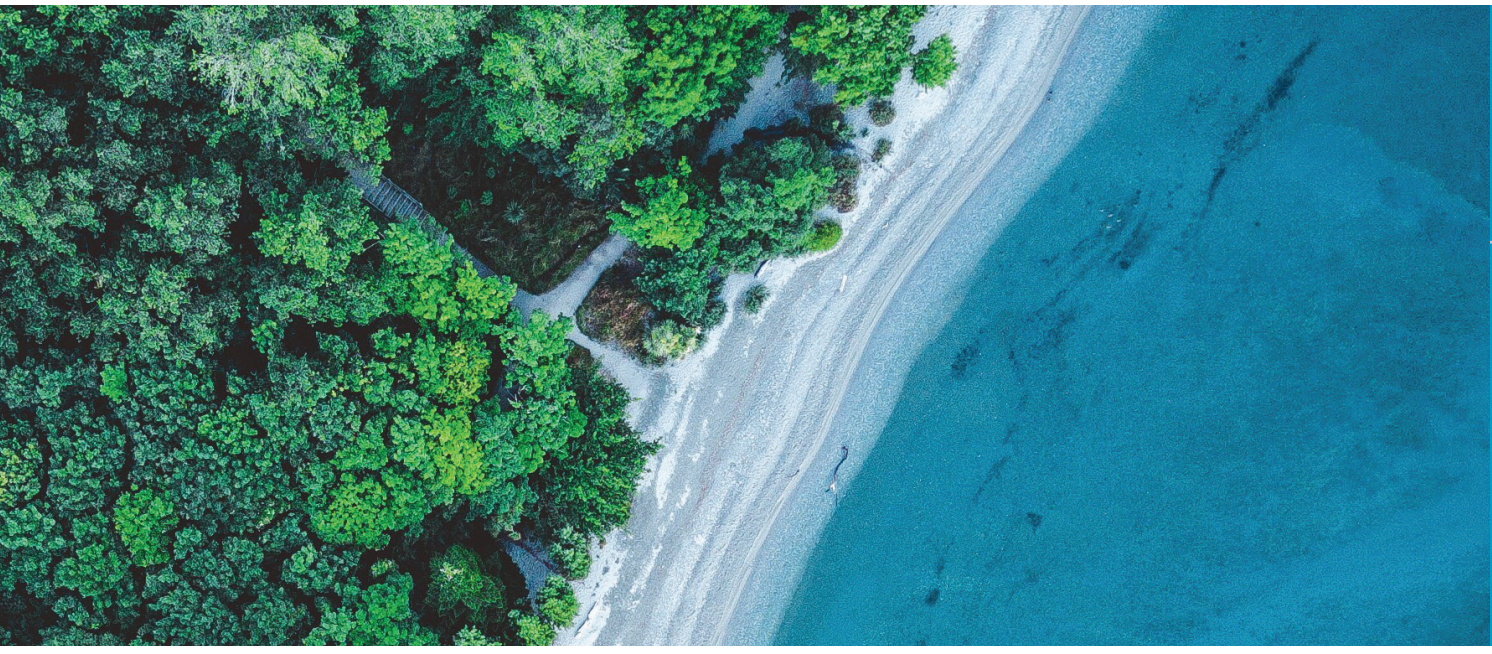
People

Building a culture of belonging is central to who we are. This year, we advanced our Diversity, Equity and Inclusion (DEI) journey through initiatives that celebrate our differences and strengthen connection across the Group. From Culture Days in eight territories to Conversation Caravans and inclusive spaces, we created opportunities for dialogue and inclusion in everyday work life. These efforts, supported by passionate staff volunteers, reflect our belief that DEI is not a programme but a value we live—one that shapes how we work, grow, and succeed together.

As one of Grenada's main tertiary institutions, the T.A. Marryshow Community College (TAMCC) plays a critical role in nurturing the country's academic and professional talent. Ongoing collaboration with TAMCC in pursuit of youth empowerment and national development through education, provided the means to grant the Republic Bank Award for Overall Academic Excellence and EC$2,000 gift certificates to three exceptional students.

$6K

AWARDS TO 3 EXCEPTIONAL STUDENTS FOR ACADEMIC EXCELLENCE



Protecting our planet demands vigilance, increased agency, and action. It calls for individuals and communities to become more committed in taking decisive steps to course correct the climate changes that affect us and ensure that there is a world for future generations.

Merging youth development with environmental advocacy, the Grenada Community Library (GCL) Summer Camp challenged children, aged 3–14 years to become "Stewards of the Environment."

Collaboration with GCL brought to life an innovative youth programme of engaging, capacity-building sessions to foster awareness of environmental conservation. With weekly field trips, a presentation by the Bank on "Developing Early Saving Habits", RightStart start-up account gift vouchers, and even a guest visit from Olympic bronze medallist, Anderson Peters, "Stewards of the Environment" offered a great deal of hands-on teaching on critical topics like global warming, climate change, pollution, and the Renew, Reuse, Recycle concept.

38 CHILDREN PARTICIPATED IN THE PROGRAMME

Planet

We have embedded sustainability into the heart of our strategy, moving from building an Environmental, Social and Governance foundation, to delivering impactful initiatives that strengthen climate resilience and inclusive growth. This year, we achieved 93 percent allocation of our US$200 million Climate Finance Fund target and advanced financial inclusion through TTD$118.28 million in MSME financing, with nearly half directed to women-led enterprises. These efforts, alongside initiatives in renewable energy, food security, and youth empowerment, reaffirm our commitment to responsible growth and a more sustainable future for the region.

Partnership with GrenadaGrows provided the means to introduce a circular waste management model at the St. George's market to help transform organic materials, often discarded at the landfill, into nutrient-rich, natural compost as an alternative to synthetic fertilisers. This project advances Grenada's climate action goals in promoting sustainable waste reduction and agricultural practices, enhancing soil health, and fostering greater environmental stewardship within the community.

40K

POUNDS OF ORGANIC WASTE TO BE DIVERTED FROM LANDFILLS IN PHASE ONE

The journey toward progress envisions a tomorrow where Republic Bank works with a diverse range of allies to bolster programmes that improve the quality of life and inspire people to achieve.

Twenty Grenadian nationals benefitted from Republic Bank's Scholarship and Bursary Programme in collaboration with the University of the West Indies (UWI) for the 2024–2025 academic year.

Scholarship recipient Terisha Gilbert successfully completed her final year at UWI's Cave Hill Campus in Barbados after receiving financial support for tuition, books, and living expenses over the past three years. Terisha pursued a Bachelor of Science degree in Economics within the Faculty of Science.

Additionally, 19 Grenadian nationals received a total of 37 bursaries through UWI's Global Campus Programme, which enables students to remain at home while pursuing higher education. For more than two decades, this Scholarship and Bursary Programme has opened doors of opportunity for students who demonstrate academic promise but require financial assistance. Areas of study supported under the programme include: business management, information technology, economics, marketing, finance, accounting and human resource management.

This partnership with UWI represents a direct investment in the future of Grenadian youth by easing the financial burden associated with tertiary education; and reaffirms the Bank's long-standing commitment to education and national development.

19 GRENADIAN NATIONALS RECEIVED BURSARIES

37 BURSARIES GIVEN

Progress

To strengthen the coordination and impact of our community initiatives, we introduced a comprehensive digital platform that streamlines the management of charitable contributions, sponsorships, volunteerism, and events. This paperless solution enables teams to efficiently track activities, manage approvals, and log volunteer hours. With intuitive workflows, customisable dashboards and real time insights, we are better equipped to measure our outreach and ensure meaningful engagement with the communities we serve.

Over the course of a weekend, armed with brushes, rollers, paint and an infectious sense of enthusiasm, head office units traded their computers and spreadsheets for painting tools.

The 25-strong team rolled up their sleeves and transformed 14 classrooms as well as the boys' and girls' restrooms at the Calliste Government School with fresh coats of paint. The project, was more than just a vibrant makeover for the school – it was a demonstration of the Bank's ongoing commitment to youth development and education, a gesture that is deeply appreciated by the teachers and students.

An equally enthusiastic team of 18 staff from Grenville Branch constructed a platform and donated a 1,000-gallon water storage tank to help address the inconsistent water supply issue at the Telescope Primary School. This gesture brought much needed relief to 220 students and teachers.

1K GALLON WATER STORAGE TANK

220 STUDENTS & TEACHERS BENEFITTED

60 YEARS OF ANGEL HARPS STEEL ORCHESTRA

44 CHAMPIONSHIP TITLES

At the heart of nation-building is providing the means for diverse communities to become more resilient in the face of challenge. It is the ongoing pursuit of ways that we can inspire through example and encourage others to succeed in today's world.

The Bank's sponsorship of the Camp Glow (Girls Leading Our World) leadership retreat set the stage for 40 secondary school girls to make the most of essential life and social skills training in a wide range of topics including: personal development, public speaking, caring for the environment, appreciating our culture, building healthy relationships, and community leadership.

Reaffirming the commitment to community development, the Bank maintained its support of 20+ community-based organisations that play vital roles, through their unwavering service and advocacy, in addressing the needs of vulnerable groups, including the elderly, the sick, and the socially marginalised.

Some of this year's recipients include, Dorothy Hopkin Centre for the Disabled, Grenada Cancer Society, the Grenada Heart Foundation, Grenada Diabetes Association, Grenada National Patient Kidney Foundation, Cardrona Home for the Aged and Grenada School for Special Education.

Communities

Through our Power to Make A Difference (PMAD) programme, we invest not only capital but purpose. Since its inception, PMAD has supported education, health, youth development, the arts and culture, and environmental initiatives across the Bank's markets. This is social investment reimagined—where meaningful impact, creative collaboration, and shared progress shape our unwavering commitment to our communities.

Republic Bank Angel Harps Steel Orchestra celebrated 60 years as a musical force in 2025, standing tall as one of the most highly respected and prolific steel orchestras in the nation with an unprecedented 44 championship titles.

With the Bank's ongoing support, the junior band, which retained the 2025 championship title at the Children's Carnival frolic, continued to add to its ever-growing legacy of musical innovation, dedication to excellence, and community pride.

In a partnership rooted in the power of music to unite, uplift and inspire, the Bank's ongoing support helps the band to bring music literacy and theory classes to several schools in the community, paving the way for the next generation of musicians and cultural ambassadors.

THE POWER TO MAKE A DIFFERENCE

At Republic Bank, performance isn't just about results, it's about impact. We're transforming how we serve through technology that enhances efficiency, and innovation that strengthens communities. From digital advancements to creative social initiatives, we're redefining what it means to perform—delivering growth that uplifts lives and builds lasting possibilities for generations to come.

powering **performance**

The Power to Make A Difference

Investing in our future

Investing in our future means understanding the importance and the need for decisive action today. It means committing to the development and protection of our people, working together toward sustainable progress, nurturing strength and resilience within our communities, and safeguarding the future of our planet.

Over the course of decades, united in purpose with allies across communities in the Caribbean, South America, and Ghana, the Republic Group has pursued a course toward a tomorrow of prosperous and inclusive societies and empowered people.

In support of initiatives that advocate youth empowerment through literacy, sport, culture and the arts; champion healthcare, environmental integrity, social well-being and equity; spur business and economic resilience; and challenge diverse communities and individuals, inside and outside of the banking halls, the Group continued to leverage its resources and talents for the greater good.

Guided by the Power to Make A Difference programme; sound Sustainability; and Diversity, Equity and Inclusion (DEI) frameworks; and the United Nations Principles for Responsible Banking (PRB), the Group demonstrates an ongoing commitment to serve, aligning with purpose-driven partners to help build stronger societies and significantly invest in a sustainable future for all.

A True Blue effort

Across the nation, staff volunteers continued to live by the Republic spirit; showing up early, often, and wholeheartedly. In a heartfelt show of community support and solidarity, Carriacou staff proudly showed up to paint classrooms at the Dover Government School, which was destroyed during the passage of Hurricane Beryl. Together, they brought relief, and hope to hundreds, proving that when compassion meets action, transformation follows.

Together toward a brave new world

As we look ahead, our purpose remains clear: to work hand-in-hand with our allies, communities, and partners to create a brighter, more sustainable tomorrow.

With every restored home, every inspired student, every cleaner coastline, and every life uplifted, our commitment endures—a commitment to build, to empower, and to believe in the boundless potential of our people.

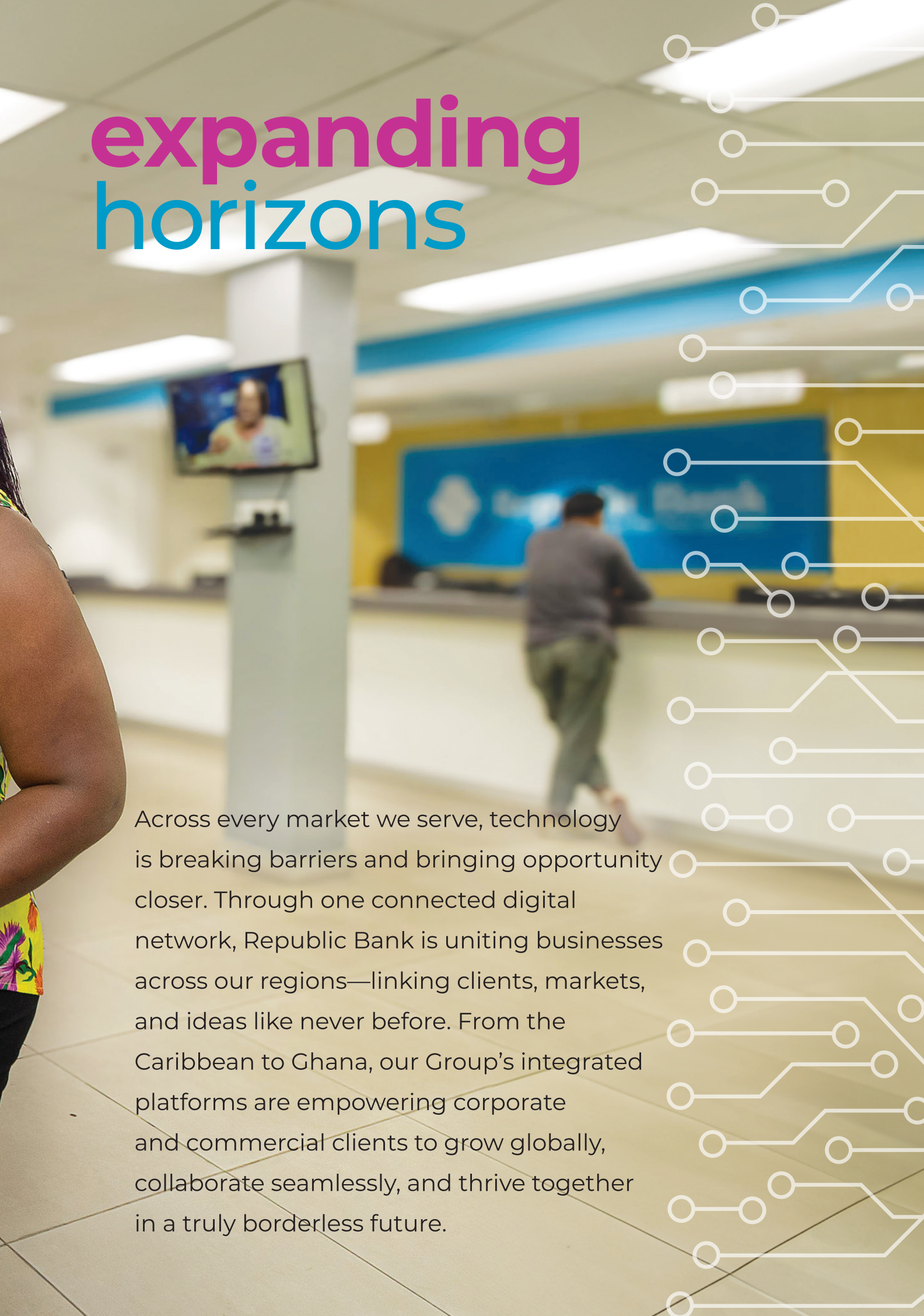
That is the Republic promise... made with every community, kept with every action, and renewed with every generation on the path, together toward a brave new world.

Our Partners and Initiatives

- Anderson Peters
- Angel Harps Steel Orchestra
- Cardrona Home for the Aged
- Chores Support Group
- Calliste Government School
- Camp GLOW (Girls Leading Our World)
- Dorothy Hopkin Centre for the Disabled
- Dover Government School
- 'Five for Fun' Youth Cricket
- Friends of The Mentally Ill
- Grenada Cancer Society
- Grenada, Carriacou and Petite Martinique Foundation for Needy Students
- Grenada Community Library Summer Programme
- Grenada Diabetes Association
- GrenadaGrows: Greening Grenada – St. George's Market Composting Pilot
- Grenada Heart Foundation
- Grenada National Council of the Disabled
- Grenada National Patient Kidney Foundation
- GRENCODA Student Assistance Programme
- Marilyn Hurley Fund for the Lupus Foundation of Grenada
- Missionaries of Charity
- Pink Ribbon Society of Grenada
- Rotary Club of Grenada
- Sickle Cell Association of Grenada
- St. Vincent de Paul Society
- T.A. Marryshow Community College
- Telescope Primary School
- UWI Scholarship and Bursary Programme

FINANCIALS

expanding horizons



Across every market we serve, technology is breaking barriers and bringing opportunity closer. Through one connected digital network, Republic Bank is uniting businesses across our regions—linking clients, markets, and ideas like never before. From the Caribbean to Ghana, our Group's integrated platforms are empowering corporate and commercial clients to grow globally, collaborate seamlessly, and thrive together in a truly borderless future.

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Management's Responsibility for Financial Reporting

The Directors of Republic Bank (Grenada) Limited are responsible for the preparation and fair presentation of the financial statements and other financial information contained in this Annual Report. The accompanying financial statements have been prepared in conformity with International Financial Reporting Standards. Where amounts are based on estimates and judgments, these represent the best estimate and judgment of the Directors.

General responsibilities include:

- establishing and maintaining effective internal controls and procedures for financial reporting;
- safeguarding of assets; and
- prevention and detection of fraud and other irregularities.

The financial information appearing throughout this Annual Report is consistent with that in the financial statements. Directors have a responsibility for ensuring that the Bank keeps accounting records which disclose with reasonable accuracy the financial position of the Bank.

The Directors have always recognised the importance of the Bank maintaining and reinforcing the highest possible standards of conduct in all of its actions, including the preparation and dissemination of statements presenting fairly the financial condition of the Bank. In this regard, the Directors have developed and maintained a system of accounting and reporting which provides the necessary internal controls to ensure that transactions are properly authorised and recorded, assets are safeguarded against unauthorised use or disposition and liabilities are recognised. The system is augmented by written policies and procedures, the careful selection and training of qualified staff, the establishment of an organisational structure that provides an appropriate and well-defined division of responsibility, and the communication of policies and guidelines of business conduct throughout the Bank.

The system of internal control is further supported by a professional staff of internal auditors from our parent company who conduct periodic audits of all aspects of the Bank's operations. External auditors have full and free access to, and meet periodically with the Audit Committee to discuss their audit and findings as to the integrity of the Bank's accounting and financial reporting and the adequacy of the system of internal controls.

Signed on behalf of the Board

KAREN T. YIP CHUCK
CHAIRPERSON

September 30, 2025

Shape the future with confidence

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Republic Bank (Grenada) Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Republic Bank (Grenada) Limited ("the Bank"), which comprise the statement of financial position as at 30 September 2025, and the statement of income, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information. In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Bank as at 30 September 2025 and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Bank in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information included in The Bank's 2025 Annual Report

Other information consists of the information included in The Bank's 2025 Annual Report other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Bank's 2025 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Republic Bank (Grenada) Limited

Report on the Audit of the Financial Statements (continued)

Responsibilities of Management and the Audit Committee for the Financial Statements
Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

The Audit Committee is responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Republic Bank (Grenada) Limited

Report on the Audit of the Financial Statements (continued)

Auditor's Responsibilities for the Audit of the Financial Statements (continued)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Ernst & Young.

CHARTERED ACCOUNTANTS
St. Lucia
17 November 2025

Statement of Financial Position

As at September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

	Notes	2025	2024
ASSETS			
Cash on hand		**31,019**	34,805
Statutory deposits with Central Bank		**109,840**	107,711
Due from banks		**175,830**	104,392
Due from related banks	19	**140,256**	251,716
Treasury Bills		**144,004**	114,929
Advances	4 (a)	**1,181,369**	1,110,028
Investment securities	5	**484,058**	374,189
Investment interest receivable		**5,200**	3,574
Other assets	11	**7,750**	11,643
Premises and equipment	6	**45,039**	44,909
Right-of-use assets	7 (a)	**929**	1,194
Intangible assets	8	**55,889**	56,505
Deferred tax assets	10 (a)	**3,656**	2,938
Taxation recoverable		**398**	–
TOTAL ASSETS		**2,385,237**	**2,218,533**
LIABILITIES AND EQUITY			
LIABILITIES			
Due to banks		**4,732**	5,580
Due to related banks	19	**6,990**	7,494
Due to related companies	19	**269,732**	168,390
Customers' current, savings and deposit accounts	12	**1,822,301**	1,758,218
Lease liabilities	7 (b)	**958**	1,218
Employee defined benefit liabilities	9 (a)	**6,205**	5,213
Taxation payable		**–**	4,538
Accrued interest payable		**340**	353
Deferred tax liabilities	10 (b)	**855**	873
Other liabilities	13	**12,934**	14,169
TOTAL LIABILITIES		**2,125,047**	**1,966,046**
Stated capital	14	**117,337**	117,337
Statutory reserve	2.5 (q)	**37,187**	34,089
General contingency reserve	2.5 (x)	**25,271**	29,028
Retained earnings		**80,395**	72,033
TOTAL EQUITY		**260,190**	**252,487**
TOTAL LIABILITIES AND EQUITY		**2,385,237**	**2,218,533**

The accompanying notes form an integral part of these financial statements.

These financial statements were approved by the Board of Directors on October 29, 2025, and signed on its behalf by:

KAREN T YIP CHUCK
CHAIRPERSON

NAOMI E DE ALLIE
MANAGING DIRECTOR

Statement of Income

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

	Notes	2025	2024
Interest income	15 (a)	**98,876**	91,195
Interest expense	15 (b)	**(21,015)**	(20,452)
Net interest income		**77,861**	70,743
Other income	15 (c)	**33,733**	28,311
		111,594	99,054
Operating expenses	15 (d)	**(64,967)**	(69,615)
Operating profit		**46,627**	29,439
Credit loss (expense)/recovery on financial assets	16	**(26,175)**	3,082
Net profit before taxation		**20,452**	32,521
Taxation expense	17	**(4,960)**	(8,887)
Net profit after taxation		**15,492**	23,634
Earnings per share (expressed in $ per share)			
Basic		**$4.10**	$6.26
Weighted average number of shares ('000)			
Basic	14	**3,774**	3,774

The accompanying notes form an integral part of these financial statements.

Statement of Comprehensive Income

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

	Notes	2025	2024
Net profit after taxation		**15,492**	23,634
Other comprehensive (loss)/income:			
Items of comprehensive loss that will not be reclassified to the income statement in subsequent periods:			
Net remeasurement (losses)/gains on defined benefit plan	9 (h)	**(347)**	3,772
Income tax related to the above	10 (a) and (b)	**97**	(1,056)
		(250)	2,716
Net remeasurement (losses)/gains on post-retirement medical and group life plans	9 (h)	**(248)**	954
Income tax related to the above	10 (a)	**69**	(267)
		(179)	687
Total items that will not be reclassified to the Income statement in subsequent periods		**(429)**	3,403
Other comprehensive (loss)/income for the year, net of tax		**(429)**	3,403
Total comprehensive income for the year, net of tax		**15,063**	**27,037**

The accompanying notes form an integral part of these financial statements.

Statement of Changes in Equity

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

	Stated capital	Statutory reserve	General contingency reserve	Retained earnings	**Total equity**
Balance as at September 30, 2023	**117,337**	**29,362**	**16,639**	**71,547**	**234,885**
Total comprehensive income for the year	–	–	–	27,037	**27,037**
Transfer to statutory reserve – Note 2.5 (q)	–	4,727	–	(4,727)	**–**
Transfer to general contingency reserve – Note 2.5 (x)	–	–	12,389	(12,389)	**–**
Dividends paid – Note 23	–	–	–	(9,435)	**(9,435)**
Balance as at September 30, 2024	**117,337**	**34,089**	**29,028**	**72,033**	**252,487**
Balance as at September 30, 2024	117,337	34,089	29,028	72,033	**252,487**
Total comprehensive income for the year	–	–	–	15,063	**15,063**
Transfer to statutory reserve – Note 2.5 (q)	–	3,098	–	(3,098)	**–**
Transfer from general contingency reserve – Note 2.5 (x)	–	–	(3,757)	3,757	**–**
Dividends paid – Note 23	–	–	–	(7,360)	**(7,360)**
Balance as at September 30, 2025	**117,337**	**37,187**	**25,271**	**80,395**	**260,190**

The accompanying notes form an integral part of these financial statements.

Statement of Cash Flows

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

	Notes	2025	2024
Operating activities			
Profit before taxation		**20,452**	32,521
Adjustments for:			
Depreciation of premises and equipment and right-of-use assets	15 (d)	**3,718**	3,630
Credit loss expense/(recovery) on financial assets	16	**27,621**	(2,910)
Realised gain on investment securities	16	**(1,446)**	(172)
Amortisation of intangibles	8 (b)	**616**	1,112
Gain on sale of premises and equipment	15 (c)	**(70)**	(126)
Work-in-progress written off	6	**210**	321
Amortisation of (discount)/premium on investment securities		**(3,058)**	2,276
Increase in employee defined benefit liabilities		**992**	267
Increase in advances		**(98,962)**	(84,148)
Increase in customers' current, savings and deposit accounts		**64,083**	72,224
Increase in statutory deposits with Central Bank		**(2,129)**	(5,405)
Decrease in other assets and investment interest receivable		**2,267**	9,460
Decrease in other liabilities and accrued interest payable		**(1,247)**	(4,870)
Taxes paid, net of refund		**(10,468)**	(3,694)
Cash provided by operating activities		**2,579**	20,486
Investing activities			
Purchase of investment securities		**(276,510)**	(203,445)
Purchase of Treasury Bills		**(36,935)**	(37,255)
Redemption of investment securities		**171,144**	160,197
Redemption of Treasury Bills		**36,776**	37,287
Additions to premises and equipment	6	**(3,457)**	(8,003)
Proceeds from sale of premises and equipment		**143**	20
Cash used in investing activities		**(108,839)**	(51,199)
Financing activities			
Increase in balances due to banks		**(848)**	(12,009)
(Decrease)/increase in balances due to related banks		**(504)**	4,230
Increase in balances due to related companies		**101,342**	69,903
Repayment of lease liabilities net of interest	7	**(695)**	(933)
Dividends paid	23	**(7,360)**	(9,435)
Cash provided by financing activities		**91,935**	51,756
Net (decrease)/increase in cash and cash equivalents		**(14,325)**	21,043
Cash and cash equivalents at beginning of year		**469,065**	448,022
Cash and cash equivalents at end of year		**454,740**	469,065

The accompanying notes form an integral part of these financial statements.

Statement of Cash Flows

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

	Notes	2025	2024
Cash and cash equivalents at end of year are represented by:			
Cash on hand		**31,019**	34,805
Statutory deposits with Central Bank – above statutory limit		**150,084**	66,693
Due from banks		**25,746**	37,699
Due from related banks		**140,256**	251,716
Treasury Bills – original maturity of three months or less		**107,635**	78,152
		454,740	469,065
Supplemental information			
Interest received during the year		**98,558**	90,335
Interest paid during the year		**21,033**	20,612
Dividends received	15 (c)	**14**	20

The accompanying notes form an integral part of these financial statements.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

1 Corporate information

Republic Bank (Grenada) Limited (the 'Bank') is incorporated in Grenada and provides banking services through five branches in Grenada and Carriacou. The Bank was continued under the provision of the Companies Ordinance Section 365, 1995 on March 23, 1998 and its registered office is located at Republic House, Grand Anse, St. George, Grenada. The Bank is a subsidiary of Republic Financial Holdings Limited of Trinidad and Tobago formerly Republic Bank Limited.

Republic Financial Holdings Limited the financial holding company for the Republic Group is incorporated in the Republic of Trinidad and Tobago and its registered office is located at Republic House, 9-17 Park Street, Port of Spain. Republic Financial Holdings Limited is listed on the Trinidad and Tobago Stock Exchange.

The Republic Group (the 'Group') is a financial services group comprising several subsidiaries and associated companies. The Group is engaged in a wide range of banking, financial and related activities mainly in the Caribbean Community (CARICOM) region, Cayman Islands, Ghana, St. Maarten, Anguilla and the British Virgin Islands.

2 Material accounting policies

These Financial statements provide information on the accounting estimates and judgements made by the Bank. These estimates and judgements are reviewed on an ongoing basis. Given the continued impact of global economic uncertainty exacerbated by high inflation and rising interest rates, the Bank has maintained its estimation uncertainty in the preparation of these financial statements. The estimation uncertainty is associated with the extent and duration of the expected economic downturn in the economy. This includes forecasts for economic growth, unemployment, interest rates and inflation.

The Bank has formed estimates based on information that was available on September 30, 2025, which was deemed to be reasonable in forming these estimates. The actual economic conditions may be different from the estimates used and this may result in differences between the accounting estimates applied and the actual results of the Bank for future periods.

The principal accounting policies applied in the preparation of these Financial statements are set out below.

2.1 Basis of preparation

The Bank has prepared its Financial statements on the basis that it will continue to operate as a going concern. The Financial statements of the Bank are prepared in accordance with International Financial Reporting Standards (IFRS) Accounting Standards and are stated in Eastern Caribbean dollars. These Financial statements have been prepared on a historical cost basis except for employee benefits measured at Fair value of plan assets less the present value of defined benefit obligations and financial instruments measured at Fair Value through Profit or Loss (FVPL). The preparation of Financial statements in conformity with IFRS Accounting Standards requires management to make estimates and assumptions. Actual results could differ from those estimates. Significant accounting judgements and estimates in applying the Bank's accounting policies have been described in Note 3.

2.2 Changes in accounting policies

The accounting policies adopted in the preparation of the Financial statements are consistent with those followed in the preparation of the Bank's annual Financial statements for the year ended September 30, 2024, except for the adoption of new standards and interpretations below.

Several amendments and interpretations apply for the first time in 2025. These are also described in more detail below. The Bank has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.2 Changes in accounting policies *(continued)*

International Accounting Standards (IAS) 1 Presentation of Financial Statements and IFRS Practice Statement 2 – Amendments to IAS 1 – Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants (effective January 1, 2024)

The IASB issued amendments to paragraphs 69 to 76 of IAS 1 Presentation of Financial statements to specify the requirements for classifying liabilities as current or non-current.

The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument, would the terms of a liability not impact its classification
- Disclosures

These amendments had no impact on the Financial statements of the Bank.

IFRS 16 Leases – Amendments to IFRS 16 Lease Liability in a Sale and Leaseback (effective January 1, 2024)

The amendment specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.

After the commencement date in a sale and leaseback transaction, the seller-lessee applies paragraphs 29 to 35 of IFRS 16 to the right-of-use asset arising from the leaseback and paragraphs 36 to 46 of IFRS 16 to the lease liability arising from the leaseback. In applying paragraphs 36 to 46, the seller-lessee determines 'lease payments' or 'revised lease payments' in such a way that the seller-lessee would not recognise any amount of the gain or loss that relates to the right of use retained by the seller-lessee. Applying these requirements does not prevent the seller-lessee from recognising, in the consolidated Statement of income, any gain or loss relating to the partial or full termination of a lease, as required by IFRS 16.

The amendment does not prescribe specific measurement requirements for lease liabilities arising from a leaseback. The initial measurement of the lease liability arising from a leaseback may result in a seller-lessee determining 'lease payments' that are different from the general definition of lease payments in Appendix A of IFRS 16. The seller-lessee will need to develop and apply an accounting policy that results in information that is relevant and reliable in accordance with IAS 8.

A seller-lessee applies the amendment to annual reporting periods beginning on or after January 1, 2024. Earlier application is permitted and that fact must be disclosed.

A seller-lessee applies the amendment retrospectively in accordance with IAS 8 to sale and leaseback transactions entered into after the date of initial application (i.e., the amendment does not apply to sale and leaseback transactions entered into prior to the date of initial application). The date of initial application is the beginning of the annual reporting period in which an entity first applied IFRS 16.

These amendments had no impact on the Financial statements of the Bank.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.2 Changes in accounting policies *(continued)*

IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures – Amendments to IAS 7 and IFRS 7 Supplier Finance Arrangement (effective January 1, 2024)

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of Financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Characteristics

The amendments clarify the characteristics of supplier finance arrangements. In these arrangements, one or more finance providers pay amounts an entity owes to its suppliers. The entity agrees to settle those amounts with the finance providers according to the terms and conditions of the arrangements, either at the same date or at a later date than that on which the finance providers pay the entity's suppliers.

Disclosure requirements

The amendments require an entity to provide information about the impact of supplier finance arrangements on liabilities and cash flows, including terms and conditions of those arrangements, quantitative information on liabilities related to those arrangements as at the beginning and end of the reporting period and the type and effect of non-cash changes in the carrying amounts of those arrangements. The information on those arrangements is required to be aggregated unless the individual arrangements have dissimilar or unique terms and conditions. In the context of quantitative liquidity risk disclosures required by IFRS 7, supplier finance arrangements are included as an example of other factors that might be relevant to disclose.

These amendments had no impact on the Financial statements of the Bank.

2.3 Standards in issue not yet effective

The following is a list of standards and interpretations that are not yet effective up to the date of issuance of the Bank's Financial statements. These standards and interpretations will be applicable to the Bank at a future date and will be adopted when they become effective. The Bank is currently assessing the impact of adopting these standards and interpretations

IAS 21 The Effects of Changes in Foreign Exchange Rates – Amendments to IAS 21 Lack of Exchangeability (effective January 1, 2025)

The amendment to IAS 21 specifies how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

A currency is considered to be exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

If a currency is not exchangeable into another currency, an entity is required to estimate the spot exchange rate at the measurement date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions. The amendments note that an entity can use an observable exchange rate without adjustment or another estimation technique.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.3 Standards in issue not yet effective *(continued)*

IAS 21 The Effects of Changes in Foreign Exchange Rates – Amendments to IAS 21 Lack of Exchangeability (effective January 1, 2025) *(continued)*

When an entity estimates a spot exchange rate because a currency is not exchangeable into another currency, it discloses information that enables users of its Financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, Financial position and Cash flows.

IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures – Amendments to IFRS 9 and IFRS 7 Classification and Measurement of Financial Instruments (effective January 1, 2026)

The amendments:

- Clarify that a financial liability is derecognised on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. It also introduces an accounting policy option to derecognise financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met
- Clarify how to assess the contractual cash flow characteristics of financial assets that include Environmental, Social and Governance (ESG)-linked features and other similar contingent features
- Clarify the treatment of non-recourse assets and contractually linked instruments
- Require additional disclosures in IFRS 7 for financial assets and liabilities with contractual terms that reference a contingent event (including those that are ESG-linked), and equity instruments classified at Fair Value through Other Comprehensive Income (FVOCI)

The new requirements will be applied retrospectively with an adjustment to opening retained earnings. Prior periods are not required to be restated and can only be restated without using hindsight. An entity is required to disclose information about financial assets that change their measurement category due to the amendments.

Amendments to IFRS 9 and IFRS 7 – Contracts Referencing Nature-dependent Electricity (effective January 1, 2026)

The amendments:

- Update the 'own-use' requirements for in-scope contracts. Under the amendments, the sale of unused nature-dependent electricity will be in accordance with an entity's expected purchase or usage requirements, if specified criteria are met.
- Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts. The amendments will allow an entity to designate a variable nominal volume of forecast electricity transactions as a hedged item, if specified criteria are met.
- Add new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows. IFRS 7 has been amended to require specific disclosures relating to contracts that have been excluded from the scope of IFRS 9 as a result of the amendments.

The amendments only apply to contracts that reference nature-dependent electricity. These are contracts that expose an entity to variability in an underlying amount of electricity because the source of electricity generation depends on uncontrollable natural conditions, typically associated with renewable electricity sources such as sun and wind.

The amendments relating to the own-use exception must be applied retrospectively. An entity is not required to restate prior periods, and it is only permitted to do so if this can be done without using hindsight.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.3 Standards in issue not yet effective *(continued)*

Amendments to IFRS 9 and IFRS 7 – Contracts Referencing Nature-dependent Electricity (effective January 1, 2026) (continued)

The hedge accounting amendments must be applied prospectively to new hedging relationships designated on or after the date of initial application.

The IFRS 7 disclosure amendments must be applied when the IFRS 9 amendments are applied. If an entity does not restate comparative information, then the entity must not present comparative disclosures.

IFRS 18 Presentation and Disclosure in Financial Statements (effective January 1, 2027)

IFRS 18 introduces new categories and subtotals in the Statement of income. It also requires disclosure of management-defined performance measures (as defined) and includes new requirements for the location, aggregation and disaggregation of financial information.

Statement of income

An entity will be required to classify all income and expenses within its Statement of income into one of five categories: operating; investing; financing; income taxes; and discontinued operations. In addition, IFRS 18 requires an entity to present subtotals and totals for 'operating profit or loss', 'profit or loss before financing and income taxes' and 'profit or loss'.

Main business activities

For the purposes of classifying its income and expenses into the categories required by IFRS 18, an entity will need to assess whether it has a 'main business activity' of investing in assets or providing financing to customers, as specific classification requirements will apply to such entities. Determining whether an entity has such a specified main business activity is a matter of fact and circumstances which requires judgement. An entity may have more than one main business activity.

Management-defined performance measures

IFRS 18 introduces the concept of a Management-defined Performance Measure (MPM) which it defines as a subtotal of income and expenses that an entity uses in public communications outside Financial statements, to communicate management's view of an aspect of the financial performance of the entity as a whole to users. IFRS 18 requires disclosure of information about all of an entity's MPMs within a single note to the Financial statements and requires several disclosures to be made about each MPM, including how the measure is calculated and a reconciliation to the most comparable subtotal specified by IFRS 18 or another IFRS Accounting Standards.

Location of information, aggregation and disaggregation

IFRS 18 differentiates between 'presenting' information in the primary Financial statements and 'disclosing' it in the notes, and introduces a principle for determining the location of information based on identified 'roles' of the primary Financial statements and the notes. IFRS 18 requires aggregation and disaggregation of information to be performed with reference to similar and dissimilar characteristics. Guidance is also provided for determining meaningful descriptions, or labels, for items that are aggregated in the Financial statements.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.3 Standards in issue not yet effective *(continued)*

IFRS 18 Presentation and Disclosure in Financial Statements (effective January 1, 2027) *(continued)*

Consequential amendments to other accounting standards

Narrow-scope amendments have been made to IAS 7 Statement of cash flows, which include changing the starting point for determining cash flows from operations under the indirect method from 'profit or loss' to 'operating profit or loss'. The optionality around classification of cash flows from dividends and interest in the Statement of cash flows has also largely been removed.

IAS 33 Earnings per Share is amended to include additional requirements that permit entities to disclose additional amounts per share, only if the numerator used in the calculation meets specified criteria. The numerator must be:

- An amount attributable to ordinary equity holders of the Parent entity; and
- A total or subtotal identified by IFRS 18 or an MPM as defined by IFRS 18.

Some requirements previously included within IAS 1 Presentation of Financial statements have been moved to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, which has been renamed IAS 8 Basis of Preparation of Financial statements. IAS 34 Interim Financial Reporting has been amended to require disclosure of MPMs.

IFRS 19 Subsidiaries without Public Accountability: Disclosures (effective January 1, 2027)

IFRS 19 Subsidiaries without Public Accountability: Disclosures, allows eligible entities to elect to apply reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS Accounting Standards. Unless otherwise specified, eligible entities that elect to apply IFRS 19 will not need to apply the disclosure requirements in other IFRS Accounting Standards.

An entity applying IFRS 19 is required to disclose that fact as part of its general IFRS Accounting Standards compliance statement. IFRS 19 requires an entity whose Financial statements comply with IFRS Accounting Standards including IFRS 19 to make an explicit and unreserved statement of such compliance.

Eligible entities

An entity may elect to apply IFRS 19 if at the end of the reporting period:

- It is a subsidiary as defined in IFRS 10 Consolidated financial statements;
- It does not have public accountability; and
- It has a parent (either ultimate or intermediate) that prepares Consolidated financial statements, available for public use, which comply with IFRS Accounting Standards.

Public accountability

An entity has public accountability if:

- Its debt or equity instruments are traded in a public market, or it is in the process of issuing such instruments for trading in a public market; or
- It holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary businesses (i.e., not for reasons incidental to its primary business).

Disclosure requirements and references to other IFRS Accounting Standards

The disclosure requirements in IFRS 19 are organised into subheadings per IFRS Accounting Standards and where disclosure requirements in other IFRS Accounting Standards remain applicable, these are specified under the subheading of each IFRS Accounting Standards.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.3 Standards in issue not yet effective *(continued)*

IFRS 19 Subsidiaries without Public Accountability: Disclosures (effective January 1, 2027) *(continued)*

IFRS 19 disclosures exclude IFRS 8 Operating Segments, IFRS 17 Insurance Contracts and IAS 33 Earnings per Share. Therefore, if an entity that applies IFRS 19 is required to apply IFRS 17 or elects to apply IFRS 8 and/or IAS 33, that entity would be required to apply all the relevant disclosure requirements in those standards.

Expected 'catch-up' amendments

In developing the disclosure requirements in IFRS 19, the Board considered the disclosure requirements in other IFRS Accounting Standards as at February 28, 2021. Disclosure requirements in IFRS Accounting Standards that have been added or amended subsequent to this date have been included in IFRS 19 unchanged. Consequently, the Board indicated it will publish an exposure draft setting out whether and how to reduce the disclosure requirements of any amendments and additions made to other IFRS Accounting Standards post February 28, 2021, for the purpose of updating IFRS 19.

2.4 Improvements to IFRS Accounting Standards

The annual improvements process of the International Accounting Standards Board deals with non-urgent but necessary clarifications and amendments to IFRS Accounting Standards. The following amendments are applicable to annual periods beginning on or after January 1, 2026.

IFRS	Subject of Amendment
IFRS 1	First-time Adoption of IRFS Accounting Standards – Hedge accounting by a first-time adopter
IFRS 7	Financial Instruments: Disclosures – Gain or loss on derecognition
IFRS 7	Financial Instruments: Disclosures – Disclosure of deferred difference between fair value and transaction price
IFRS 7	Financial Instruments: Disclosures – Introduction and credit risk disclosures
IFRS 9	Financial Instruments – Lessee derecognition of lease liabilities
IFRS 9	Financial Instruments – Transaction price
IFRS 10	Consolidated financial statements – Determination of a 'de facto agent'
IAS 7	Statement of cash flows – Cost method

2.5 Summary of material accounting policies

a Cash and cash equivalents

For the purpose of presentation in the Statement of cash flows, cash and cash equivalents consist of highly liquid investments, including cash on hand, due from banks including related party banks, Treasury Bills and bankers' acceptances with original maturities of three months or less. Bankers' acceptances and due from banks with maturities greater than three months are classified as investments.

b Statutory deposits with Central Bank

Pursuant to the Banking Act of Grenada 2015, Republic Bank (Grenada) Limited is required to maintain specified assets as a reserve requirement for its deposit liabilities. The minimum requirement is 6 percent of the average deposit liabilities over a four-week period.

Deposits with the Central Bank represent mandatory reserve deposits and are not available for use in day-to-day operations. These amounted to $109.8 million (2024: $107.7 million).

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

c Financial instruments - initial recognition

i Date of recognition

Financial assets and liabilities, with the exception of loans and advances to customers and balances due to customers, are initially recognised on the trade date, i.e., the date that the Bank becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Bank recognises balances due to customers when funds are transferred to the Bank.

ii Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments, as described in Note 2.5 (d)(i). Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at FVPL transaction costs are added to, or subtracted from, this amount.

iii Measurement categories of financial asset and liabilities

The Bank classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms, measured at either:

- Amortised cost, as explained in Note 2.5 (d) (i)
- FVPL, as explained in Note 2.5 (d) (ii)

Financial liabilities, other than loan commitments and financial guarantees are measured at amortised cost.

d Financial assets and liabilities

i Other assets, Due from banks, Treasury Bills, Advances and Investment securities

The Bank only measures Other assets, Due from banks including related party banks, Treasury Bills, Advances to customers and Investment securities at amortised cost if both of the following conditions are met

- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding and
- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows.

The details of these conditions are outlined below:

The SPPI test

For the first step of its classification process, the Bank assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Bank applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

d Financial assets and liabilities *(continued)*

i Other assets, Due from banks, Treasury Bills, Advances and Investment securities (continued)

The SPPI test (continued)

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are Solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL or FVOCI without recycling.

Business model assessment

The Bank determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Bank's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- The expected frequency, value and timing of sales are also important aspects of the Bank's assessment

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Bank's original expectations, the Bank does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

ii Financial assets at Fair value through profit or loss

Financial assets in this category are those that are designated by management upon initial recognition or are mandatorily required to be measured at fair value under IFRS 9. Management may designate an instrument at FVPL upon initial recognition.

The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets or recognising gains or losses on them on a different basis.

Financial assets at FVPL are recorded in the statement of financial position at fair value. Interest earned or incurred on instruments designated at FVPL is accrued in interest income, using the Effective Interest Rate (EIR), taking into account any discount/ premium and qualifying transaction costs being an integral part of instrument. Dividend income from equity instruments measured at FVPL is recorded in profit or loss as other income when the right to the payment has been established.

iii Undrawn loan commitments

Undrawn loan commitments and letters of credit are commitments under which, over the duration of the commitment, the Bank is required to provide a loan with pre-specified terms to the customer. These contracts are in the scope of the Expected Credit Loss (ECL) requirements but no ECL was applied as the risk of default is very low.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

e Reclassification of financial assets and liabilities

The Bank does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Bank acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified.

f Derecognition of financial assets and liabilities

Derecognition due to substantial modification of terms and conditions

The Bank derecognises a financial asset, such as a loan to a customer, to facilitate changes to the original loan agreement or arrangement due to weaknesses in the borrower's financial position and/or non-repayment of the debt as arranged and terms and conditions have been restructured to the extent that, substantially, it becomes a new loan, with the difference recognised as an impairment loss. The newly recognised loans are classified as Stage 2 for ECL measurement purposes.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Bank considers the following factors:

- Change in currency of the loan
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original rate, the Bank records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Bank also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Bank has transferred the financial asset if, and only if, either:

- The Bank has transferred its contractual rights to receive cash flows from the financial asset, or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement.

Pass-through arrangements are transactions whereby the Bank retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Bank has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates
- The Bank cannot sell or pledge the original asset other than as security to the eventual recipients
- The Bank has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Bank is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

f Derecognition of financial assets and liabilities *(continued)*

Financial assets (continued)

A transfer only qualifies for derecognition if either:

- The Bank has transferred substantially all the risks and rewards of the asset, or
- The Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Bank considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Bank has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Bank's continuing involvement, in which case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Bank could be required to pay.

Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in Statement of income.

g Impairment of financial assets

i Overview of the ECL principles

The Bank records an allowance for ECL for all loans and other debt financial assets not held at FVPL, together with loan commitments and financial guarantee contracts, in this section all referred to as 'financial instruments'. Equity instruments are not subject to impairment under IFRS 9.

The Bank uses the general probability of default approach when calculating ECLs. The ECL allowance is based on the credit losses expected to arise over the life of the asset (the Lifetime Expected Credit Loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' Expected credit loss (12mECL) as outlined in Note 2.5 (g) (ii). The Bank's policies for determining if there has been a significant increase in credit risk are set out in Note 18.2.

The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or a collective basis, depending on the size and nature of the underlying portfolio of financial instruments. The Bank's policy for grouping financial assets measured on a collective basis is explained in Note 18.2.6.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

g Impairment of financial assets *(continued)*

i Overview of the ECL principles (continued)

Where the financial assets meets the definition of Purchased or Originated Credit Impaired (POCI), the allowance is based on the change in the ECLs over the life of the asset.

The Bank has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Bank classifies its loans and investments into Stage 1, Stage 2 and Stage 3 and POCI as described below:

Stage 1

When financial assets are first recognised and continue to perform in accordance with the contractual terms and conditions after initial recognition, the Bank recognises an allowance based on 12mECLs. Stage 1 financial assets also include facilities where the credit risk has improved and the financial asset has been reclassified from Stage 2.

Stage 2

When financial assets have shown a significant increase in credit risk since origination, the Bank records an allowance for the LTECLs. Stage 2 financial assets also include facilities, where the credit risk has improved and the financial assets has been reclassified from Stage 3.

Stage 3

Financial assets considered credit-impaired (as outlined in Note 18.2). The Bank records an allowance for the LTECLs.

POCI

POCI assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the ECLs.

For financial assets for which the Bank has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a partial derecognition of the financial asset.

ii The calculation of ECLs

The Bank calculates ECLs based on the historical measure of cash shortfalls, discounted at the instrument's coupon rate. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

g Impairment of financial assets *(continued)*

ii The calculation of ECLs (continued)

The mechanics of the ECL calculations are outlined below and the key elements are as follows:

PD The Probability of Default is an estimate of the likelihood of default over a given period of time. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio. The concept of PDs is further explained in Note 18.2.4.

EAD The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments

LGD The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

When estimating the ECLs, the Bank considers among other factors the risk rating category and aging of the financial asset. Each of these is associated with different PDs, EADs and LGDs. When relevant, it also incorporates how defaulted loans and investments are expected to be recovered, including the value of collateral or the amount that might be received for selling the asset.

With the exception of credit cards and other revolving facilities, for which the treatment is separately set out, the maximum period for which the credit losses are determined is the contractual life of a financial instrument.

Impairment losses and recoveries are accounted for and disclosed separately.

The mechanics of the ECL method are summarised below:

Stage 1

The 12mECL is calculated as the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Bank calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD which are derived as explained under Stage 3 for loans and using Global Credit Loss tables for traded investments and modified with management overlays when not traded.

Stage 2

When a financial asset has shown a significant increase in credit risk since origination, the Bank records an allowance for the LTECLs. The mechanics are similar to those explained above, but PDs and LGDs are estimated over the lifetime of the instrument. The LGDs are derived as explained under Stage 3 for loans and using Global Credit Loss tables for traded investments and modified with management overlays when not traded.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

g Impairment of financial assets *(continued)*

ii The calculation of ECLs (continued)

Stage 3

For financial assets considered credit-impaired (as defined in Note 18.2), the Bank recognises the LTECLs for these loans and investments. The method is similar to that for Stage 2 assets, with the PD set at 100 percent.

POCI

POCI assets are financial assets that are credit impaired on initial recognition. The Bank only recognises the cumulative changes in LTECLs since initial recognition, based on a probability-weighting of the four scenarios, discounted by the credit adjusted EIR.

In most instances, LGDs are determined on an individual loan or investment basis, including discounting the expected cash flows at the original EIR. Stage 3 LGDs are grouped by similar types to provide percentage averages to be applied for Stage 1 and Stage 2 loans.

iii Credit cards, overdrafts and other revolving facilities

The Bank's product offering includes a variety of corporate and retail overdraft and credit card facilities, in which the Bank has the right to cancel and/or reduce the facilities. The Bank limits its exposure on these revolving facilities to the outstanding balance for non-performing facilities. For Stage 1 and Stage 2 facilities, the Bank calculates ECL on a percentage utilisation of the credit card and overdraft limit based on the Bank's expectations of the customer behaviour, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities.

The ongoing assessment of whether a significant increase in credit risk has occurred for revolving facilities is similar to other lending products. This is based on shifts in the customer's internal credit grade, as explained in Note 18.2.4, but emphasis is also given to qualitative factors such as changes in usage and repayment patterns.

The interest rate used to discount the ECLs for credit cards is based on the interest rate that is expected to be charged over the expected period of exposure to the facilities. This estimation takes into account that many facilities are repaid in full each month and are consequently charged no interest.

iv Treasury Bills, Statutory deposit with Central Bank and Due from banks including related banks

Treasury Bills, Statutory deposits with Central Bank and Due from banks including related banks are short term funds placed with Central Bank in the country where the Bank is engaged in the full range of banking and financial activities and correspondent banks.

v Financial guarantees, letters of credit and undrawn loan commitments

The Bank issues financial guarantees, letters of credit and loan commitments.

Financial guarantees, letters of credit and loan commitments are off-balance sheet instruments and have no history of default.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

g Impairment of financial assets *(continued)*

vi Forward looking information

The Bank integrates Forward-Looking Indicators (FLIs) and macroeconomic factors into its ECL calculations to estimate potential future credit risks. Key FLIs include interest rates, inflation trends, unemployment rates, and industry-specific forecasts, which help assess the probability of default for financial assets. Broader macroeconomic factors such as Gross Domestic Product (GDP) growth, current account balance, fiscal deficit, foreign exchange reserves and climate change are also considered. The Bank uses scenario analysis and probability-weighted outcomes, best to worst case, to model different economic conditions, ensuring more accurate and robust ECL estimates.

h Collateral valuation

To mitigate its credit risks on financial assets, the Bank seeks to use collateral, where possible. The collateral comes in various forms, such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories and other non-financial assets. Collateral, unless repossessed, is not recorded on the Bank's Statement of financial position. However, the fair value of collateral affects the calculation of ECLs. It is generally assessed at inception and re-assessed on a periodic basis.

To the extent possible, the Bank uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on independent valuations and other data provided by third parties.

i Collateral repossessed

In its normal course of business, should the Bank repossess properties or other assets in its retail portfolio, it sometimes engages external agents to assist in the sale of these assets to settle outstanding debt. Any surplus funds are returned to the customers/obligors. As a result of this practice, the residential properties under legal repossession processes are not recorded on the Statement of financial position.

j Write-offs

The Bank's accounting policy is for financial assets to be written off either partially or in their entirety only when the Bank has stopped pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to other income.

k Leases

The Bank assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Bank as a lessee

The Bank applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Bank recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

k Leases *(continued)*

Right-of-use assets

Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the lease term.

Lease liabilities

At the commencement date of the lease, the entity recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any lease incentives receivable), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the entity and payments of penalties for terminating the lease, if the lease term reflects exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Bank uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term or a change in the lease payments (e.g., changes to future payments resulting from a change in rate used to determine such lease payments).

The Bank applies the short-term lease recognition exemption to its short-term leases of property etc. (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of IT equipment that are considered to be low-value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

l Premises and equipment

Premises and equipment are stated at cost less accumulated depreciation.

Subsequent costs are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Bank and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Statement of income during the financial period in which they are incurred.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each Statement of financial position date. Gains and losses on disposals are determined by comparing proceeds with the carrying amount. These are included in the Statement of income.

Leasehold improvements and leased equipment are depreciated on a straight-line basis over the period of the lease. Depreciation other than on leasehold improvements and leased equipment is computed on a straight line basis at rates expected to apportion the cost of the assets over their estimated useful lives.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

l Premises and equipment *(continued)*

The depreciation rates used are as follows:

Freehold premises	1.3% – 2.0%
Vehicles and equipment	12.5% – 25.0%
(computers, software, servers, other hardware, etc.)	
Furniture and fittings	1.7% – 10.0%

m Impairment of non-financial assets

Further disclosures relating to impairment of non-financial assets are also provided in the following notes:

- Disclosures for significant assumptions (Note 3)
- Premises and equipment (Note 6)
- Intangible assets (Note 8)

The Bank assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Bank estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash-Generating Unit's (CGU) fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows available to shareholders are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Bank estimates the asset's or CGU's recoverable amount.

n Business combinations and goodwill

The Bank uses the purchase method of accounting to account for acquisitions. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Bank elects to measure the non-controlling interests in the acquiree at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, any previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognised in the Statement of income.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

n Business combinations and goodwill *(continued)*

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Bank re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in the Statement of income.

As at acquisition date, any goodwill acquired is allocated to each of the CGU expected to benefit from the combination's synergies. After initial recognition, goodwill is measured at cost less any accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired.

Impairment is determined by assessing the recoverable amount of the cash-generating unit, to which goodwill relates. Where the recoverable amount of the cash-generating unit is less than the carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

o Employee benefits/obligations

i Pension assets

The Bank operates a defined benefit plan, the assets of which are held in separate trustee-administered funds. The pension plan is generally funded by payments from the Bank, taking account of the recommendations of independent qualified actuaries who carry out the full valuation of the Plan every three years. Annually, the Bank's independent actuaries conduct a valuation exercise to measure the effect of the employee benefit plan. For defined benefits plans, the pension accounting costs are assessed using the projected unit credit method.

Remeasurements, comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognised immediately in the Statement of financial position with a corresponding debit or credit to retained earnings through Other Comprehensive Income (OCI) in the period in which they occur. Remeasurements are not reclassified to the Statement of income in subsequent periods.

Past service costs are recognised in the Statement of income on the earlier of:

a The date of the plan amendment or curtailment, and

b The date that the Bank recognises related restructuring costs

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Bank recognises the following changes in the net defined benefit obligation under 'operating expenses' in the Statement of income:

a Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements

b Net interest expense or income

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

o Employee benefits/obligations *(continued)*

i Pension assets (continued)

The defined benefit plan mainly exposes the Bank to risks such as investment risk, interest rate risk and longevity risk.

The above accounting requirement in no way affects the pension plan which continues to be governed by the approved Trust Deed and Rules and remain under the full control of the appointed Trustees.

The full results of the valuation exercise are disclosed in Note 9 to these Financial statements.

ii Other post-retirement obligations

The Bank provides post-retirement medical and group-life benefits to its retirees. The entitlement to these benefits is usually based on the employee remaining in service up to retirement age and the completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment, using a methodology similar to that for defined benefit pension plan. Independent qualified actuaries carry out a valuation of these obligations.

iii Profit sharing scheme

The Bank operates an employee profit sharing scheme, and the profit share to be distributed to employees each year is based on the terms outlined in the Union Agreement. Employees receive their profit share in cash. The Bank accounts for the profit share as an expense through the Statement of income.

p Taxation

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the Financial statements. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the Statement of financial position date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax assets are recognised where it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Income tax payable on profits, based on the applicable tax law, is recognised as an expense in the period in which profits arise. The tax effects of income tax losses available for carry forward are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

q Statutory reserve

The Banking Act of Grenada (No. 45 of 2015) requires every licensed financial institution to maintain a reserve fund and shall, out of its net profits of each year transfer to that fund a sum equal to not less than twenty per cent of profits whenever the amount of the reserve fund is less than a hundred per cent of the paid-up or, or as the case may be, assigned capital of the licensed financial institution. This reserve is not available for distribution as dividends or for any other form of appropriation. Statutory reserves amounted to $37.2 million (2024: $34.1 million) at year end.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

r Earnings per share

Data on basic earnings per share has been computed by dividing the net profit attributable to equity holders by the weighted average number of ordinary shares in issue during the year.

s Foreign currency translation

Monetary assets and liabilities denominated in foreign currencies are translated into Eastern Caribbean Dollars (the Bank's functional and reporting currency) at rates of exchange prevailing at the date of the Financial statement. Non-monetary assets and liabilities are translated at historic rates. Revenue and expenses denominated in foreign currencies are translated into Eastern Caribbean dollars at mid-exchange rates. Realised gains and losses on foreign currency positions are reported in the Statement of income.

t Intangible assets

The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

The useful lives of intangible assets are assessed as finite and are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of income in the expense category that is consistent with the function of the intangible assets.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of income when the asset is derecognised.

u Revenue recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for goods or services. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The Bank has concluded that it is the principal in all of its revenue arrangements since it is the primary obligor in all the revenue arrangements, has pricing latitude and is also exposed to credit risks.

The specific recognition criteria described below must also be met before revenue is recognised.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

u Revenue recognition *(continued)*

The EIR method

Interest income and expense is recorded using the EIR method for all financial instruments measured at amortised cost. The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Bank recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

Interest income and expense

The Bank calculates interest income and expense by applying the EIR to the gross carrying amount of financial assets and liabilities other than credit-impaired assets. For purchased or originated credit-impaired financial assets a credit-adjusted Effective interest rate is applied to the amortised cost of the financial asset.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVPL is recognised using the contractual interest rate in net trading income and net gains/(losses) on financial assets at Fair value through profit or loss, respectively.

Fee and commission income

The Bank earns fee and commission income from a diverse range of financial services it provides to its customers. Fee and commission income is recognised at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for providing the services. The performance obligations, as well as the timing of their satisfaction, are identified, and determined, at the inception of the contract.

When the Bank provides a service to its customers, consideration is invoiced and generally due immediately upon satisfaction of a service provided at a point in time or at the end of the contract period for a service provided over time. The Bank has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

Credit card fees and commissions are recognised at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for providing the services. Credit card fees and commissions are therefore net of amounts paid, the expenses for the direct cost of satisfying the performance obligation is netted against the revenues received.

Dividends

Dividend income is recognised when the right to receive the payment is established.

v Fair value

The Bank measures financial instruments at fair value at each Statement of financial position date. Fair value related disclosures for financial instruments and non-financial assets that are measured at fair value, where fair values are disclosed, are shown in Note 21 to the Financial statements.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

v Fair value *(continued)*

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

i In the principal market for the asset or liability, or

ii In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Bank uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1

Included in the Level 1 category are financial assets and liabilities that are measured in whole or in part by reference to published quotes in an active market. A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

Included in the Level 2 category are financial assets and liabilities that are measured using a valuation technique based on assumptions that are supported by prices from observable current market transactions and for which pricing is obtained via pricing services, but where prices have not been determined in an active market. This includes financial assets with fair values based on broker quotes, investments in private equity funds with fair values obtained via fund managers and assets that are valued using the Bank's own models whereby the majority of assumptions are market observable.

Level 3

Included in the Level 3 category are financial assets and liabilities that are not quoted as there are no active markets to determine a price. These financial instruments are held at cost, being the fair value of the consideration paid for the acquisition of the investment, and are regularly assessed for impairment.

For assets and liabilities that are recognised in the Financial statements on a recurring basis, the Bank determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

2 Material accounting policies *(continued)*

2.5 Summary of material accounting policies *(continued)*

v Fair value *(continued)*

Level 3 (continued)

Where the Bank's investments are not actively traded in organised financial markets, the fair value is determined using discounted cash flow analysis, which requires considerable judgement in interpreting market data and developing estimates. Accordingly, estimates contained herein are not necessarily indicative of the amounts that the Bank could realise in a current market exchange. The use of different assumptions and/or estimation methodologies may have a material effect on the estimated fair values. The fair value information for available-for-sale investments is based on information available to management as at the dates presented. Management is not aware of any factors that would significantly affect the estimated fair value amounts.

Investments classified as 'at Fair value through profit or loss' are actively traded in organised markets and fair value is determined by reference to the market price at year end or on the last trade date prior to year end.

Financial instruments where carrying value is equal to fair value:- Due to their short-term maturity, the carrying value of certain financial instruments is assumed to approximate their fair values. These include cash and cash equivalents, balances due from banks and related banks, investment interest receivable, customers' deposit accounts, other assets and other liabilities.

Advances are net of specific and other provisions for impairment. The fair values of advances is based on a current yield curve appropriate for the remaining term to maturity.

For balances due to banks, where the maturity period is less than one year, the fair value is assumed to equal carrying value. Where the maturity period is in excess of one year, these are primarily floating rate instruments, the interest rates of which reset with market rates, therefore the carrying values are assumed to equal fair values.

The fair value of fixed rate debt securities carried at amortised cost is estimated by comparing market interest rates when they were first recognised with current market rates offered for similar financial instruments. The estimated fair value of fixed interest-bearing deposits is based on discounted cash flows using prevailing money market interest rates for facilities with similar credit risk and maturity.

w Customers' liabilities under acceptances, guarantees, indemnities and letters of credit

These represent the Bank's potential liability, for which there are equal and offsetting claims against its customers in the event of a call on these commitments. These amounts are not recorded on the Bank's Statement of financial position but are detailed in Note 24 (b) of these Financial statements.

x Equity reserves

The reserves recorded in equity on the Bank's Statement of financial position include:

Stated capital – Ordinary stated capital is classified within equity and is recognised at the fair value of the consideration received by the Bank.

Statutory reserve that qualify for treatment as equity are discussed in Note 2.5 (q).

General contingency reserve – This represents the difference between regulatory provision requirements and specific provisions under IFRS Accounting Standards and is an appropriation of retained earnings.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

3 Significant accounting judgements, estimates and assumptions

The preparation of the Bank's Financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Other disclosures relating to the Bank's exposure to risks and uncertainties include:

a Risk management (Note 18)

b Capital management (Note 20)

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are described below. The Bank based its assumptions and estimates on parameters available when the Financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Bank. Such changes are reflected in the assumptions when they occur.

Impairment losses on financial assets (Notes 4 and 5)

The measurement of impairment losses under IFRS 9 across all categories of financial assets requires judgement. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The estimation of the amount and timing of future cash flows and collateral values when determining impairment losses
- The Bank's internal credit grading model, assigns PDs for corporate facilities, and this was the basis for grouping PDs
- The Bank's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment
- Development of ECL models, including the various formulae and the choice of inputs
- Determination of the existence of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs
- The inclusion of overlay adjustments based on judgement and future expectations

Other assumptions

Net pension asset/liability (Note 9)

In conducting valuation exercises to measure the effect of all employee benefit plans throughout the Bank, the Bank's independent actuaries use judgement and assumptions in determining discount rates, salary increases, National Insurance Scheme (NIS) ceiling increases, pension increases and the rate of return on the assets of the Plan.

Goodwill (Note 8)

The Bank's Financial statements include goodwill arising from acquisitions. In accordance with IFRS 3, goodwill was reviewed for impairment, as at September 30, 2025, using the 'value in use' method. This requires the use of estimates for determination of future cash flows expected to arise from each CGU and an appropriate perpetuity discount rate to calculate present value.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

3 Significant accounting judgements, estimates and assumptions *(continued)*

Other assumptions *(continued)*

Deferred taxes (Note 10)

In calculating the provision for deferred taxation, management uses judgement to determine the probability that future taxable profits will be available to facilitate utilisation of temporary tax differences which may arise.

Judgements

In the process of applying the Bank's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the Financial statements:

Premises and equipment (Note 6)

Management exercises judgement in determining whether costs incurred can accrue sufficient future economic benefits to the Bank to enable the value to be treated as a capital expense. Further judgement is used upon annual review of the residual values and useful lives of all capital items to determine any necessary adjustments to carrying value.

Leases (Note 7)

The Bank determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Bank has several lease contracts that include extension and termination options. The Bank applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Bank reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation of the leased asset).

The Bank cannot readily determine the interest rate implicit in the lease, therefore, it uses its Incremental Borrowing Rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Bank would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Bank 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Bank estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain specific adjustments (such as credit rating, or to reflect the terms and conditions of the lease).

Assessment of control

Management uses judgement in performing a control assessment review on all retirement plans sponsored by the Bank. This assessment revealed that the Bank is unable to exercise power over the activities of the plans and is therefore not deemed to be in control of any of the retirement plans.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

4 Advances

a Advances

2025	Retail lending	Commercial and corporate lending	Mortgages	Overdrafts	Credit cards	Total
Performing advances	97,033	180,501	817,368	22,258	20,354	**1,137,514**
Non-performing advances	6,670	34,604	39,599	1,441	4,700	**87,014**
	103,703	215,105	856,967	23,699	25,054	**1,224,528**
Accrued interest	98	1,123	1,618	90	–	**2,929**
	103,801	216,228	858,585	23,789	25,054	**1,227,457**
Allowance for ECLs – Note 4 (b)	(3,053)	(21,296)	(7,789)	(279)	(6,927)	**(39,344)**
	100,748	194,932	850,796	23,510	18,127	**1,188,113**
Unearned loan origination fees	(1,396)	(1,288)	(4,060)	–	–	**(6,744)**
Net advances	**99,352**	**193,644**	**846,736**	**23,510**	**18,127**	**1,181,369**
2024						
Performing advances	87,576	177,183	767,476	25,396	19,957	**1,077,588**
Non-performing advances	10,090	2,064	33,224	–	3,624	**49,002**
	97,666	179,247	800,700	25,396	23,581	**1,126,590**
Accrued interest	175	1,484	2,485	94	–	**4,238**
	97,841	180,731	803,185	25,490	23,581	**1,130,828**
Allowance for ECLs – Note 4 (b)	(3,047)	(2,361)	(4,424)	(230)	(5,049)	**(15,111)**
	94,794	178,370	798,761	25,260	18,532	**1,115,717**
Unearned loan origination fees	(1,123)	(1,239)	(3,327)	–	–	**(5,689)**
Net advances	**93,671**	**177,131**	**795,434**	**25,260**	**18,532**	1,110,028

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

4 Advances *(continued)*

b ECL allowance for advances to customers

The table below shows the staging of advances and the related ECLs based on the Bank's criteria as explained in Note 18.2.4 and policies on whether ECL allowances are calculated on an individual or collective basis are set out in Note 18.2.6.

2025	Retail lending	Commercial and corporate lending	Mortgages	Overdrafts	Credit cards	Total
Gross loans	103,801	216,228	858,585	23,789	25,054	**1,227,457**
Stage 1: 12 Month ECL	(97)	(442)	(1,199)	(181)	(2,101)	**(4,020)**
Stage 2: Lifetime ECL	(10)	(54)	(2,253)	(98)	(377)	**(2,792)**
Stage 3: Credit impaired financial assets – Lifetime ECL	(2,946)	(20,800)	(4,337)	–	(4,449)	**(32,532)**
As at September 30, 2025	100,748	194,932	850,796	23,510	18,127	**1,188,113**
Stage 1: 12 Month ECL						
ECL allowance as at October 1, 2024	38	506	851	149	1,454	**2,998**
ECL on new instruments issued during the year	36	96	164	–	–	**296**
Other credit loss movements, repayments etc.	23	(160)	184	32	647	**726**
As at September 30, 2025	**97**	**442**	**1,199**	**181**	**2,101**	**4,020**
Stage 2: Lifetime ECL						
ECL allowance as at October 1, 2024	7	312	1,775	81	111	**2,286**
ECL on new instruments issued during the year	–	23	23	–	–	**46**
Other credit loss movements, repayments etc.	3	(281)	455	17	266	**460**
As at September 30, 2025	**10**	**54**	**2,253**	**98**	**377**	**2,792**
Stage 3: Credit impaired financial assets – Lifetime ECL						
ECL allowance as at October 1, 2024	3,002	1,543	1,798	–	3,484	**9,827**
Charge-offs and write-offs	(489)	–	(2,899)	–	–	**(3,388)**
Credit loss expense	1,256	19,707	7,691	–	1,720	**30,374**
Recoveries	(823)	(450)	(2,253)	–	(755)	**(4,281)**
As at September 30, 2025	2,946	20,800	4,337	–	4,449	**32,532**
Total	**3,053**	**21,296**	**7,789**	**279**	**6,927**	**39,344**

Of the total ECL of $39.3 million, 82.7 percent was on an individual basis and 17.3 percent was on a collective basis.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

4 Advances *(continued)*

b ECL allowance for advances to customers *(continued)*

2024	Retail lending	Commercial and corporate lending	Mortgages	Overdrafts	Credit cards	**Total**
Gross loans	97,841	180,731	803,185	25,490	23,581	**1,130,828**
Stage 1: 12 Month ECL	(38)	(506)	(851)	(149)	(1,454)	**(2,998)**
Stage 2: Lifetime ECL	(7)	(312)	(1,775)	(81)	(111)	**(2,286)**
Stage 3: Credit impaired financial assets – Lifetime ECL	(3,002)	(1,543)	(1,798)	–	(3,484)	**(9,827)**
As at September 30, 2024	94,794	178,370	798,761	25,260	18,532	**1,115,717**
Stage 1: 12 Month ECL						
ECL allowance as at October 1, 2023	99	1,989	3,896	67	392	**6,443**
ECL on new instruments issued during the year	12	40	203	–	–	**255**
Other credit loss movements, repayments etc.	(73)	(1,523)	(3,248)	82	1,062	**(3,700)**
As at September 30, 2024	38	506	851	149	1,454	**2,998**
Stage 2: Lifetime ECL						
ECL allowance as at October 1, 2023	8	394	1,925	140	490	**2,957**
ECL on new instruments issued during the year	–	48	248	–	–	**296**
Other credit loss movements, repayments etc.	(1)	(130)	(398)	(59)	(379)	**(967)**
As at September 30, 2024	7	312	1,775	81	111	**2,286**
Stage 3: Credit impaired financial assets – Lifetime ECL						
ECL allowance as at October 1, 2023	2,465	1,225	2,226	–	3,291	**9,207**
Charge-offs and write-offs	(363)	–	(222)	–	–	**(585)**
Credit loss expense	2,254	1,404	3,700	–	1,411	**8,769**
Recoveries	(1,354)	(1,086)	(3,906)	–	(1,218)	**(7,564)**
As at September 30, 2024	3,002	1,543	1,798	–	3,484	**9,827**
Total	**3,047**	**2,361**	**4,424**	**230**	**5,049**	**15,111**

Of the total ECL of $15.1million, 35.0 percent was on an individual basis and 65.0 percent was on a collective basis.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

4 Advances *(continued)*

c Restructured/Modified loans

Within the retail portfolio, management will in the normal course of business modify the terms and conditions of facilities in the case of difficulties by the borrower. These modifications rarely result in an impairment loss and if it does, it is not material.

The Bank occasionally makes modifications to the original terms of large commercial and corporate loans as a response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. These modifications are made only when the Bank believes the borrower is likely to meet the modified terms and conditions. Indicators of financial difficulties include defaults on covenants, overdue payments or significant concerns raised by the Credit Risk Department. Once the terms have been renegotiated, any impairment is measured using the original Effective interest rate as calculated before the modification of terms.

Restructured loans are carefully monitored. Restructured large commercial and corporate loans are classified as Stage 2 and amounted to $17.6 million as at September 30, 2025 ($5.3 million as at September 30, 2024).

5 Investment securities

		2025	2024
a	Designated at Fair value through profit or loss		
	Equities	**696**	696
b	Debt instruments at amortised cost		
	Government securities	**69,366**	32,144
	State-owned company securities	**55,359**	24,032
	Corporate bonds	**358,637**	317,317
		483,362	373,493
	Total investment securities	**484,058**	**374,189**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

5 Investment securities *(continued)*

c Financial investment securities subject to impairment assessment

Debt instruments measured at amortised cost

The table below shows the credit quality and the maximum exposure to credit risk based on the Bank's credit rating system, aging and year-end stage classification.

2025	Stage 1 12 Month ECL	Stage 2 Lifetime ECL	Purchased or originated credit impaired (POCI)	**Total**
Gross exposure	464,452	15,122	4,245	**483,819**
ECL	(290)	(167)	–	**(457)**
Net exposure	**464,162**	**14,955**	**4,245**	**483,362**
ECL allowance as at October 1, 2024	117	125	–	**242**
ECL on new instruments issued during the year	214	167	–	**381**
Other credit loss movements, repayments and maturities	(41)	(125)	–	**(166)**
As at September 30, 2025	**290**	**167**	**–**	**457**
2024				
Gross exposure	362,595	8,053	3,087	**373,735**
ECL	(117)	(125)	–	**(242)**
Net exposure	**362,478**	**7,928**	**3,087**	**373,493**
ECL allowance as at October 1, 2023	352	248	–	**600**
ECL on new instruments issued during the year	56	–	–	**56**
Other credit loss movements, repayments and maturities	(291)	(123)	–	**(414)**
As at September 30, 2024	**117**	**125**	**–**	**242**

d Designated at Fair value through profit or loss

Equity securities have been carried at an appropriate estimate of fair value.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

6 Premises and equipment

2025	Capital works in progress	Freehold premises	Leasehold premises	Vehicle equipment, furniture and fittings	Total
Cost					
At beginning of year	5,320	43,776	7,523	54,344	**110,963**
Work-in-progress written off	(210)	–	–	–	**(210)**
Additions at cost	3,043	–	–	414	**3,457**
Disposal of assets	–	–	(239)	(10,027)	**(10,266)**
Transfer of assets	(4,574)	522	782	3,270	**–**
At end of year	3,579	44,298	8,066	48,001	**103,944**
Accumulated depreciation					
At beginning of year	–	13,567	4,298	48,189	**66,054**
Charge for the year	–	856	173	1,981	**3,010**
Disposal of assets	–	–	(239)	(9,920)	**(10,159)**
At end of year	–	14,423	4,232	40,250	**58,905**
Net book value	**3,579**	**29,875**	**3,834**	**7,751**	**45,039**

2024					
Cost					
At beginning of year	5,783	37,932	7,523	52,819	**104,057**
Adjustments	166	(35)	–	(43)	**88**
Work-in-progress written off	(321)	–	–	–	**(321)**
Additions at cost	7,612	–	–	391	**8,003**
Disposal of assets	–	–	–	(864)	**(864)**
Transfer of assets	(7,920)	5,879	–	2,041	**–**
At end of year	5,320	43,776	7,523	54,344	**110,963**
Accumulated depreciation					
At beginning of year	–	12,657	4,981	46,477	**64,115**
Adjustments	–	106	(699)	490	**(103)**
Charge for the year	–	804	16	2,054	**2,874**
Disposal of assets	–	–	–	(832)	**(832)**
At end of year	–	13,567	4,298	48,189	**66,054**
Net book value	**5,320**	**30,209**	**3,225**	**6,155**	**44,909**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

6 Premises and equipment *(continued)*

Capital commitments

	2025	2024
Contracts for outstanding capital expenditure not provided for in the Financial statements	**2,741**	2,166
Other capital expenditure authorised by the Directors but not yet contracted for	**2,677**	8,932

Capital works in progress

Included in premises and equipment at September 30, 2025, and 2024 are projects at various stages of completion. These projects mainly consist of building improvements, information technology implementations and upgrades.

7 Right-of-use assets and Lease liabilities

a Right-of-use assets

	Leasehold premises 2025	2024
Cost		
At beginning of year	**6,704**	6,250
Additions at cost	**523**	1,134
Disposal of assets	**(80)**	(680)
At end of year	**7,147**	6,704
Accumulated depreciation		
At beginning of year	**5,510**	4,644
Disposal of assets	**–**	110
Charge for the year – Note 15 (d)	**708**	756
At end of year	**6,218**	5,510
Net book value	**929**	**1,194**

Leasehold premises generally have lease terms between 1 and 15 years.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

7 Right-of-use assets and Lease liabilities *(continued)*

b Lease liabilities

2025	Current	Non-current	Total
At beginning of year	37	1,181	**1,218**
Additions at cost	33	490	**523**
Accretion of interest expense – Note 15 (b)	2	58	**60**
Less: Principal payments	(72)	(683)	**(755)**
Disposals	–	(88)	**(88)**
At end of year	**–**	**958**	**958**

2024			
At beginning of year	50	1,746	**1,796**
Additions at cost	54	1,080	**1,134**
Accretion of interest expense – Note 15 (b)	5	98	**103**
Less: Principal payments	(72)	(964)	**(1,036)**
Disposals	–	(779)	**(779)**
At end of year	**37**	**1,181**	**1,218**

The maturity analysis of lease liabilities are disclosed in Note 22 which is already contained in the liquidity risk Note 18.3.1.

Payments

Total rental payments of $755 for fiscal 2025 is fixed (2024: $1,036)

The Bank has several lease contracts that include extension and termination options. These options are negotiated by management to provide flexibility in managing the leased-asset portfolio and align with the Bank's business needs. Management exercises significant judgement in determining whether these extension and termination options are reasonably certain to be exercised.

8 Intangible assets

		2025	2024
a	Goodwill	**54,412**	54,412
b	Core deposits	**1,477**	2,093
		55,889	56,505

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

8 Intangible assets *(continued)*

a Goodwill

	2025	2024
Goodwill on acquisition brought and carried forward	**54,412**	54,412

Goodwill arising from business combinations was primarily generated from the acquisition of of Scotiabank Grenada branches.

Impairment testing of goodwill

In accordance with IFRS 3, all assets that gave rise to goodwill were reviewed for impairment using the 'value in use' method. In each case, the cash flow projections are based on financial budgets approved by senior management and the values assigned to key assumptions reflects past performance.

b Core deposits

	2025	2024
Cost		
At beginning and end of year	**7,560**	7,560
Accumulated amortisation		
At beginning of year	**5,467**	4,355
Amortisation – Note 15 (d)	**616**	1,112
At end of year	**6,083**	5,467
Net book value	**1,477**	**2,093**

Core deposit intangibles have been determined to have a life of 8.5 years for savings and demand and 5 years for term deposits from acquisition date.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

9 Employee benefits/obligations

a The amounts recognised in the Statement of financial position are as follows:

	Defined benefit pension plan		Employee defined benefit liabilities	
	2025	2024	**2025**	2024
Present value of defined benefit obligation	**(32,833)**	(30,473)	**(6,205)**	(5,213)
Fair value of plan assets	**34,821**	33,470	**–**	–
Surplus/(deficit)	**1,988**	2,997	**(6,205)**	(5,213)
Effect of asset ceiling	**(1,988)**	(2,997)	**–**	–
Net defined benefit obligation	**–**	**–**	**(6,205)**	**(5,213)**

b Reconciliation of opening and closing Statement of financial position entries:

	Defined benefit pension plan		Employee defined benefit liabilities	
	2025	2024	**2025**	2024
Opening defined benefit obligation	**–**	(3,991)	**(5,213)**	(5,681)
Net pension cost	**(771)**	(1,213)	**(894)**	(615)
Remeasurements recognised in Other comprehensive income	**(347)**	3,772	**(248)**	954
Bank contributions	**1,118**	1,432	**–**	–
Premiums paid by the Bank	**–**	–	**150**	129
Closing defined benefit obligation	**–**	**–**	**(6,205)**	**(5,213)**

c Changes in the present value of the defined benefit obligation are as follows:

	Defined benefit pension plan		Employee defined benefit liabilities	
	2025	2024	**2025**	2024
Opening defined benefit obligation	**(30,473)**	(36,259)	**(5,213)**	(5,681)
Current service cost	**(709)**	(924)	**(534)**	(497)
Interest cost	**(2,081)**	(2,467)	**(360)**	(375)
Members' contributions	**(137)**	(199)	**–**	–
Past service cost	**–**	-	**–**	257
Remeasurements:				
– Experience adjustments	**(949)**	30	**(248)**	409
– Actuarial gain from changes in demographic assumptions	**–**	7,269	**–**	545
Benefits paid	**1,516**	2,077	**–**	–
Premiums paid by the Bank	**–**	–	**150**	129
Closing defined benefit obligation	**(32,833)**	**(30,473)**	**(6,205)**	**(5,213)**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

9 Employee benefits/obligations *(continued)*

d Liability profile

The defined benefit obligation is allocated between the Plan's members as follows:

	Defined benefit pension plan %	Post-retirement medical %	Group life obligations %
- Active members	58.00	58.00	37.00
- Defined contribution liabilities	10.00	–	–
- Deferred members	2.00	–	–
- Pensioners	30.00	42.00	63.00

Pension

The weighted average duration of the defined benefit obligation as at September 30, 2025, was 14.3 years.

Nearly 100 percent of the value of the benefits for active members is vested.

47 percent of the defined benefit obligation for active members is conditional on future salary increases.

Medical

The weighted average duration of the defined benefit obligation as at September 30, 2025, was 17.4 years.

36 percent of the benefits for active members are vested.

Group Life

The weighted average duration of the defined benefit obligation as at September 30, 2025, was 15.6 years.

54 percent of the benefits for active members are vested.

26 percent of the defined benefit obligation for active members was conditional on future salary increases.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

9 Employee benefits/obligations *(continued)*

e Movement in Fair value of plan assets

	Defined benefit pension plan	
	2025	2024
Fair value of plan assets at start of year	**33,470**	32,268
Interest income	**2,332**	2,241
Return on plan assets, excluding interest income	**(658)**	(530)
Bank contribution	**1,118**	1,432
Members' contributions	**137**	199
Benefits paid	**(1,516)**	(2,077)
Administrative expenses allowance	**(62)**	(63)
Fair value of plan assets at end of year	**34,821**	33,470
Actual return on plan assets	**1,674**	**1,711**

f Plan assets allocation as at September 30

	Defined benefit pension plan			
	Fair value		% Allocation	
	2025	2024	**2025**	2024
Regional equity securities	**680**	283	**2**	1
Debt securities	**5,743**	5,517	**17**	17
Other short-term securities	**2,131**	2,133	**6**	6
Money market instruments/cash and cash equivalents	**26,267**	25,537	**75**	76
Total	**34,821**	**33,470**	**100**	**100**

The Plan's investment strategy is determined by the Plan's Trustees with the agreement of the Bank. This strategy is largely dictated by statutory constraints and the availability of suitable investments. There are no asset-liability matching strategies used by the plan.

The regional equities held by the pension plan relates to Eastern Caribbean Financial Holdings and has a quoted price but the market is illiquid. Approximately 14 percent of the Plan's bond portfolio is made up of a bond issued by the Government of Grenada which was substantially impaired in 2013, and restructured in 2016.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

9 Employee benefits/obligations *(continued)*

		Defined benefit pension plan		Employee defined benefit liabilities	
		2025	2024	**2025**	2024
g	The amounts recognised in the Statement of income are:				
	Current service cost	**(709)**	(924)	**(534)**	(497)
	Net interest on net defined asset/(liability)	**251**	(226)	**(360)**	(375)
	Administration expenses	**(62)**	(63)	**–**	–
	Past service cost	**–**	–	**–**	257
	Total included in staff costs	**(520)**	**(1,213)**	**(894)**	**(615)**
h	Remeasurements recognised in other comprehensive income				
	Experience (losses)/gains	**(1,607)**	6,769	**(248)**	954
	Effect of asset ceiling	**1,260**	(2,997)	**–**	–
	Total included in other comprehensive income	**(347)**	**3,772**	**(248)**	**954**

i Summary of principal actuarial assumptions as at September 30

	2025 %	2024 %
Discount rate	**7.00**	7.00
Rate of salary increases	**4.00**	4.00
Pension increases	**0.00**	0.00
Medical cost trend rates	**6.00**	6.00
NIS ceiling rates	**3.00**	3.00

Assumptions regarding future mortality are based on published mortality rates. The life expectancies underlying the value of the defined benefit obligation as at September 30, are as follows:

	Defined benefit pension plan		Employee defined benefit liabilities	
	2025	2024	**2025**	2024
Life expectancy at age 60 for current pensioner in years:				
Male	**22.0**	22.0	**22.0**	22.0
Female	**26.3**	26.2	**26.3**	26.2
Life expectancy at age 60 for current members age 40 in years:				
Male	**22.9**	22.8	**22.9**	22.8
Female	**27.2**	27.1	**27.2**	27.1

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

9 Employee benefits/obligations *(continued)*

j Sensitivity analysis

The calculation of the defined benefit obligation is sensitive to the assumptions used. The following table summarizes how the defined benefit obligation as at September 30, 2025, would have changed as a result of reasonable changes in key assumptions used.

	Defined benefit pension plan		Employee defined benefit liabilities	
	1% p.a. increase	1% p.a. decrease	1% p.a. increase	1% p.a. decrease
Discount rate	(3,845)	4,770	(891)	1,123
Future salary increases	4,487	(3,793)	23	(21)
Medical cost increases	–	–	996	(801)

An increase of 1 year in the assumed life expectancies shown above would increase the defined benefit obligation at September 30, 2025, by $0.442 million and the post-retirement medical benefit by $0.195 million but decrease group life obligation by $0.045 million.

These sensitivities were calculated by re-calculating the defined benefit obligations using the revised assumptions.

k Funding

The Bank meets the balance of the cost of funding the defined benefit pension plan. The funding requirements are based on regular actuarial valuations of the Plan made every three years and the assumptions used to determine the funding required may differ from those set out above. The Bank expects to pay $2.5 million (excluding any contribution arrears due from prior years) to the pension plan in the 2026 financial year.

The Bank operates the post-retirement medical benefit plan as a self-insured arrangement administered by insurance brokers. Retirees meet 40 percent of the total premium due and the bank meets the remaining 60 percent. Assuming no change in premium the Bank expects to pay $0.158 million in retirees medical premium in the 2026 financial year.

The Bank pays premiums to meet the cost of insuring the plan's benefits. Assuming no change in premium rates the Bank expects to pay premiums of around $0.017 million to the group life plan in the 2026 financial year.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

10 Deferred tax assets and liabilities

Components of deferred tax assets and liabilities

a Deferred tax assets

2025	Opening balance	Credit/(Charge) Statement of income	Credit/(Charge) Other comprehensive income	Closing balance
Post-retirement medical and group life obligation	1,459	209	69	1,737
Leased assets, net	–	11	–	11
IFRS 9 provision	1,479	429	–	1,908
	2,938	**649**	**69**	**3,656**

2024				
Post-retirement medical and group life obligation	1,586	140	(267)	1,459
Leased assets, net	64	(64)	–	–
Pension liability	1,117	(1,117)	–	–
IFRS 9 provision	2,632	(1,153)	–	1,479
	5,399	**(2,194)**	**(267)**	**2,938**

b Deferred tax liabilities

2025	Opening balance	(Credit)/Charge Statement of income	(Credit)/Charge Other comprehensive income	Closing balance
Core deposits	588	(174)	–	414
Leased assets, net	5	(5)	–	–
Pension asset	–	97	(97)	–
Premises and equipment	280	161	–	441
	873	**79**	**(97)**	**855**

2024				
Core deposits	899	(311)	–	588
Leased assets, net	–	5	–	5
Pension asset	–	(1,056)	1,056	–
Premises and equipment	172	108	–	280
	1,071	**(1,254)**	**1,056**	**873**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

11 Other assets

	2025	2024
Accounts receivable and prepayments	**7,750**	11,643

12 Customers' current, savings and deposit accounts

Concentration of customers' current, savings and deposit accounts

	2025	2024
State	**101,118**	104,459
Corporate and commercial	**381,414**	347,048
Personal	**1,259,603**	1,232,339
Other financial institutions	**80,166**	74,372
	1,822,301	1,758,218

13 Other liabilities

	2025	2024
Accounts payable and accruals	**6,662**	6,597
Provision for profit sharing and salary increases	**2,794**	2,692
Other	**3,478**	4,880
	12,934	14,169

14 Stated capital

	Number of ordinary shares ('000)			
	2025	2024	**2025**	2024
Authorised				
The Bank is authorised to issue an unlimited number of shares of no par value				
Issued and fully paid				
Beginning and end of year	**3,774**	3,774	**117,337**	117,337

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

15 Operating profit

		2025	2024
a	**Interest income**		
	Advances	**70,152**	68,665
	Investment securities	**19,305**	14,550
	Liquid assets	**9,419**	7,980
		98,876	**91,195**
b	**Interest expense**		
	Customers' current, savings and deposit accounts	**20,955**	20,349
	Finance cost lease liabilities – Note 7 (b)	**60**	103
		21,015	**20,452**
c	**Other income**		
	Fees and commission income	**8,525**	7,852
	Credit Card fees and commission (net)	**9,311**	7,939
	Net exchange trading income	**11,222**	10,638
	Dividends	**14**	20
	Gain on sale of premises and equipment	**70**	126
	Other operating income	**4,591**	1,736
		33,733	**28,311**
d	**Operating expenses**		
	Staff costs	**23,995**	25,064
	Employee benefits/obligations expense – Note 9 (g)	**1,414**	1,828
	General administrative expenses	**26,799**	27,959
	Audit fee	**970**	970
	Audit related expenses	**305**	517
	Property related expenses	**5,119**	6,277
	Depreciation expense – Note 6	**3,010**	2,874
	Depreciation expense right-of-use assets – Note 7 (a)	**708**	756
	Intangible amortisation expense – Note 8	**616**	1,112
	Advertising and public relations expenses	**1,663**	1,794
	Directors' fees	**368**	464
		64,967	**69,615**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

16 Credit loss expense/(recovery) on financial assets

	Notes	2025	2024
Advances	4 (b)	**27,621**	(2,910)
Debt instruments measured at amortised cost		**(1,446)**	(172)
		26,175	**(3,082)**

17 Taxation expense

	2025	2024
Corporation tax	**5,535**	7,948
Deferred tax (credit)/charge	**(575)**	939
	4,960	8,887

Reconciliation between taxation expense and accounting profit

Income taxes in the Statement of income vary from amounts that would be computed by applying the statutory tax rate for the following reasons:

	2025	2024
Net profit before taxation	**20,452**	32,521
Tax at applicable statutory tax rates (2025 and 2024: 28 percent)	**5,727**	9,106
Tax effect of items that are adjustable in determining taxable profit:		
Tax exempt income	**(2,398)**	(3,024)
Items not allowable for tax purposes	**1,631**	2,805
	4,960	8,887

The effective income tax rate for 2025 is 27.07 percent (2024: 24.43 percent).

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management

18.1 General

The Bank's prudent banking practices are founded on solid risk management. In an effort to keep apace with its dynamic environment, the Bank has established a comprehensive framework for managing risks, which is continually evolving as the Bank's business activities change in response to market, credit, product and other developments.

The basic principles of risk management followed by the Bank include:

- Managing risk within parameters approved by the Board of Directors and Executives;
- Assessing risk initially and then consistently monitoring those risks through their life cycle;
- Abiding by all applicable laws, regulations and governance standards;
- Applying high and consistent ethical standards to our relationships with all customers, employees and other stakeholders; and
- Undertaking activities in accordance with fundamental control standards. These controls include the disciplines of planning, monitoring, segregation, authorisation and approval, recording, safeguarding, reconciliation and valuation.

The Board of Directors has ultimate responsibility for the management of risk within the Bank. Acting with authority delegated by the Board, the Credit, Audit, Asset Liability Committee, and Audit and Enterprise Risk Committee, review specific risk areas.

The Internal Audit function audits Risk Management processes throughout the Bank by examining both the adequacy of the procedures and the Bank's compliance with these procedures. Internal Audit discusses the results of all assessments with Management and reports its findings and recommendations to the Audit Committee.

The Bank's activities are primarily related to the use of financial instruments. The Bank accepts funds from customers and seeks to earn above average interest margins by investing in high quality assets such as government and corporate securities as well as equity investments and seeks to increase these margins by lending for longer periods at higher rates, while maintaining sufficient liquidity to meet all claims that might fall due.

The main risks arising from the Bank's financial instruments are credit risk, liquidity risk and market risk (interest rate risk, foreign currency risk and operational risk). The Bank reviews and agrees policies for managing each of these risks as follows:

18.2 Credit risk

Credit risk is the potential that a borrower or counterparty will fail to meet its stated obligations in accordance with agreed terms. The objective of the Bank's credit risk management function is to maximise the Bank's risk-adjusted rate of return by maintaining credit risk exposure within acceptable parameters. The effective management of credit risk is a key element of a comprehensive approach to risk management and is considered essential to the long-term success of the Bank.

The Bank's credit risk management process operates on the basis of a hierarchy of discretionary authorities. A Board Credit Committee, chaired by the Chairman of the Board and including executive and non-executive directors, is in place, with the authority to exercise the powers of the Board on all risk management decisions.

The Risk Management unit is accountable for the general management and administration of the Bank's credit portfolio, ensuring that lendings are made in accordance with current legislation, sound banking practice and in accordance with the applicable general policy of the Board of Directors. The Risk Management function is kept separate from and independent of the business development aspect of the operations.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

The Bank uses a risk rating system which groups commercial/corporate accounts into various risk categories to facilitate the management of risk on both an individual account and portfolio basis. For retail lending, a computerised Credit Scoring system with preset risk management criteria is in place at all branches to facilitate decision-making. Trend indicators are also used to evaluate risk as improving, static or deteriorating. The evaluation of the risk and trend inform the credit decision and determines the intensity of the monitoring process.

The debt securities within the Bank's investment security portfolio are exposed to credit risk and are managed by investment grading or country exposure with preset exposure limits as approved by the Board of Directors. The credit quality of each individual security is assessed based on the financial strength, reputation and market position of the issuing entity and the ability of that entity to service the debt.

The Bank avoids exposure to undue concentrations of risk by placing limits on the amount of risk accepted from a number of borrowers engaged in similar business activities, or activities in the same geographic region or with similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Such risks are controlled and monitored on a revolving basis and are subject to an annual or more frequent review. Limits on the level of credit risk by product, industry sector, client and geography are approved by the Board of Directors.

The Bank's credit control processes emphasize early detection of deterioration and prompt implementation of remedial action and where it is considered that recovery of the outstanding balance may be doubtful or unduly delayed, such accounts are transferred from performing to non-performing status.

18.2.1 Analysis of risk concentration

The Bank's concentrations of risk are managed by client/counterparty, geographical region and industry sector. The table below shows the Bank's maximum exposure to any client or counterparty before taking into account collateral or other credit enhancements.

	Gross maximum exposure	
	2025	2024
Statutory deposits with Central Bank	**109,840**	107,711
Due from banks	**175,830**	104,392
Due from related banks	**140,256**	251,716
Treasury Bills	**144,004**	114,929
Investment interest receivable	**5,200**	3,574
Advances	**1,181,369**	1,110,028
Investment securities, excluding equities	**483,362**	373,493
Total	**2,239,861**	**2,065,843**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.1 Analysis of risk concentration *(continued)*

	Gross maximum exposure 2025	2024
Undrawn commitments	**285,254**	268,216
Guarantees and Indemnities	**20,154**	28,374
Letters of credit	**8,749**	9,639
Total	**314,157**	**306,229**
Total credit risk exposure	**2,554,018**	**2,372,072**

Where financial instruments are recorded at fair value, the amounts shown represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

a Industry sectors

The following table shows the risk concentration by industry for the components of the Statement of financial position. Additional disclosures for credit quality and the maximum exposure for credit risk per categories based on the Bank's internal credit rating system and year-end stage classification are further disclosed in Notes 4 (b) and 5 (c).

	2025	2024
Government and Central Government Bodies	**222,425**	161,889
Financial sector	**547,557**	645,695
Energy and mining	**31,493**	–
Agriculture	**19,805**	18,319
Electricity and water	**8,255**	8,101
Transport storage and communication	**55,110**	51,190
Distribution	**256,292**	153,637
Real estate	**174,998**	60,362
Manufacturing	**779**	25,342
Construction	**37,440**	94,710
Hotel and restaurant	**296,303**	311,532
Personal	**757,410**	775,477
Other services	**146,151**	65,818
	2,554,018	**2,372,072**

Credit exposure with state-owned bodies have been categorised according to the service offered by the organisation rather than within "Government and Central Government Bodies".

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.1 Analysis of risk concentration *(continued)*

b Geographical sectors

The Bank's maximum credit exposure, after taking account of credit loss provisions established but before taking into account any collateral held or other credit enhancements, can be analysed by the following geographical regions based on the country of domicile of our counterparties:

	2025	2024
Eastern Caribbean (excluding Grenada)	**367,151**	340,026
Barbados	**544**	4
Grenada	**1,349,478**	1,268,800
Trinidad and Tobago	**124,673**	188,428
United States	**372,959**	318,689
Other Countries	**339,213**	256,125
	2,554,018	**2,372,072**

18.2.2 Impairment assessment

Financial asset provisions are reviewed quarterly in accordance with established guidelines and recommended provisions arising out of this review are submitted to the Board for approval. Non-performing debts recommended for write-off are also reviewed quarterly and action taken in accordance with prescribed guidelines. The Bank's impairment assessment and measurement approach is set out below.

18.2.3 Default and recovery

The Bank considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether a customer is in default, the Bank also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Bank carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

It is the Bank's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.4 The Bank's internal rating and PD estimation process

Commercial and corporate lending and mortgages

The Bank has an independent internal credit risk department. Risk ratings were selected as cohort for PD analyses. A vintage approach was applied looking at the movements of ratings over a period of time. Historical PDs were developed and there being no correlation between macro economic trends and historical default rates, management applied judgmental overlays based on expectations. As previously mentioned, LGD percentage estimates were developed based on historical loss trends for non-performing loans which are assessed on an individual level including estimating the present value of future cash flows. EAD equals the loan balance outstanding plus accrued interest.

Retail lending and mortgages

Product types were selected as cohort for PD analyses for retail lending and retail mortgages. A vintage approach was applied looking at the number of defaults by segment over a period of time. Historical PDs were developed and there being no correlation between macro economic trends, management applied judgmental overlays based on expectations. LGD percentage estimates were developed based on historical loss trends for non-performing loans which are assessed on both an individual and collective level. EAD equals the loan balance outstanding plus accrued interest.

Overdrafts and Credit Cards

Many corporate customers are extended overdraft facilities and the PDs developed for the Corporate portfolio were applied. LGDs for the Corporate portfolio was also utilised for overdrafts. EADs were developed based on historical trends in utilisation of overdraft limits. ECL percentages for the Retail portfolio were utilised for retail overdrafts. PDs for the credit card portfolio were developed using default percentages over a period of time. EADs were developed based on historical trends in utilisation of credit card limits and LGD percentage estimates were developed based on historical loss trends for a sample of credit card non-performing facilities.

Management judgmentally applied overlays as required as there was no noted correlation between macro economic trends and historical default rates.

Investment securities carried at amortised cost

PD's and LGD's for traded instruments were based on the global credit ratings assigned to the instrument or the country for sovereign exposures. PDs and LGDs for non traded instruments were based on one notch below the credit rating of the sovereign in which the instrument is issued or on company ratings where they existed. Management applied judgmental overlays on local debt instruments. EAD equals the amortised security balance plus accrued interest.

Treasury Bills and Due from banks including related banks

Treasury Bills, Statutory deposits with Central Bank and Due from banks including related banks are short term funds placed with the Eastern Caribbean Central Bank and correspondent banks and the Bank therefore considers the risk of default to be very low. These facilities are highly liquid and without restriction and based on management's review of the underlying instruments the ECL on these instruments were determined to be zero.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.4 The Bank's internal rating and PD estimation process

Financial guarantees, letters of credit and undrawn loan commitments

The Bank issues financial guarantees, letters of credit and loan commitments.

Financial guarantees, letters of credit and loan commitments are off-balance sheet instruments and have no history of default. As a result, the Bank considers the risk of default to be very low and the ECLs on these instruments were determined to be zero.

18.2.5 Significant increase in credit risk

The Bank continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Bank assesses whether there has been a significant increase in credit risk since initial recognition.

The Bank also applies a secondary qualitative method for triggering a significant increase in credit risk for an asset. Regardless of the change in credit grades, if contractual payments are more than 30 days past due, the credit risk is deemed to have increased significantly since initial recognition.

When estimating ECLs on a collective basis for a group of similar assets (as set out in Note 18.2.6), the Bank applies the same principles for assessing whether there has been a significant increase in credit risk since initial recognition.

18.2.6 Grouping financial assets measured on a collective basis

As explained in Note 2.5 (g) (i) dependent on the factors below, the Bank calculates ECLs either on a collective or an individual basis. Asset classes where the Bank calculates ECL on an individual basis include:

- All stage 3 assets, regardless of the class of financial assets
- The commercial and corporate lending and overdraft portfolio
- The mortgage portfolio
- The retail lending portfolio
- The credit card portfolio

Asset classes where the Bank calculates ECL on a collective basis include:

- The retail overdraft portfolio
- Past due not yet relegated credit facilities

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.7 Analysis of Gross carrying amount and corresponding ECLs are as follows:

Advances

	2025 %	2024 %
Stage 1	**81.3**	82.3
Stage 2	**11.7**	13.4
Stage 3	**7.0**	4.3
	100.0	100.0

The ECL methodology and definition of default remained consistent with prior periods. Calculation inputs, including forward-looking information, together with the determination of the staging of exposures were however revised.

2025	Retail lending	Commercial and corporate lending	Mortgages	Overdrafts	Credit cards	**Total**
Stage 1						
Gross loans	96,516	161,683	700,521	19,565	18,217	**996,502**
ECL	(97)	(442)	(1,199)	(181)	(2,101)	**(4,020)**
	96,419	**161,241**	**699,322**	**19,384**	**16,116**	**992,482**
ECL as a % of Gross loans	0.1	0.3	0.2	0.9	11.5	**0.4**
2024						
Stage 1						
Gross loans	86,929	127,114	675,211	21,940	18,711	**929,905**
ECL	(38)	(506)	(851)	(149)	(1,454)	**(2,998)**
	86,891	**126,608**	**674,360**	**21,791**	**17,257**	**926,907**
ECL as a % of Gross loans	0.0	0.4	0.1	0.7	7.8	**0.3**

The increase in ECLs of Stage 1 portfolios was driven by an increase in the Gross loan portfolio.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.7 Analysis of Gross carrying amount and corresponding ECLs are as follows: *(continued)*

Advances (continued)

2025	Retail lending	Commercial and corporate lending	Mortgages	Overdrafts	Credit cards	Total
Stage 2						
Gross loans	615	19,941	118,466	2,783	2,137	**143,942**
ECL	(10)	(54)	(2,253)	(98)	(377)	**(2,792)**
	605	**19,887**	**1156,213**	**2,685**	**1,760**	**141,150**
ECL as a % of Gross loans	1.6	0.3	1.9	3.5	17.6	**2.0**
2024						
Stage 2						
Gross loans	822	51,553	94,750	3,550	1,246	**151,921**
ECL	(7)	(312)	(1,775)	(81)	(111)	**(2,286)**
	815	**51,241**	**92,975**	**3,469**	**1,135**	**149,635**
ECL as a % of Gross loans	0.9	0.6	1.9	2.3	8.9	**1.5**

The increase in ECLs of Stage 2 portfolio was driven by increased credit risk.

2025	Retail lending	Commercial and corporate lending	Mortgages	Overdrafts	Credit cards	Total
Stage 3						
Gross loans	6,670	34,604	39,599	1,441	4,700	**87,014**
ECL	(2,946)	(20,800)	(4,337)	–	(4,449)	**(32,532)**
	3,724	**13,804**	**35,262**	**–**	**251**	**54,482**
ECL as a % of Gross loans	44.2	60.1	11.0	1,441	94.6	**37.4**
2024						
Stage 3						
Gross loans	10,090	2,064	33,224	–	3,624	**49,002**
ECL	(3,002)	(1,543)	(1,798)	–	(3,484)	**(9,827)**
	7,088	**521**	**31,426**	**–**	**140**	**39,175**
ECL as a % of Gross loans	29.8	74.8	5.4	–	96.0	**20.1**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.2 Credit risk *(continued)*

18.2.7 Analysis of Gross carrying amount and corresponding ECLs are as follows: *(continued)*

Advances (continued)

The increase in ECLs of Stage 3 portfolios was driven by increases in credit risk and the non performing loan portfolio.

Investment Securities

	2025 %	2024 %
Stage 1	**96.0**	97.0
Stage 2	**3.1**	2.2
POCI	**0.9**	0.8
	100.0	100.0

2025	Stage 1	Stage 2	POCI	Total
Gross balance	464,452	15,122	4,245	**483,819**
ECL	(290)	(167)	–	**(457)**
	464,162	**14,955**	4,245	**483,362**
ECL as a % of balance	0.1	1.1	–	**0.1**
2024				
Gross balance	362,593	8,053	3,087	**373,733**
ECL	(117)	(125)	–	**(242)**
	362,476	**7,928**	3,087	**373,491**
ECL as a % of Balance	0.0	1.6	–	**0.1**

The increase in ECLs was driven mainly by the increase in the portfolio.

18.3 Liquidity risk

Liquidity risk is defined as the risk that the Bank either does not have sufficient financial resources available to meet all its obligations and commitments as they fall due, or can access these only at excessive cost.

Liquidity management is therefore primarily designed to ensure that funding requirements can be met, including the replacement of existing funds as they mature or are withdrawn, or to satisfy the demands of customers for additional borrowings. Liquidity management focuses on ensuring that the Bank has sufficient funds to meet all of its obligations.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.3 Liquidity risk *(continued)*

Three primary sources of funds are used to provide liquidity – retail deposits, wholesale deposits and the capital market. A substantial portion of the Bank is funded with "core deposits". The Bank maintains a core base of retail and wholesale funds, which can be drawn on to meet ongoing liquidity needs. The capital markets are accessed for medium to long-term funds as required, providing diverse funding sources to the Bank. Facilities are also established with correspondent banks, which can provide additional liquidity as conditions demand.

The Asset/Liability Committee (ALCO) sets targets for daily float, allowable liquid assets and funding diversification in line with system liquidity trends. While the primary asset used for short-term liquidity management is the Treasury Bill, the Bank also holds investments in other Government securities, which can be used for liquidity support. The Bank continually balances the need for short-term assets, which have lower yields, with the need for higher asset returns.

18.3.1 Analysis of financial liabilities by remaining contractual maturities

The table below summarises the maturity profile of the Bank's financial liabilities at September 30, based on contractual undiscounted repayment obligations, over the remaining life of those liabilities. These balances include interest to be paid over the remaining life of the liabilities and will therefore be greater than the carrying amounts on the Statement of financial position. See Note 22 for a maturity analysis of assets and liabilities.

Financial liabilities – on Statement of financial position

2025	On demand	Up to one year	1 to 5 years	Total
Customers' current, savings and deposit accounts	1,755,430	62,758	4,453	**1,822,641**
Due to banks	4,732	–	–	**4,732**
Due to related banks	6,990	–	–	**6,990**
Due to related companies	269,732	–	–	**269,732**
Lease liabilities	–	89	869	**958**
Other liabilities	12,934	–	–	**12,934**
Total undiscounted financial liabilities 2025	**2,049,818**	**62,847**	**5,322**	**2,117,987**
2024				
Customers' current, savings and deposit accounts	1,689,898	68,384	289	**1,758,571**
Due to banks	5,580	–	–	**5,580**
Due to related banks	7,494	–	–	**7,494**
Due to related companies	168,390	–	–	**168,390**
Lease liabilities	–	37	1,181	**1,218**
Other liabilities	14,169	–	–	**14,169**
Total undiscounted financial liabilities 2024	**1,885,531**	**68,421**	**1,470**	**1,955,422**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.3 Liquidity risk *(continued)*

18.3.1 Analysis of financial liabilities by remaining contractual maturities *(continued)*

Financial liabilities - off Statement of financial position

2025	On demand	Up to one year	1 to 5 years	Total
Guarantees and indemnities	830	8,271	11,053	**20,154**
Letters of credit	136	8,613	–	**8,749**
Total	**966**	**16,884**	**11,053**	**28,903**
2024				
Guarantees and indemnities	12,560	5,409	10,404	**28,373**
Letters of credit	136	9,503	–	**9,639**
Total	**12,696**	**14,912**	**10,404**	**38,012**

The Bank expects that not all of the contingent liabilities or commitments will be drawn before expiry of the commitments.

18.3.2 Changes in liabilities arising from financing activities

	2024	Cash flows	2025
Due to banks	5,580	(848)	**4,732**
Due to related banks	7,494	(504)	**6,990**
Due to related companies	168,390	101,342	**269,732**
Lease liabilities	1,218	(260)	**958**
Total un-discounted financial liabilities	**182,682**	**99,730**	**282,412**

	2023	Cash flows	2024
Due to banks	17,588	(12,008)	**5,580**
Due to related banks	3,324	4,170	**7,494**
Due to related companies	98,487	69,903	**168,390**
Lease liabilities	1,796	(578)	**1,218**
Total un-discounted financial liabilities	**121,195**	**61,487**	**182,682**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.4 Market risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates and equity prices.

18.4.1 Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. The Bank has an Asset/Liability Committee which reviews on a monthly basis the non-credit and non-operational risk for the Bank. Asset and Liability management is a vital part of the risk management process of the Bank. The mandate of the Committee is to approve strategies for the management of the non-credit risks of the Bank, including interest rate, foreign exchange, liquidity and market risks.

The primary tools currently in use are gap analysis, interest rate sensitivity analysis and exposure limits for financial instruments. The limits are defined in terms of amount, term, issuer, depositor and country. The Bank is committed to refining and defining these tools to be in line with international best practice.

Interest on financial instruments classified as floating is repriced at intervals of less than one year while interest on financial instruments classified as fixed is fixed until the maturity of the instrument.

18.4.2 Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Bank's exposure to the effects of fluctuations in foreign currency exchange rates arises mainly from its investments and related parties and associates. The Bank's policy is to match the initial net foreign currency investment with funding in the same currency. The Bank also monitors its foreign currency position for both overnight and intra-day transactions.

Changes in foreign exchange rates affect the Bank's earnings and equity through differences on the re-translation of the net assets.

The principal currency of the Bank is the Eastern Caribbean Dollar.

The following tables indicate the currencies to which the Bank had significant exposure at September 30, on its non-trading monetary assets and liabilities and its forecast cash flows. The analysis also calculates the effect of a reasonably possible movement of each currency rate against the Eastern Caribbean Dollar, with all other variables held constant.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.4 Market risk *(continued)*

18.4.2 Currency risk *(continued)*

2025	ECD	USD	TTD	Other	Total
Financial assets					
Cash on hand	27,918	1,806	–	1,295	**31,019**
Statutory deposits with Central Bank	109,840	–	–	–	**109,840**
Due from banks	163,430	9,932	–	2,468	**175,830**
Due from related banks	44,359	95,370	369	158	**140,256**
Treasury Bills	60,686	83,318	–	–	**144,004**
Investment interest receivable	298	4,902	–	–	**5,200**
Advances	868,677	312,692	–	–	**1,181,369**
Investment securities	3,877	480,181	–	–	**484,058**
Total financial assets	**1,279,085**	**988,201**	**369**	**3,921**	**2,271,576**
Financial liabilities					
Due to banks	2,944	1,788	–	–	**4,732**
Due to related banks	6,975	–	15	–	**6,990**
Due to related companies	269,732	–	–	–	**269,732**
Customers' current, savings and deposit accounts	1,671,996	149,508	–	797	**1,822,301**
Accrued interest payable	339	1	–	–	**340**
Total financial liabilities	**1,951,986**	**151,297**	**15**	**797**	**2,104,095**
Net currency risk exposure		**836,904**	**354**	**3,124**	
Reasonably possible change in currency rate (%)		**1**	**1**	**1**	
Effect on profit before tax		**8,369**	**–**	**31**	

2024					
Financial assets					
Cash on hand	31,264	2,048	–	1,493	**34,805**
Deposits with Central Bank	107,711	–	–	–	**107,711**
Due from banks	73,793	28,743	–	1,856	**104,392**
Due from related banks	100,851	150,609	–	256	**251,716**
Treasury Bills	67,356	47,573	–	–	**114,929**
Investment interest receivable	152	3,422	–	–	**3,574**
Advances	843,435	266,593	–	–	**1,110,028**
Investment securities	2,320	371,869	–	–	**374,189**
Total financial assets	**1,226,882**	**870,857**	**–**	**3,605**	**2,101,344**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

18 Risk management *(continued)*

18.4 Market risk *(continued)*

18.4.2 Currency risk *(continued)*

2024	ECD	USD	TTD	Other	Total
Financial liabilities					
Due to banks	4,636	944	–	–	**5,580**
Due to related banks	7,484	–	7	3	**7,494**
Due to related companies	168,390	–	–	–	**168,390**
Customers' current, savings and deposit accounts	1,586,517	170,845	–	856	**1,758,218**
Accrued interest payable	352	1	–	–	**353**
Total financial liabilities	**1,767,379**	**171,790**	**7**	**859**	**1,940,035**
Net currency risk exposure		**699,067**	**(7)**	**2,746**	
Reasonably possible change in currency rate (%)		**1**	**1**	**1**	
Effect on profit before tax		**6,991**	**–**	**27**	

18.5 Operational risk

The growing sophistication of the banking industry has made the Bank's operational risk profile more complex. Operational risk is inherent within all business activities and is the potential for financial or reputational loss arising from inadequate or failed internal controls, operational processes or the systems that support them. It includes errors, omissions, disasters and deliberate acts such as fraud.

The Bank recognises that such risk can never be entirely eliminated and manages the risk through a combination of systems and procedures to monitor and document transactions. The Bank's operational risk department oversees this and where appropriate, risk is transferred by the placement of adequate insurance coverage.

The Bank has developed contingency arrangements and established facilities to support operations in the event of disasters. Independent checks on operational risk issues are also undertaken by the internal audit function.

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

19 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions. A number of banking transactions are entered into with related parties in the normal course of business. These transactions are both secured and unsecured and were carried out on commercial terms and conditions, at market rates. The advances are gross of ECLs.

	2025	2024
Advances, investments and other assets		
Directors and key management personnel	**5,582**	5,231
Other related parties	**175,030**	287,781
	180,612	293,012
Deposits and other liabilities		
Directors and key management personnel	**1,693**	1,347
Other related parties	**282,624**	191,009
	284,317	192,356
Interest and other income		
Directors and key management personnel	**181**	145
Other related parties	**6,138**	955
	6,319	1,100
Interest and other expense		
Directors and key management personnel	**391**	496
Other related parties	**9,816**	11,353
	10,207	11,849
Due from related banks	**140,256**	251,716
Due to related banks	**6,990**	7,494
Due to related companies	**269,732**	168,390

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Bank.

Key management compensation

	2025	2024
Short-term benefits	**1,247**	2,042
Post employment benefits	**52**	48
	1,299	2,090

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

20 Capital management

For the purpose of the Bank's capital management, capital includes issued share capital and other equity reserves. The Bank's policy is to diversify its sources of capital, to allocate capital within the Bank efficiently and to maintain a prudent relationship between capital resources and the risk of its underlying business. Equity increased by $ 7.70 million to $260.19 million during the year under review. This was mainly as a result of profit after tax of $15.42 million for fiscal 2025, a reduction of $0.43 million in defined benefit reserve and dividend paid of $7.36 million.

Capital adequacy is monitored by the Bank, employing techniques based on the guidelines developed by the Basel Committee on Banking Regulations and Supervisory Practice (the Basel Committee), as implemented by the Eastern Caribbean Central Bank for supervisory purposes. The Basel risk-based capital guidelines require a minimum ratio of core capital (Tier 1) to risk-weighted assets of 4 percent, with a minimum total qualifying capital (Tier 2) ratio of 8 percent. Core capital (Tier 1) comprises mainly shareholders' equity.

Capital adequacy ratio

	2025 %	2024 %
Tier 1 Capital	**10.55**	11.11
Total Capital	**12.51**	12.74

At September 30, 2025 and 2024, the Bank exceeded the minimum levels required for adequately capitalised institutions.

21 Fair value

21.1 Carrying values and fair values

The following table summarises the carrying amounts and the fair values of the Bank's financial assets and liabilities:

2025	Carrying value	Fair value	Unrecognised (loss)/gain
Financial assets			
Cash on hand, due from banks including related banks and Treasury Bills	491,109	491,109	–
Investment interest receivable	5,200	5,200	–
Advances	1,181,369	1,097,281	(84,088)
Investment securities	484,058	486,328	2,270
Financial liabilities			
Customers' current, savings and deposit accounts	1,822,301	1,822,301	–
Accrued interest payable	340	340	–
Total unrecognised change in unrealised fair value			**(81,818)**

21 Fair value *(continued)*

21.1 Carrying values and fair values *(continued)*

2024	Carrying value	Fair value	Unrecognised (loss)/gain
Financial assets			
Cash on hand, due from banks including related banks and Treasury Bills	505,842	505,842	–
Investment interest receivable	3,574	3,574	–
Advances	1,110,028	1,046,285	(63,743)
Investment securities	374,189	377,508	3,319
Financial liabilities			
Customers' current, savings and deposit accounts	1,758,218	1,758,218	–
Accrued interest payable	353	353	–
Total unrecognised change in unrealised fair value			**(60,424)**

21.2 Fair value and fair value hierarchies

21.2.1 Determination of fair value and fair value hierarchies

The following table shows the fair value measurement hierarchy of the Bank's assets and liabilities:

2025	Level 1	Level 2	Level 3	POCI	**Total**
Financial assets measured at fair value					
Investment securities	–	–	696	–	**696**
Financial assets for which fair value is disclosed					
Advances	–	–	1,097,281	–	**1,097,281**
Debt instruments at amortised cost	482,083	–	–	4,245	**486,328**
Financial liabilities for which fair value is disclosed					
Customers' current, savings and deposit accounts	–	–	1,822,301	–	**1,822,301**
	482,083	-	2,920,278	4,245	**3,406,606**

21 Fair value *(continued)*

21.2 Fair value and fair value hierarchies *(continued)*

21.2.1 Determination of fair value and fair value hierarchies *(continued)*

2024	Level 1	Level 2	Level 3	POCI	Total
Financial assets measured at fair value					
Investment securities	–	–	696	–	**696**
Financial asset for which fair value is disclosed					
Advances	–	–	1,046,285	–	**1,046,285**
Debt instruments at amortised cost	372,385	–	–	5,123	**377,508**
Financial liabilities for which fair value is disclosed					
Customers' current, savings and deposit accounts	–	–	1,758,218	-	**1,758,218**
	372,385	-	2,805,199	5,123	**3,182,707**

21.2.2 Transfers between Level 1 and 2

For the year ended September 30, 2025, and 2024, no assets were transferred between level 1 and level 2.

21.2.3 Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurements categorised within Level 3 of the fair value hierarchy as at September 30, 2025, are as shown below:

	Valuation technique	Significant unobservable inputs	Range
Advances	Discounted cash flow method	Growth rate for cash flows for subsequent years	3.5% – 16.0%
Customer' current, savings and deposit accounts	Discounted cash flow method	Growth rate for cash flows for subsequent years	0.0% – 3.0%

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

22 Maturity analysis of assets and liabilities

The table below analyses the discounted assets and liabilities of the Bank based on the remaining period at September 30, to the contractual maturity date. See Note 18.3 - 'Liquidity risk' - for an analysis of the financial liabilities based on contractual undiscounted repayment obligations

2025	Within 12 months	After 12 months	Total
Assets			
Cash on hand	31,019	–	**31,019**
Statutory deposits with Central Bank	109,840	–	**109,840**
Due from banks	175,830	–	**175,830**
Due from related banks	140,256	–	**140,256**
Treasury Bills	144,004	–	**144,004**
Investment interest receivable	712	4,488	**5,200**
Advances	78,424	1,102,945	**1,181,369**
Investment securities	74,075	409,983	**484,058**
Other assets	7,750	–	**7,750**
Premises and equipment	3,781	41,258	**45,039**
Right-of-use assets	93	836	**929**
Intangible assets	–	55,889	**55,889**
Deferred tax assets	–	3,656	**3,656**
Taxation recoverable	398	–	**398**
	766,182	**1,619,055**	**2,385,237**
Liabilities			
Due to banks	4,732	–	**4,732**
Due to related banks	6,990	–	**6,990**
Due to related companies	269,732	–	**269,732**
Customers' current, savings and deposit accounts	1,817,774	4,527	**1,822,301**
Lease liabilities	89	869	**958**
Employee defined benefit liabilities	–	6,205	**6,205**
Deferred tax liabilities	–	855	**855**
Accrued interest payable	339	1	**340**
Other liabilities	12,934	–	**12,934**
	2,112,590	**12,457**	**2,125,047**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

22 Maturity analysis of assets and liabilities *(continued)*

2024	Within 12 months	After 12 months	**Total**
Assets			
Cash on hand	34,805	–	**34,805**
Statutory deposits with Central Bank	107,711	–	**107,711**
Due from banks	104,392	–	**104,392**
Due from related banks	251,716	–	**251,716**
Treasury Bills	114,929	–	**114,929**
Investment interest receivable	3,574	–	**3,574**
Advances	106,270	1,003,758	**1,110,028**
Investment securities	147,941	226,248	**374,189**
Other assets	11,643	–	**11,643**
Premises and equipment	5,651	39,258	**44,909**
Right-of-use assets	48	1,146	**1,194**
Intangible assets	–	56,505	**56,505**
Deferred tax assets	–	2,938	**2,938**
	888,680	**1,329,853**	**2,218,533**
Liabilities			
Due to banks	5,580	–	**5,580**
Due to related banks	7,494	–	**7,494**
Due to related companies	168,390	–	**168,390**
Customers' current, savings and deposit accounts	1,757,931	287	**1,758,218**
Lease liabilities	39	1,179	**1,218**
Employee defined benefit liabilities	–	5,213	**5,213**
Taxation payable	4,538	–	**4,538**
Deferred tax liabilities	–	873	**873**
Accrued interest payable	352	1	**353**
Other liabilities	14,169	–	**14,169**
	1,958,493	**7,553**	**1,966,046**

23 Dividends paid and proposed

	2025	2024
Declared and paid during the year		
Equity dividends on ordinary shares:		
Final dividend for 2024: $1.95 (2023: $1.30)	**7,360**	4,906
Interim dividend for 2025: $0.00 (2024: $1.20)	**–**	4,529
Total dividends paid	**7,360**	**9,435**

Notes to the Financial Statements

For the year ended September 30, 2025. Expressed in Thousands of Eastern Caribbean dollars ($'000), except where otherwise stated.

23 Dividends paid and proposed *(continued)*

Proposed and approved by the Board of Directors (not recognised as a liability as at September 30)

	2025	2024
Equity dividends on ordinary shares:		
Final dividend for 2025: $1.20 (2024: $1.95)	**4,529**	7,360

24 Contingent liabilities, commitments and leasing arrangements

a Litigation

As at September 30, 2025, there were certain legal proceedings outstanding against the Bank. No provision has been made as professional advice indicates that it is unlikely that any significant loss will arise or that it would be premature at this stage of the action to determine the eventuality.

	2025	2024
b Customers' liability under acceptances, guarantees, indemnities and letters of credit		
Guarantees and indemnities	**20,154**	28,374
Letters of credit	**8,749**	9,639
	28,903	38,013
c Sectoral information		
Corporate and commercial	**21,103**	30,213
Other financial institutions	**7,800**	7,800
	28,903	38,013

25 Segmental information

As at September 30, 2025 and 2024, the Bank's entire operations are in the retail and commercial banking class of business in Grenada.

26 Comparatives

Certain of the previous year's figures were reclassified to conform with the current year's Financial statement presentation.

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